

Material Impacts, Risks and Opportunities related to biodiversity and ecosystems

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN ⁽ⁱ⁾	RELATED POLICIES
E4.I1	Impacts related to the exploitation, degradation and disruption of ecosystems and natural resources	I	/ Extended value chain	Transversal policies: / Sustainability Policy / Sustainability Stakeholder Relations Policy
E4.R1	Physical and transition risks due to biodiversity and ecosystems	R	/ Extended value chain	Specific policies: / Ecosystems and Biodiversity Policy / Water Policy

⁽ⁱ⁾ The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.

① More information on our stakeholder engagement and our materiality assessment in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

Biodiversity-sensitive areas

Our assessment identified certain of our own facilities located near biodiversity-sensitive areas, using indications provided in the IBAT tool. However, they correspond to stores, offices and distribution centres which do not have a material impact on biodiversity due to the profile of their operations.

This matches the results of our materiality analysis, which found that the main impact on biodiversity and ecosystems would be produced in our value chain, with no material impact being found in our own operations.

With regard to our value chain, we are in the process of compiling new information to supplement this report in subsequent years, in accordance with the transitional provision of the CSRD, in ESRS 1, section 10.2.

Occurrence and types of impacts

The findings of our materiality assessment do not indicate the existence of impacts on endangered species by our own operations.

However, we have identified a possible impact linked to the exploitation, degradation and disruption of ecosystems and natural resources in our value chain, the analysis of which we will develop further in future years.

The results of our analysis affirmed the need to continue implementing mitigation measures, which we include in our Sustainability and our Ecosystems and Biodiversity policies, and enforce through the various actions we develop.

① More information in section *E4-3. Actions related to biodiversity and ecosystems* of this Report.

E4.IRO-1_08;
E4.IRO-1_14;
E4.IRO-1_15;
E4.SBM-3_01;
E4.SBM-3_02
E4.SBM-3_03;
E4.SBM-3_04

E4.SBM-3_06

E4.SBM-3_05

E4.IRO-1_16

B. Impact, risk and opportunity management

E4-2. Policies related to biodiversity and ecosystems

E4.MDR-P_01-06

We have broadened our ambition when it comes to protecting biodiversity and ecosystems through the principles compiled in our new **Ecosystems and Biodiversity Policy**, which underpins our commitment in this respect, further supported by other core policies such as the Water Policy.

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04;
MDR-P_05,
E4-2_17;
E4-2_20

Policies related to biodiversity and ecosystems

- / Ecosystems and Biodiversity Policy ⓘ
- / Water Policy ⓘ
- / Sustainability Policy ⓘ
- / Sustainability Stakeholder Relations Policy ⓘ

ⓘ More information on our policies and their updates in section [MDR-P. Policies](#) in this Report.

Ecosystems and Biodiversity Policy	
Approved by the Board of Directors on 10 September 2024	
Key contents	/ Commitment to no deforestation, no degradation or no conversion of natural ecosystems, as well as to the betterment of biodiversity and the ecosystem health / Promotion of the balanced and sustainable management, preservation and recovery of ancient and endangered forests and other natural ecosystems
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors) / Suppliers of product and non-product that supply materials, products or services that may pose a material risk, as well as their supply chain
Accountable for the implementation	/ Sustainability department and its chief officer
Third-party standards	/ Accountability framework / Conclusions of the Global Assessment Report on Biodiversity and Ecosystem Services issued by IPBES / The Kunming-Montreal Global Biodiversity Framework
Consideration given to stakeholders	/ Consultations throughout development with expert organisations such as the World Wildlife Fund (WWF), Conservation International and Canopy / Participation of the Social Advisory Board

E4-2_01;
E4-2_02;
E4-2_03

Through our Ecosystems and Biodiversity Policy, and the Sustainability and Water Policies, we establish the Company's principles and commitments in regard to the impacts relating to the exploitation, conversion and degradation of ecosystems and natural resources, and with dependencies on ecosystems and biodiversity, considering physical and transition risks deriving from them.

In this regard, we understand the relevance of comprehending the inter-relationship between the impacts, risks and dependencies, and the opportunities and best solutions to address them. This understanding is essential to tackle pressures leading to biodiversity loss and degradation of nature, such as climate change and pollution.

ⓘ More information in sections [E1. Climate change](#) and [E2. Pollution](#) of this Report.

E4-2_05;
E4-2_18

With all this in mind, we design our roadmap and public targets.

Furthermore, consistent with our policies, we endeavour to ensure the coexistence of productive uses and the protection of ecosystems and the environment. For example, by means of regenerative practices aimed at improving fertile soil health, water quality and supply, climate change mitigation, community welfare and biodiversity protection.

In this sense, we estimate that the most likely impact in terms of the conversion and degradation of natural ecosystems is connected to the processes of supply, production and transformation of raw materials and products. To address this, we advocate the following courses of action:

- / **Refusal to use materials and products linked to deforestation, sourcing from primary and endangered forests and ecosystem conversion and degradation.**
- / **Sourcing of products, supplies and raw materials with lower overall impact.**

① More information on regenerative agriculture in section *E5-2. Actions related to resource use and circular economy* and on lower-impact materials in section *E5-3. Targets related to resource use and circular economy* of this Report.

Accordingly, we have additional measures in place, such as collaboration and innovation initiatives in the fashion industry, in productive landscapes related to its procurement sources and other areas of the value chain and the extended value chain. This is materialised in the following lines of action, among others:

- / **Facilitate the transition to improved agricultural management systems.**
- / **Promote the development and implementation of technological innovations to reduce the environmental impact of products and activities in the value chain.**
- / **Participate in nature protection initiatives and promote regulation to protect and restore natural ecosystems.**

① More information in the *Ecosystems and Biodiversity Policy*, available on Inditex's corporate website.

E4-2_19

Our policies also take into consideration the protection of oceans. Accordingly, we draw on our new Water Policy, in which we acknowledge the need to pay particular attention to impacts on the hydrosphere (which includes rivers, lakes, wetlands, aquifers and oceans), given its pivotal role as ecosystem services providers, such as the supply of water, the sustenance of biodiversity and their contribution towards mitigation and adaptation to climate change.

We therefore work with NGOs and local authorities in conservation and restoration projects that prevent further deterioration and improve the condition of bodies of water, identifying and prioritising critical areas, such as in initiatives like the Arctic Corporate Shipping Pledge and The Fashion Pact.

① More information in section *E4-3. Actions related to biodiversity and ecosystems* of this Report

E4-2_06

It is crucial to understand that the impacts on ecosystems and biodiversity also have a social dimension. That is why our policies acknowledge that progress in respect for **human rights** includes fostering the right to a clean, healthy and sustainable environment as a cornerstone of economic development, sustainability, social justice and well-being. We accordingly undertake to address these matters from a holistic perspective.

E4-2_04

Moreover, the Ecosystems and Biodiversity Policy, as part of its goal of reducing the pressures that endanger ecosystems and natural resources, proposes to advance in the **mapping and traceability** of the value chain. The aim is therefore to detect and monitor the evolution of impacts and better understand the local context to address them.

Evidence of our efforts is the improvement in the traceability of natural raw materials.

E4-3. Actions related to biodiversity and ecosystems

E4.MDR-A_01-12

At our Company we understand how important it is to preserve ecosystems to sustain society and life. That is why we are committed to protecting natural ecosystems in all areas of our value chain, but also wherever it is important for the well-being of communities and for biodiversity itself.

E4-3_01;
E4-3_13

Taking as a reference the AR3T framework (Avoid, Reduce, Restore & Regenerate, and Transform) proposed by the Science Based Targets Network (SBTN) and the Taskforce for Nature-related Financial Disclosure (TNFD), we implement a range of initiatives with a continuity perspective based on the principles of:



/ Avoid / Reduce / Restore / Regenerate / Transform

Avoid: thus preventing damage in the first place

We implement actions designed to avoid negative impacts on ecosystems of high biodiversity value, such as primary forests or the habitats of endangered species. In particular, we ensure that all forest raw materials we use —such as wood or pulp— come from certification programmes and initiatives that aim to ensure they are sourced from responsibly managed farming and not from primary and endangered forests. Thus, our paper or wood products and wooden furniture in our stores must be certified by the Forest Stewardship Council (FSC), Programme for the Endorsement of Forest Certification (PEFC) or FLEGT-licensed.

Moreover, we only work with suppliers of fibres derived from cellulose pulp that demonstrate their sourcing is free from primary and endangered forests, classified as 'green shirts' in the Hot Button Report by Canopy, an organisation we have been working with since 2014 to further primary and endangered forests protection.

We therefore undertake to avoid a possible effect on areas of High Conservation Value (HCV), the preservation of which is the basis of the certificates that we require.

This corporate responsibility is reinforced with the publication of our Ecosystems and Biodiversity Policy, which replaces the previous Forest Product Policy and broadens its scope.

① More information in our *Ecosystems and Biodiversity Policy*, and in the report *Ecosystems and Biodiversity Policy Scope*, available on Inditex's corporate website.

① More information in sections *E1-3. Actions related to climate change*, *E2-2. Actions related to pollution*, *E3-2. Actions related to water resources* and *E5-2. Actions related to resource use and circular economy* of this Report.

E4-3_14

Reduce: how we minimise our impact on biodiversity

After avoiding negative impacts from occurring, our next focus is to reduce the impacts in biodiversity that might arise as a result of our activity.

In this sense, we implement decarbonisation initiatives in our value chain, as well as reducing the impact of pollution and optimising water consumption in our supply chain. Notable among these is the **Supply Chain Environmental Transformation Plan 2024-2027**.

In addition, we work continuously on innovation in materials and processes to reduce their impact on the environment and people, within the framework of our **Fibres Plan**, and in particular in the Cotton Strategy. In this context, it is noteworthy the work developed by the Sustainability Innovation Hub.

① More information in sections *E1-3. Actions related to climate change*, *E2-2. Actions related to pollution*, *E3-2. Actions related to water resources* and *E5-2. Actions related to resource use and circular economy* of this Report.

E4-3_15;
MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_05

Restore: we support the conservation, protection and restoration of ecosystems and biodiversity

Related IROs: [E4.I1; E4.R1]

We continuously work with various organisations to foster restoration, protection and other forms of improvement through projects such as:

/ The restoration of the forest landscape in Mexico, improving forestry management in harmony with biodiversity in China, and promoting coexistence with wildlife in Brazil and Bolivia in partnership with WWF.

/ The contribution to the implementation of a cross-border collaboration initiative to protect and restore ecosystems and community resilience in India, Bhutan, Nepal and Bangladesh through the Mountains to Mangroves initiative led by Conservation International.

/ The promotion of sustainable forestry in Spain and Portugal in collaboration with the Galician Forestry Association and the Portuguese Forestry Association (Forestis).

/ Monitoring and restoration work with the Brazilian organisation SOS Mata Atlântica, to prevent the degradation of the Atlantic Forest.

/ Fostering coordination among global seed banks in partnership with Kew Gardens to resolve the issue of the lack of seeds for restoration efforts.

In 2024, we achieved the milestone of 622,878 hectares in the process of restoration or restored, 352,484 hectares more than in 2023, through various initiatives carried out globally in our supply chain and, mainly, in the areas and communities where we are present, even if they are not directly linked to our activity.

In 2024 we allocated 7.2 million euros to their implementation, included under Operating expenses in the Consolidated Income Statement (see [Note 6](#) to the Consolidated Annual Accounts) and part of the #BRINGYOUROWN BAG (#TRAETUBOLSA) initiative.

① More information on the initiative #BRINGYOUROWN BAG in section [S3-4. Actions related to communities](#) of this Report.

Regenerate: revitalising soils and ecosystems to sustain communities and biodiversity

Related IROs: [\[E4.I1; E4.R1\]](#)

We also promote **regenerative agricultural and land management practices** aimed at fostering a balance between productive land use and healthy ecosystems. These initiatives, which we develop continuously, promote the preservation of nutrients in the soil and enhance its capacity to absorb carbon, positively addressing climate change, as well as improving water management and quality, the conservation of local biodiversity and the resilience of local communities. It is worth underscoring:

/ Fostering regenerative practices in cotton growing in India and Pakistan, in collaboration with Organic Cotton Accelerator (OCA).

/ Support for the transition to regenerative practices in India, fostering communities' resilience in collaboration with Action Social Advancement (ASA), the Laudes Foundation, IDH - the Sustainable Trade Initiative and WWF India.

/ Investment through the Regenerative Fund for Nature alongside Conservation International and the Kering Group to implement regenerative approaches in farming communities in Argentina and South Africa.

As a result, in 2024, we reached 135,656 hectares in the process of regeneration or regenerated, 10,942 hectares more than in 2023, through various initiatives carried out globally in our supply chain and other surrounding or related areas.

In 2024 we allocated 6.2 million euros to the implementation of this action, included under Operating Expenses in the Consolidated Income Statement (see [Note 6](#) to the Consolidated Annual Accounts) and part of the #BRINGYOUROWN BAG (#TRAETUBOLSA) initiative.

① More information on the initiative #BRINGYOUROWN BAG in section [S3-4. Actions related to communities](#) of this Report.

Transform: key to protecting biodiversity in the long term

The transformation of production processes is essential to preserve ecosystems and biodiversity. This is why we support initiatives aimed at driving this transformation, in particular through coordinated and collective action between key agents.

① More information in the document *Partnerships* available on Inditex's corporate website.

MDR-A_06;
MDR-A_07;
MDR-A_09;
MDR-A_10;
MDR-A_11;
MDR-A_12

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05;
E4-3_15

MDR-A_06;
MDR-A_07;
MDR-A_09;
MDR-A_10;
MDR-A_11;
MDR-A_12

E4-3_15

E4-3_10

Our projects to protect biodiversity and ecosystems mainly involve the following stakeholders:

/ **Environment:** we involve organisations that represent it in the design of our strategies and implementation of our actions, especially those focused on having a positive impact on the environment and biodiversity.

/ **Suppliers:** given that our impacts on biodiversity and ecosystems concentrates in our value chain, the commitment of all actors involved is key to attaining our goals. In this regard, we work with our suppliers to incorporate best practices.

/ **Communities:** in keeping with our goal of contributing to the development of a fair and resilient society and a healthy environment underpinning it, our programmes are aimed at preserving and restoring nature while respecting the rights and well-being of local communities.

① More information in the *MDR-P. Policies* section of this Report.

E4-3_02

Furthermore, no biodiversity offsets have been used in relation to our actions.

Agreements and collaborations

With the aim of promoting the conservation of ecosystems and biodiversity, we work with a number of specialist organisations and coalitions such as Business for Nature, Open Planet Business for Biodiversity (OP2B), LEAF Coalition and The Fashion Pact, among others.

In this regard, it is worth underscoring our adherence to Deforestation-Free Call to Action for Leather, led by Textile Exchange and the Leather Working Group (LWG), which promotes supply chains that only use deforestation-free leather, and the Pack4Good initiative driven by Canopy to transform the procurement of packaging materials.

① More information in the document *Partnerships* on Inditex's corporate website.

C. Metrics and targets

E4-4. Targets related to biodiversity and ecosystems

E4.MDR-T_01-13

Our commitment to biodiversity and ecosystems is evidenced by our intention of acting to **protect, restore, regenerate or otherwise improve** biodiversity across five million hectares throughout our value chain and beyond.

Other related commitments, such as GHG emission reduction and climate neutrality targets, are also worth highlighting, given the impact of climate change on natural ecosystems. In addition, the responsible management of natural resources allows us to reduce our environmental impact. Consequently, in keeping with our Fibres Plan, we foster the use of lower-impact fibres and materials¹⁸.

We have also set ourselves the target of a 25% reduction in water consumption in our supply chain by 2025, in line with our Water Policy, as we are mindful of how important water is for biodiversity and ecosystems.

① More information in sections *E1-4. Targets related to climate change*, *E3-3/E3-4. Water consumption and related target* and *E5-3. Targets related to resource use and circular economy* of this Report.

¹⁸ See the *Methodological Annex* for more information on the criteria that fibres and materials must fulfil to be classified as lower-impact.

• **Protect, restore or regenerate five million hectares**

MDR-T_01

Our key commitment in connection with biodiversity and ecosystems is to protect, restore, regenerate, or take other management approaches for the improvement of biodiversity in an area of five million hectares.

This target is linked to our Sustainability Policy and, more specifically, to our Ecosystems and Biodiversity Policy. They both establish our commitment to the protection of ecosystems and biodiversity —in turn aligned with our pledge to contribute to the development of a fair and resilient society and a clean, healthy and sustainable environment that sustains it-.

MDR-T_02;
MDR-T_07;
MDR-T_08;
MDR-T_13

Target: protect, restore or regenerate 5 million hectares by 2030

	Current year	Target year
	2024	2030
Hectares	758,534	5 million

MDR-T_11

To achieve this target, we collaborate with expert organisations such as the World Wide Fund for Nature (WWF) or Conservation International in the various initiatives to regenerate and restore ecosystems detailed in this standard.

MDR-T_10;
E4-4_06;
E4-4_09

This target, along with the actions for achieving it, addresses the protection and improvement of biodiversity and ecosystems, both within and beyond our value chain, as part of the 'Restore & Regenerate' category of SBTN's action framework, adapting the mitigation hierarchy. We defined this target being aware of the impacts of our activity on the environment and our will to positively contribute to its recovery.

E4-4_05

Furthermore, it is in line with the goals of the European Union Biodiversity Strategy for 2030 and the Kunming-Montreal Global Biodiversity Framework.

MDR-T_03;
MDR-T_04;
MDR-T_05;
MDR-T_06;
MDR-T_09;
MDR-T_12;
E4-4_01;
E4-4_02;
E4-4_03;
E4-4_04;
E4-4_07;
E4-4_08

① More information on the scope, methodology and calculation changes in the year in the *Methodological Annex* of this Report.

E4-5. Metrics related to biodiversity and ecosystems change

E4-5_01;
E4-5_02

As previously mentioned, our materiality assessment identified certain of our own facilities located near biodiversity-sensitive areas. Nevertheless, we have not found any material negative impacts in those areas.

① More information in section *IRO-1/SBM-3. Material biodiversity and ecosystem-related impacts, risks and opportunities* of this chapter.

E4-5_04

However, we have identified potential impacts related to our value chain. Consequently, at Inditex we are in the process of compiling new information to supplement the measurement of this impact in our reporting for subsequent years, in accordance with the transitional provision in the CSRD, in ESRS 1, section 10.2.

E5. Resource use and circular economy

A. Impact, risk and opportunity management

IRO-1. Material resource use and circular economy-related impacts, risks and opportunities

Identification of Impacts, Risks and Opportunities

The analysis of our activity, coupled with the materiality assessment and the views of our stakeholders, has allowed us to compile a list of material impacts, risks and opportunities related to resource use and circular economy.

In the process we have included the assessment of all our activities and those of our value chain, considering the various resource inflows and outflows at each stage, with the aim of identifying all the potential avenues of impact.

To understand the results of the exercise, it is important to take into account two considerations:

/ In general, purchases of raw materials and fabrics is not part of Inditex's own operations. However, we do take part in the selection of the raw materials used to manufacture our articles, as well as in the specifications of their characteristics. Accordingly, when it comes to the use of resources, the associated impacts, risks and opportunities are mainly concentrated on our value chain.

/ Waste management and outflow is generally focused within the scope of waste generated in our own operations.

Consultations with stakeholders

Stakeholder dialogue is a key element of our materiality analysis, as detailed previously in this Report. Specifically, in 2024 we involved specialised organisations such as the University of Leeds in our **double materiality assessment**.

As well as in the materiality assessment, during the course of our activity, we also collaborate with specialised organisations that give us valuable knowledge regarding the impacts our activity might have on resource use and circular economy. Among these, we highlight our involvement with standard-bearing organisations in circularity, in terms of both lower-impact fibres and materials (Textile Exchange and Canopy, as well as many others) and packaging (Ellen MacArthur Foundation).

This continuous engagement also allows us to develop new targets and actions linked to the proper management of our impacts, risks and opportunities.

E5.IRO-1_01

E5.IRO-1_02

Material Impacts, Risks and Opportunities related to resource use and circular economy

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN ⁽¹⁾	RELATED POLICIES
E5.I1	Possible impact from the use of conventional raw materials	I	/ Raw materials	Transversal policies: / Sustainability Policy / Sustainability Stakeholder Relations Policy Specific policies: / Ecosystems and Biodiversity Policy
E5.I2	Circularity	I	/ Value chain	
E5.I3	Waste generation	I	/ Own operations / Value chain	
E5.R1	Transition risks due to the use of resources and the circular economy	R	/ Extended value chain	
E5.O1	Opportunity for new business models (e.g., Zara Pre-Owned)	O	/ Own operations	
E5.O2	Opportunity to improve efficiency in the consumption of natural resources	O	/ Own operations	

⁽¹⁾ The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.

① More information on stakeholder engagement and our materiality analysis can be found in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

E5-1. Policies related to resource use and circular economy

E5.MDR-P_01-06

Resource management is a key element for us. Consequently, our policies are interrelated to guide the adoption of a business model that focuses on the use of lower-impact raw materials as opposed to conventional ones¹⁹, as well as recyclability, durability and reparability, and proper waste management, to reduce the impact on society and the environment.

Policies related to resource use and circular economy

/ Sustainability Policy ①
 / Ecosystems and Biodiversity Policy ①
 / Sustainability Stakeholder Relations Policy ①

① More information on our policies and their updates in section *MDR-P. Policies* in this Report.

Towards lower-impact sourcing

E5-1_01;
E5-1_02

Our **Sustainability Policy** enshrines our unwavering commitment to **circularity**, from the design of the products marketed by the Group to considerations relating to their end of life, and improving resource and waste management throughout the value chain. To do this, we apply the waste hierarchy, we seek to ensure that waste is reconverted into a new resource and we move towards the creation of secondary raw materials as the essence of the circular economy to avoid the use of virgin raw materials.

Our **Ecosystems and Biodiversity Policy** further develops those principles, laying the groundwork to promote best practice in the sourcing and use of natural materials, prioritising the use of materials, inputs and products with a lower environmental impact.

This ambition is enshrined in our **Fibres Plan**, which envisages the use of lower-impact textile fibres, as compared to conventional ones, by 2030. To achieve this target, recycled and next-generation fibres play a key role.

¹⁹ More information on the criteria that fibres and materials must fulfil to be classified as lower-impact in the *Methodological Annex* of this Report.

We are therefore committed to the responsible design of our garments and the careful selection of raw materials, which allows us to source materials and textile fibres through lower-impact production systems.

In addition, our Sustainability Policy also includes the obligation that animal products come from animals treated ethically and responsibly, in accordance with the internationally accepted 'Five Freedoms' of animal welfare.

① More information in section [E5-3. Targets related to resource use and circular economy](#) of this Report.

E5-2. Actions related to resource use and circular economy

E5.MDR-A_01-12

Our sustainability strategy covers our aim to progress towards a circular economy model that **transforms waste into resources and that promotes lengthening the life of our products**. Not only is circularity a transformative aspect in our Company and industry, but it represents an opportunity to improve our long-term resilience and efficiency. That is why we endeavour to integrate it at every level of our organisation, from design and production processes to managing our stores, logistics and offices.

To achieve this, we are committed to innovation in materials, production processes and the use and end of life of our products. We base this innovation on collaboration with universities, suppliers, startups, companies from different sectors and social organisations.

Indeed, implementing these innovative projects and providing the sector with fibres and processes that have a lower impact than traditional ones is one of the drivers of our circularity strategy.

Initiatives to progress towards a circular economy model

/ Sustainability Innovation Hub

Related IROs: [\[E5.I1; E5.I2; E5.R1; E5.O2\]](#)

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05;
E5-2_07

In 2024 we continued to work on our Sustainability Innovation Hub (SIH), a centre for innovation launched in 2020 with an action plan through 2030. This hub was designed to **support the adoption and scaling of innovative fibre, material, production process and traceability technologies in the textile and footwear sector**. The aim is to minimise the environmental impact associated with raw materials and production processes in the textile industry.

To achieve this, we join forces with startups, suppliers, academic institutions and technological centres in proposals that are assessed based on their impact on social aspects, circularity, biodiversity and animal welfare, as well as being subjected to a life-cycle environmental analysis. This assessment covers 16 impacts in areas such as emissions, water and land use.

This action is consistent with our Sustainability Policy, which fosters the use of lower-impact raw materials and processes, and with our Fibres Plan target making 25% of our fibre to be Next Gen by 2030. This is one of the milestone to ensure that 100% of our textile fibres are lower-impact²⁰ by that date.

In 2024 this platform encompass more than **300 emerging companies** working to incorporate new materials, improve production processes and make headway in connection with traceability, packaging and use and end of life. The Hub also conducted the environmental, technical and commercial analysis of more than 20 new startups and completed more than 40 life cycle analyses.

²⁰ More information on the criteria that fibres and materials must fulfil to be classified as lower-impact in the [Methodological Annex](#) of this Report.

Featured initiatives

/ Investments in capital:

- **INFINITED FIBER:** startup specialising in the recycling of cellulose materials and creator of Infinna™, a recycled fibre made from cotton-rich textile waste.
- **GALY:** startup that has developed an innovative and unique process to grow cotton in vitro using stem cell multiplication. We also have a Joint Development Agreement to optimise and perfect this technology, strengthening our commitment to innovation in the textile sector.
- **EPOCH:** startup that uses artificial intelligence to design enzymes that allow the recycling of plastic and textile materials. We have also signed a Joint Development Agreement.

This comes alongside the capital investment we already made in Circ, with a technology to enable the recycling of garments made of more than one material.

/ Catalyst for pilot projects and demonstrations:

In 2024, we carried out pilot projects for more than 30 innovations and we have launched a collection with CIRC x Zara, as the first milestone in our ongoing collaboration. Another striking milestone was the purchase of the first 2,000 tonnes of Circulose®, an innovative textile pulp produced from cotton waste recycled using a chemical process.

Lastly, we also have the research programme The Materials by Inditex, designed to put forward disruptive solutions for fibres and materials on an industrial scale, in partnership with the foremost industry leaders such as BASF, YKK, Velcro and Freudenberg, among others. Among the most noteworthy applications of this programme are Loopamid x Zara, an initiative aimed at proving the viability of the first circular jacket, and Haptex x Tempe, the first synthetic leather designed to be circular.

The financial resources earmarked for these actions are associated with Investment and Opex, which on their own do not imply a material amount. They are included in Financial Investments and Operating Expenses and (see [Note 18](#) and [Note 6](#) of the Consolidated Annual Accounts).

/ Cotton Strategy

Related IROs: [E5.I1; E5.R1; E5.O2]

One of the goals of our Fibre Plan is to ensure that, by 2030, **25% of the fibres we use are fibres from organic or regenerative agriculture.**

To make headway in this goal, in 2024 we launched the Cotton Strategy to help establish a supply of cotton that ensures the well-being and resilience of farmers, communities and related ecosystems (financial, ecological and social), by fostering agricultural best practices in connection with regenerative organic cotton. These agricultural best practices affect air and soil health, biodiversity, water and people.

The **main outcomes** by 2030 we are pursuing with this strategy are:

- | | |
|---|---|
| / Increase the visibility and transparency of cotton growing practices, through solid systems that ensure the integrity and traceability of the certifications. | / Promote the financial resilience of farmers and respect for decent work in the countryside and the community. |
| / Promote the reduction of environmental impacts, including GHG emissions and adverse effects on water resources and biodiversity, by improving agricultural soil health. | / Improve the training provided to cotton suppliers, fostering more responsible cotton production. |
| | / Encourage the development of mechanically recycled cotton and its adoption in the supply chain. |

MDR-A_06;
MDR-A_07

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04

MDR-A_05

① More information on progress in regenerative and organic cotton consumption in section [E5-4. Resource inflows](#) of this Report.

MDR-A_06;
MDR-A_07

This action was carried out primarily by our people. The financial resources linked to the implementation of these actions are associated with staff costs along with other external expenses deriving from the operations, which separately do not represent a material amount. Both are included in Operating Expenses in the Consolidated Income Statement (see [Note 6](#) of the Consolidated Annual Accounts).

Use, end of life and waste management

/ Zara Pre-Owned

Related IROs: [\[E5.I2; E5.I3; E5.R1; E5.O1\]](#)

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05;
E5-2_05;
E5-2_08

At Inditex we want our products to accompany our customers for a long time. This is why we seek to help them extend the life of their garments and to make our products durable, thereby contributing to a circular economy in our value chain, in keeping with the commitment in our Sustainability Policy. With this goal in mind, we are working on actions that offer innovative options and alternatives to maximise the useful life of our products.

One such initiative is Zara Pre-Owned, a platform we launched in 2022 to provide repair services and facilitate customer-to-customer sales and donations. At present, in line with our aim of introducing circularity services in all the key markets by 2025, Zara Pre-Owned is available in Spain, Germany, Austria, Belgium, Croatia, Slovakia, Slovenia, the United States, Finland, France, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal and the United Kingdom, offering the following services:

- / Repair** of any used Zara garment from any season. Our customers can request services such as button and zip replacements or seam repairs either online or in the Zara store of their choice. Our aim is to reach all stores in the markets where the service is available.
- / Customer-to-customer sales** so as anyone can buy and sell Zara garments from any season. The space is organised by product category and provides detailed information on each item, including Zara's original information on the garment and current images from the seller.
- / Donation:** customers can request the collection of clothes from their home to be donated to charitable entities. All collected items are delivered to local organisations that sort them for reuse where possible or to be recycled if they have reached the end of their life cycle, supporting the development of projects in local communities, as explained in the next section.

We have also adhered to the Refashion bonus scheme in France. This is an initiative under the French Anti-Waste for a Circular Economy law (*Loi AGEC*) launched through Refashion. Its mission is to encourage French consumers to repair their clothes and shoes, to promote the traceability of brands and to financially support organisations specialising in textile reuse and recycling.

The bonus allows our customers to reduce the repair costs of clothing, promoting sustainability and extending the lifespan of garments. It is financed by an Extended Producer Responsibility fund, which covers between 6 and 25 euros in certified workshops, and Zara is already certified.

MDR-A_06;
MDR-A_07

Zara Pre-Owned is a service hosted in Zara's own website, so the funds linked to its launch were not significant. The financial resources linked to implementing the associated actions are related to staff costs together with other external operational costs, which separately do not represent a material amount. Both are included in Operating Expenses in the Consolidated Income Statement (see [Note 6](#) of the Consolidated Annual Accounts).

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
E5-2_05;
E5-2_08

/ Clothing collection programme

Related IROs: [E5.I2; E5.I3; E5.R1; E5.O2]

The clothing collection programme allows our customers to donate items they no longer use to **more than 91 local community organisations** in the markets where we operate.

This donation is made physically through containers located in our stores and, in certain markets such as Spain and the United Kingdom or cities such as New York and Paris, we have made Zara.com home collection services available to our customers. In Spain we also work with Caritas to enable the donation of garments by means of containers located in the streets of various Spanish cities.

These organisations receive the donated garments and footwear from our facilities. The purpose of this programme is to classify these articles in accordance with the waste hierarchy principle, in line with the commitment set out in our Sustainability Policy. The organisations that receive the donations sort the garments, and those that are in good condition are donated to vulnerable people or resold to fund their social projects. Products that cannot be reused are sent for recycling.

Therefore, the clothing collection programme **aims to mitigate the environmental impact of textile waste**, mainly by promoting reuse and recycling.

MDR-A_05

In 2024, our clothing collection programme recovered a total of 19,484 tonnes of garments and footwear (20,259 tonnes in 2023) that were donated to our partners in their entirety. To foster transparency in connection with these donations, our partners report to us regularly regarding how the articles received are used. In 2024, they informed us that:

/ 57% of all garments were reused via donations to people in vulnerable situations or by reselling to finance community projects.

/ The remaining 43%, which could not be reused due to their characteristics or condition, were sent to recycling projects (mainly downcycling), or, as a last resort, were sent to energy recovery.

MDR-A_06;
MDR-A_07

The financial resources earmarked for these actions are associated with staff costs and other external operating expenses, which separately do not represent a material amount. Both are included in Operating Expenses in the Consolidated Income Statement (see Note 6 of the Consolidated Annual Accounts).

/ Supply Chain Environmental Transformation Plan 2024-2027

Related IROs: [E1.I1; E1.I2; E1.R1; E2.I1; E2.I2; E2.R1; E3.I1; E3.I2; E3.R1; E5.I1; E5.I2; E5.I3; E5.R1; E5.O1; E5.O2]

Our Supply Chain Environmental Transformation Plan 2024-2027 also envisages actions linked to the use of resources and circular economy in our supply chain.

Due to its transversal nature, the detailed description of the Plan, as well as the Plan's energy consumption and emission reduction requirements are provided in chapter E1. Climate Change, information on wastewater treatment and chemicals is provided in chapter E2. Pollution and information on water consumption is provided in chapter E3. Water resources. This chapter includes information concerning waste management.

① More information on other related actions in sections *E1-3. Actions related to climate change*, *E2-2. Actions related to pollution* and *E3-2. Actions related to water resources* of this Report.

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04

• Waste management

At Inditex we want to promote optimal waste management, reducing waste generation, and encouraging reuse and recycling, minimising the amount of waste sent to landfill, and fostering the circularity of textile waste.

Factories in our supply chain generate different types of waste, both hazardous and non-hazardous, which must be properly handled, labelled and stored. The proper handling, control and management of hazardous waste is especially important, to avoid leaks that spread hazardous substances to the environment.

Our **Green to Wear (GtW)** standard includes requirements on proper waste management. This means that the waste must be sorted, properly labelled and stored with adequate ventilation and leakage prevention, especially in the case of hazardous waste.

In order to achieve the goal of proper hazardous waste management, the facility must have a contract in force with an authorised waste manager, a properly covered and updated hazardous waste inventory, a record of deliveries to the authorised waste manager, and a separate storage area where waste can be properly managed.

① More information on other related actions in sections [E1-3. Actions related to climate change](#), [E2-2. Actions related to pollution](#) and [E3-2. Actions related to water resources](#) of this Report.

Agreements and collaborations

E5-2_07

At Inditex we want to make headway in the use of recycled materials, which are not dependent on the extraction of virgin raw materials and help reduce waste generation. For this reason, we establish collaborations with organisations like Textile Exchange, OCA, Global Fashion Agenda and Fashion for Good in initiatives like the availability of lower-impact raw materials, design geared to recyclability, the assessment of infrastructure necessary to process waste or the development of new forms of textile recycling.

We are part of ReHubs Europe, a non-profit association of relevant companies and organisation in the European textile and footwear value chain. ReHubs works to expand the current capacities for collection, sorting, preparation for recycling and final recycling of textile waste in Europe to an industrial scale. We are also cofounders of the Association for the Management of Textile and Footwear Waste (AGRTC) and, in 2024, we worked, in line with the activities initiated in 2023, to form the voluntary Collective System of Extended Producer Responsibility (EPR) for the textile and footwear waste stream, Re-Viste, which was launched in October 2024. The AGRTC is awaiting a licence for Re-Viste to start operating as a EPR on a voluntary basis during 2025.

① More information in the document *Partnerships* on Inditex's corporate website.

C. Metrics and targets

E5-3. Targets related to resource use and circular economy

E5.MDR-T_01-13

So as to move towards a more circular business model that encompasses every phase of our activity, we have set ourselves various targets, ranging from the sourcing of raw materials (promoting the use of lower-impact raw materials, in line with our Fibres Plan) right through the use and end of life of our products, by providing circularity services.

These targets are closely related to our Sustainability Policy, in which we are committed to circularity, a core aspect in our progress towards the decarbonisation of our value chain.

• Fibres Plan: use of lower-environmental-impact fibres

MDR-T_01

One of the main commitments in terms of resource use is our Fibres Plan, which is aimed at 100% of the textile fibres used in our products by 2030 having a lower environmental impact as compared with conventional fibres.

This target is related to the commitment to prioritising sourcing raw materials, supplies and products that avoid and reduce negative impacts on ecosystems throughout their life cycle, as set out in our Sustainability Policy and Ecosystems and Biodiversity Policy.

MDR-T_02;
MDR-T_07;
MDR-T_08;
MDR-T_13**Target: use 100% lower-impact fibres (preferred fibres) by 2030**

	Current year	Target year
	2024	2030
Total percentage of lower-impact fibres	73%	100%
How this is broken down by type of fibre		
/ Use 25% of next-generation fibres that do not yet exist on an industrial scale and that we are helping to develop	0%	25%
/ Use 40% of textile fibres from conventional recycling	39%	40%
/ Use 25% of textile fibres from organic or regenerative agriculture	23%	25%
/ Use 10% of textile fibres from other preferred options in line with the indicators specified by benchmark organisations	10%	10%
What are the short-term targets		
	2024	2025
/ 100% lower-impact polyester by 2025	89%	100%
/ 100% lower-impact linen by 2025	74%	100%

E5-3_01;
E5-3_02;
E5-3_03;
E5-3_04

We aim to encourage the design of products that last over time and can be recycled at the end of their useful life. With this in mind, we train our designers and sales teams in sustainability criteria and foster those materials with a lower-impact on biodiversity, land use, water consumption and greenhouse gas emissions.

Accordingly, our **Fibres Plan** is a cornerstone for improving our impact and advancing our sustainability strategy. Further details of the main lower-impact fibres used in the latest autumn/winter 2024 campaign are provided below, including the third-party standard to which they belong:

Type of fibre	% over total of the type of fibre	
Cotton	Organic cotton (OCS/GOTS)	44%
	Cotton in conversion/transition (OCS/GOTS)	8%
	Recycled cotton (RCS/GRS)	17%
Man-made cellulosic fibres	Recycled (RCS/GRS)	0%
	Other third-party standards (Canopy and Changing Markets ⁽ⁱ⁾ , or FSC)	91%
	MMCF – innovative fibres	2%
	Other third-party standards (Canopy)	1%
Linen	European linen (European Flax certificate)	74%
	Organic linen (OCS/GOTS)	0%
	Recycled linen (RCS/GRS)	0%
Polyester	Recycled polyester (RCS/GRS/Repreve/Eucertplast/Recyclclass/ISCC Plus)	89%
	Polyester – innovative fibres	0%

⁽ⁱ⁾ Man-made cellulosic fibres that meet the requirements of the Changing Markets Foundation's Roadmap towards responsible viscose & modal fibre manufacturing.

① More information on the criteria and the lower-impact fibres considered, along with the scope, methodology and calculation changes in the *Methodological Annex* of this Report.

MDR-T_03;
MDR-T_04;
MDR-T_05;
MDR-T_06;
MDR-T_09;
MDR-T_12;
E5-3_13

MDR-T_01;
MDR-T_02;
MDR-T_03;
MDR-T_07;
MDR-T_08;
MDR-T_13

• Provide circularity services such as Zara Pre-Owned in key markets

At Inditex, we want to help our customers extend the useful life of their garments, so our target is to provide circularity services such as Zara Pre-Owned in key markets in 2025. With the addition of the United States in 2024, the programme is now under development in 17 markets.

This target is linked to the commitment enshrined in our Sustainability Policy to resource efficiency, in both the products we sell and our headquarters, stores and logistics centres.

MDR-T_04;
MDR-T_05;
MDR-T_06;
MDR-T_09;
MDR-T_12;
MDR-T_13;
E5-3_13

① More information on the scope and calculation methodology in the *Methodological Annex* of this Report.

By providing circularity services, we foster the reuse of products, extending their useful life through repair, resale between third parties or donation to community organisations. These organisations sort the garments by their condition and quality, allocating them to the best possible purpose, such as donation to people at risk of exclusion or sale in second-hand shops. These organisations also support the implementation of social projects in their markets.

In cases where a product is not reusable, it is recycled, aiming to limit the amount of waste generated and repurposing the raw materials obtained to make new garments. Considering the tiers of the waste hierarchy —Prevent, Reduce, Reuse, Recycle, Recover, Dispose— this target corresponds primarily to 'Reuse' and 'Recycle'.

At present, manufacturing new garments from recycled used clothing is one of the challenges facing the sector. That is why we endeavour to foster textile innovation and the development of used clothing recovery and management systems.

E5-3_01;
E5-3_02;
E5-3_03;
E5-3_04;
E5-3_05;;
E5-3_06;
E5-3_07;
E5-3_08;
E5-3_09

E5-4. Resource inflows

The design of our products and selection of raw materials are factors that shape the impact of our products. Accordingly, a fundamental aspect of our sustainability strategy is the commitment to use lower-impact fibres, enshrined in our Fibres Plan.

E5-4_01;
E5-4_02;
E5-4_03;
E5-4_04;
E5-4_05

① More information in section *E5-3. Targets related to resource use and circular economy* of this Report.

In 2024, we consumed 678,596 tonnes of raw materials used in our products (645,623 tonnes in 2023), which, by type, were broken down between 88% fibres and 12% non-fibres. With regard to the category of fibres, 53% were natural fibres²¹, 37% synthetic²² and 10% artificial²³.

		2024		2023	
	% of total tonnes of raw material	Raw material	% of total tonnes of raw material		% of total tonnes of raw material
Biological raw materials	57%	Cotton	44%		43%
		Man-made cellulosic fibres	8%		8%
		Linen	2%		2%
		Others ⁽¹⁾	3%		— ⁽³⁾
Technical raw materials	43%	Polyester	26%		26%
		Others ⁽²⁾	17%		— ⁽³⁾

(1) This category includes other raw materials like wool, leather, wood and paper, among others.

(2) This category includes other raw materials like polyamides, glass or certain metals, among others.

(3) The breakdown of raw materials into biological and technical materials has been adapted for the current reporting exercise, in accordance with the ESRS. In 2023, the 'other raw materials' category was reported on a consolidated basis and accounted for 21% of total raw materials.

²¹ Natural fibres are filaments obtained from natural sources that can be threaded to obtain strands, threads or twine.

²² Synthetic fibres are made of polymers that are not naturally produced, but fully created in a chemical plant or a laboratory, almost always using petroleum or natural gas by-products.

²³ Man-made fibres are made using a natural component as a raw material that undergoes a number of processes in a chemical plant or a laboratory.

With regard to the use of recycled materials, in 2024, 33% of all fibres and other raw materials used in our products are recycled, coming from both conventional and next-gen recycling of post-consumer waste (18% recycled materials in 2023). These materials are designed to ensure the technical and durability functions required in certain products, thereby contributing to sustainability and reducing the environmental impact in our supply chain.

In addition to the raw materials used directly to make our articles, we also use different materials in the packaging of our products. In 2024 we estimated that 521,448 tonnes materials were used for this purpose (84% organic packaging and 16% technical packaging). Furthermore, we continue to improve our corporate systems to report the recycled content of our packaging with the required detail.

Moreover, manufacturing processes also require other resources, such as chemicals and water, at certain facilities along the supply chain. At Inditex we have a series of policies and standards that determine our action principles on this topic, and that provide guidelines to prevent the emission of harmful substances in the various stages of the value chain and to promote a more efficient use of water.

① More information on water resources used in sections *E2-1. Policies related to pollution* and *E3-3/E3-4. Water consumption and related target* of this Report.

E5-4_06

The Methodological Annex of this Report contains a detailed description of the methodology employed to calculate the raw materials used in the manufacture and packaging of our products.

① More information in the *Methodological Annex* of this Report.

E5-5. Resource outflows

E5-5_01;
E5-5_04;
E5-5_06

At Inditex, our aim is to offer our customers an affordable, inspiring, high-quality and responsibly produced fashion proposal.

We also intend to advance towards a **circular economy model** that permeates every level of our business, from the design and production processes to managing our stores, logistics and offices.

As discussed throughout this chapter, we have numerous initiatives in place to promote the use of lower-impact raw materials and to encourage mechanical and next-generation recycling. In section E5-4. Resource inflows, we report the information concerning the raw materials used in our products, as well as the content of recycled materials used in 2024.

① More information in sections *E5-2. Actions related to resource use and circular economy*, *E5-4. Resource inflows* and in the *Methodological Annex* of this Report.

With regard to the percentage of our products that are recyclable, at present there is no standard methodology in the industry to calculate this information on a comparable way. Consequently, we are working with other important players to be able to report this information in the future.

E5-5_02;
E5-5_03

We are also working to address the lack of standardisation of potential methodological frameworks for measuring and defining the durability and reparability of products. We are currently involved, as members of the Technical Secretariat, with other major industry players, in developing the European Commission's **Product Environmental Footprint (PEF)**, a new, Europe-wide framework to gauge the environmental impact and provide comparable and harmonised information.

E5-5_05

In turn, our commitment to reducing our products impact also includes those items that accompany our items, such as packaging. Accordingly, at Inditex we have chosen to eliminate single-use plastics that reach customers in the packaging containing our products. Our commitment in this sphere implies a continuous effort in innovation to avoid using single-use plastics in new product lines, at our suppliers and in other Group operations.

We also have the **#BRINGYOUROWN BAG** (#TRAETUBOLSA) initiative, aimed at raising our customers' awareness regarding the importance of choosing reusable alternatives, reducing waste and minimising the consumption of raw materials, water and energy. This initiative, currently present in 79 markets, has reduced the number of bags and envelopes handed out in our stores by 48%. The proceeds from charging for bags and envelopes made from recycled paper in our stores and earmarked for environmental projects since 2021 amount to 120.5 million euros. At the end of the financial year, we allocated 67 million euros from those proceeds²⁴ to projects in 31 countries.

① More information on the projects to which the proceeds of #BRINGYOUROWN BAG have been donated in section *E4-3. Actions related to biodiversity and ecosystems* of this Report.

In addition, we promote the collection of packaging materials after use for reuse or recycling. With the aim of going one step further, we are rolling out a service allowing our Zara online customers to choose whether they wish to receive their orders in reused boxes. The service is active in various geographic areas in Spain and we are working to expand its scope into new markets forthwith. In this regard, we are working on improving our systems to report greater detail on these aspects, such as the proportion of recyclable items, in future years.

Waste management

We work on the properly management and separation of the waste generated by our activity. We see this waste as useful resources that can be repurposed or recycled, maximising its value and improving our impact.

This approach is not confined to properly sorting materials for processing and recycling, but includes rethinking our processes to reduce waste generation at every stage: design, logistics, store and end of life.

In this regard, we have 15 TRUE certifications, processed by Green Business Certification Inc. for our headquarters, logistics centres and own factories —nine Platinum and six Gold certifications—. TRUE certification identifies 'environmentally responsible spaces that have achieved 90% or greater overall diversion from landfill or incineration'.

Waste generation at our headquarters, logistics centres and own factories is presented below²⁵:

2024		
Type of waste	Tonnes	%
Cardboard and paper	38,413	64%
Wood	6,334	11%
Other non-hazardous waste	5,800	10%
Plastic	8,352	14%
Textile waste	1,054	2%
Metal	261	0%
Hazardous waste	55	0%
Total	60,269	100%

²⁴ Due to the time lag between charging for the bags and the formulation of initiatives, the amount currently raised exceeds the contribution allocated to projects.

²⁵ Waste generated in the Group's own stores is not included, as this information is not yet available at the required level of detail in the Company's systems. An estimate of this waste generation is provided below the table. This year we have expanded the scope of waste reported to include waste generated at operationally controlled e-commerce centres. Waste generated in previous years is not reported as it is not comparable, given the impossibility of recalculating the historical data according to this new scope.

The destination of this waste was as follows, according to its treatment:

	2024				
	HAZARDOUS		NON-HAZARDOUS		Total
	Tonnes	%	Tonnes	%	
Diverted from disposal	51	92%	54,910	91%	54,961
Recycling	18	32%	54,651	91%	54,669
Other waste recovery operations	26	47%	0	0%	26
Preparation for reuse	7	13%	259	0%	266
Directed to disposal	4	8%	5,303	9%	5,308
Landfilling	3	6%	4,987	8%	4,990
Other disposal operations	0	1%	0	0%	0
Incineration (with energy recovery)	1	2%	316	1%	317
Incineration (without energy recovery)	0	0%	0	0%	0
Total	55	100%	60,214	100%	60,269

Thus, in 2024, 9% of the waste generated at our headquarters, logistics centres and own factories will have been diverted for operations other than recycling, representing 5,600 tonnes.

We continue to make every effort to ensure the traceability of waste in the most challenging cases, such as in our stores located in shopping centres that combine the management of all waste.

In this connection, we continue to work to integrate in our systems the available information on the volume of waste generated at our stores. Based on the data available at the reporting date, we have estimated that in 2024 around 116,965 tonnes of waste was generated through the Group's own stores.

The Methodological Annex of this Report contains a detailed description of the methodology employed to calculate the waste generated at our facilities as a result of our activities.

① More information in the *Methodological Annex* of this Report.

E5-5_17

Disclosure pursuant to article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)

Regulatory context

The Inditex Group is subject to Regulation (EU) 2020/852 on EU Taxonomy (hereinafter 'Taxonomy'), which stipulates a series of obligations with regard to the disclosure of information relating to 'environmentally sustainable' activities. Since 2021, we have been reporting information concerning the Taxonomy in accordance with the applicable regulations, the scope of which has increased since that date with the publication of Delegated Regulation (EU) 2021/2139 (the Climate Delegated Act), Delegated Regulation (EU) 2021/2178 (the Disclosures Delegated Act) and Delegated Regulation (EU) 2023/2486 (the Environmental Delegated Act).

Companies remain exposed to the need to adapt to new requirements and periodically review their internal activities and management systems, due to the continuous development of new legislation and guidelines in the context of the Taxonomy, in order to ensure that the information provided is comprehensive and adequately compliant with the regulation.

In this context, it is confirmed that for now the Group's main activity — the distribution and sale of fashion and household products—is not currently included in the applicable regulatory framework. Nevertheless, there are other activities linked to the Group's business model that are included, as outlined below.

Scope and assessment of Inditex's activities

The scope of the information on Taxonomy includes all the companies over which the Inditex Group has control or joint control (listed in *Annex I* of the Consolidated Annual Accounts). Within this scope, the Group has conducted an analysis of its accounting information in order to determine which activities are associated with those described in the Taxonomy in relation to each of the six targets.

Methodology and results

To assess the contribution to each of the objectives established by the Taxonomy, we applied the following methodology:

- 1) **Eligibility analysis by type of activity:** analysing the accounting items linked to the three key indicators and how they match the descriptions of the Taxonomy activities included in Annexes I and II of the Climate Delegated Act and I to IV of the Environmental Delegated Act.
- 2) **Analysis of alignment by activity type:** we assessed, for all the activities considered eligible, compliance with the established criteria:
 - Technical screening criteria for substantial contribution.
 - The criteria of 'Do No Significant Harm' (DNSH) to the rest of environmental objectives.
 - Compliance with minimum social guarantees.
- 3) **Calculating the indicators and results:** considering the eligible activities aligned with the Taxonomy in accordance with the conclusions drawn from points 1 and 2.

1. Eligibility analysis of the activities carried out by Inditex

As a result of the assessment of its accounting information, eligible activities were identified within the framework of the climate change mitigation (CCM), climate change adaptation (CCA) and circular economy (CE) objectives.

These activities may be encompassed in four main groups according to the activity type considered by Inditex: **store refurbishments and openings, construction and renovation of corporate headquarters, the Group's logistics centres and other own facilities, and generation of electricity from wind and photovoltaic energy.**

The main conclusions of this analysis in connection with the three key indicators (Turnover, CapEx and OpEx) are presented below.

Turnover: Inditex is mainly dedicated to the distribution and sale of fashion items, and this activity is its main source of revenue. Since this activity is not currently included in the Taxonomy, no turnover items have been identified that could be considered eligible.

OpEx: in keeping with the definition of this indicator provided in Taxonomy, the percentage of eligible OpEx of the Inditex Group for 2024 has been considered to be approximately 0%.

CapEx: a core portion of the Group's CapEx corresponds to investments undertaken in relation with store **refurbishments and openings**. However, in most cases these actions are linked to the design and refurbishment of retail spaces, mainly leased premises, which only exceptionally involve the building's envelope or insulation (which is what has the capacity to influence its energy efficiency). This means that only in these exceptional cases are the Group's activities considered to be eligible in accordance with the description of the 'renovation of existing buildings' activity corresponding to the activity codes 7.2. CCM/CCA, for the climate change mitigation and adaptation objective, and 3.2. CE, for the circular economy objective. In this regard, it is worth noting that both activities describe the activity of renovation of existing buildings identically.

Another significant part of CapEx refers to the **construction and refurbishment of the Group's corporate headquarters, logistics centres and other own facilities**. In this case, with regard to the eligibility of the 'acquisition and ownership of buildings' activity corresponding to activity code 7.7. CCM/CCA, for the climate change mitigation and adaptation objectives. Activities with the capacity to influence the energy efficiency of the buildings analysed have been considered to be eligible.

The Company also carries out investments to foster self-consumption through the **generation of electricity using photovoltaic and wind power** at its own facilities. These investments are considered to be eligible in the framework of activity 'electricity generation from wind power' 4.3. CCM/CCA, in connection with both climate change mitigation and adaptation and the 'installation, maintenance and repair of renewable energy technologies', 7.6. CCM/CCA, in connection with mitigation and adaptation.

Furthermore, the Inditex Group undertakes **other eligible investments**. They are related, among others, with the installation, maintenance and repair of energy efficiency equipment in stores, headquarters and logistics centres, software development and data processing, and the implementation and operation of systems that supervise and optimise energy consumption to boost efficiency, which could be considered to be eligible in the framework of activities 7.3. CCM/CCA (installation, maintenance and repair of energy efficiency equipment), 7.5. CCM/CCA (installation, maintenance and repair of instruments and devices used to measure, regulate and control energy efficiency in buildings) and 8.1. CCM/CCA (data processing, hosting and related activities), respectively. However, these activities, which represent a immaterial proportion of approximately 0% of the Group's CapEx in 2024, would not meet the technical screening criteria and are not therefore Taxonomy-aligned.

Other taxonomic activities in which the Group is investing were also identified. These notably include: Activity 5.3. CE (preparation for re-use of end-of-life products and product components), activity 5.4. CE (sale of second-hand goods) for the circular economy objective. However, these activities, which also represent a immaterial proportion of approximately 0% of the Group's CapEx in 2024, would not meet the technical screening criteria and are therefore not Taxonomy-aligned.

According to the analysis carried out, the Group considers the following activities to be eligible in 2024 (solely in terms of CapEx):

Type of activity	Taxonomy objectives	Description of the activity	Inditex Group activities
Renovation of existing buildings	Climate change mitigation (7.2. CCM) Climate change adaptation (7.2. CCA) Circular economy (3.2. CE)	Construction and civil engineering works or preparations for such works	Renovation of stores, headquarters and logistics centres when it is possible to upgrade the building envelope
Acquisition and ownership of buildings	Climate change mitigation (7.7. CCM) Climate change adaptation (7.7. CCA)	Buying real estate and exercising ownership of that real estate	Ownership of headquarters, logistics centres and adjacent buildings by the Group and other facilities owned by it, provided there is a possibility of influencing the energy efficiency of the buildings analysed
Electricity generation from wind power	Climate change mitigation (4.3. CCM) Climate change adaptation (4.3. CCA)	Construction or operation of wind-generated electricity facilities	Electricity generation activities in wind power plants
Installation, maintenance and repair of renewable energy technologies	Climate change mitigation (7.6. CCM) Climate change adaptation (7.6. CCA)	Installation, maintenance and repair of renewable energy technologies, on-site	Installation, maintenance and repair of renewable energy technologies at logistics centres provided they are carried out on-site as building technical installations

2. Analysis of the alignment of activities by type of activity

For each of the eligible activities previously described, an assessment was carried out of the technical criteria in the climate change mitigation and adaptation objectives, specifically for CapEx. As a result, it was observed that the Group's activities contribute solely to the mitigation objective. This is because the actions identified in relation to the taxonomic activities mentioned are not carried out with the purpose of being 'adaptation solutions' or 'transition towards a circular economy' in keeping with the requirements for these activities pursuant to the criterion of substantial contribution to these objectives.

Accordingly, below is a detailed breakdown of the analysis of compliance with the technical screening criteria for the specific activities relating to the **climate change mitigation objective (CCM)**:

- / **Renovation of existing buildings** (activity 7.2. CCM), which is reported as CapEx in accordance with point 1.1.2.2.a) of the Disclosures Delegated Act, explains the assessment of compliance with the technical criteria relating to substantial contribution and DNSH specific to this activity;
- / **Acquisition and ownership of buildings** (activity 7.7. CCM), which is reported as CapEx and investment plan in accordance with points 1.1.2.2.a) and 1.1.2.2. b) of the Disclosures Delegated Act, respectively, as well as explaining the assessment of compliance with the technical criteria and DNSH applicable in the first case, and, for the second case, explaining the criteria considered in the investment plan;
- / **Electricity generation from wind power** (activity 4.3. CCM), reported via the CapEx Plan, in line with the applicable criteria.
- / **Installation, maintenance and repair of renewable energy technologies** (activity 7.6. CCM), which is reported in point 1.1.2.2.a) of the Disclosures Delegated Act, explains the assessment of compliance with the technical criteria relating to substantial contribution and DNSH specific to this activity;
- / Analysis of compliance with **DNSH criteria for the climate change adaptation objective and for the minimum social safeguards**, assessed jointly for the various groups of activities.

/ Renovation of existing buildings (Activity 7.2. CCM)

In 2024, several actions related to the comprehensive refurbishment of three of the Group's stores were identified as being aligned with the Taxonomy under activity 7.2. CCM, as explained below:

i. Compliance with the technical screening criteria for substantial contribution

With respect to the substantial contribution to the climate change mitigation objective, through the review of the works technical projects, it was observed that the action identified in this context implies the intervention on the building's facade and, accordingly, on at least 25% of its envelope, in keeping with the Taxonomy's requirements.

ii. Compliance with the technical screening criteria of 'Do No Significant Harm' (DNSH) specific to the activity

- **Climate change adaptation:** no material physical climate-related risks were identified that might affect the performance of the reported activity pursuant to the provisions of Annex A of the Climate Delegated Act. The detailed breakdown of compliance with this technical criterion is provided in the transversal section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.
- **Sustainable use and protection of water and marine resources:** the buildings analysed have been refurbished entirely, including sanitary fittings such as taps, basins and toilets that meet the minimum requirements as regards maximum water flow and maximum flush volume established by the Taxonomy. It is compliant with the technical guidelines followed by the Inditex Group in connection with plumbing and sanitation in the works it undertakes, which include caps on water flows in the plumbing systems of sanitary facilities in line with the Taxonomy's requirements, promoting a more conscious use of water resources.
- **Transition towards a circular economy:** the actions identified are compliant with the requirements of the Taxonomy, including that at least 70% of non-hazardous construction and demolition waste generated in the work should be recovered. This compliance is reflected in the store's Construction and Demolition Waste Management Plan, which includes building practices that support circularity; in addition to the construction waste management certificates, which confirm that 100% of the waste generated is recovered.
- **Prevention and control of pollution:** the construction components and materials used are compliant with the Taxonomy's requirements as per the record of the relevant affidavits and emission test. This includes the requirements linked to substances in Appendix C of the Climate Delegated Act, formaldehyde and volatile organic components (VOCs). In addition, the building complies with the Group's technical guidelines on indoor air quality and noise, which meet the Taxonomy requirements.

/ Acquisition and ownership of buildings (Activity 7.7. CCM)**(a) Investments in corporate headquarters**

With regard to investments in headquarters, we continued to invest in the construction of a new corporate building, which will be a part of the complex of buildings that make up the Group's Arteixo headquarters. This action is presented by means of an investment plan, approved by Inditex Management, which details all the measures in place to ensure that these investments match the Taxonomy requirements within the framework of the climate change mitigation objective through activity 7.7.

Compliance with the technical screening criteria by means of the investment plan

With regard to the new corporate building, in accordance with the provisions of the Disclosures Delegated Act, it is possible to present aligned activities by means of the investment plan that evidences that the investment is earmarked for an activity that will be Taxonomy-aligned within a maximum period of five years. Such a plan must meet a series of requirements as per the provisions of the Disclosures Delegated Act and the guidelines in the FAQ documents published in 2022 by the European Commission²⁶.

The plan concerning the corporate building includes a detailed set of measures —with their related expense, status of progress of implementation dates— that must be carried out to ensure that the action complies with the technical screening criteria of activity 7.7. CCM. More specifically, the document details the measures to be adopted for compliance with the requirements concerning energy efficiency²⁷, Life Cycle Analysis²⁸ and the Study of Air Tightness and Thermal Integrity of the Envelope²⁹ applicable to large non-residential buildings built from 2020 onwards. Meanwhile, the detailed breakdown of compliance with DNSH is provided in the section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.

²⁶ Commission Notice on the interpretation and implementation of certain legal provisions of the EU Taxonomy Regulation and links to the Sustainable Finance Disclosure Regulation of 19/12/2022, more specifically in the answer to question 26.

²⁷ Obtaining an Energy Efficiency Certificate showing that primary non-renewable energy consumption is at least 10% below the energy consumption thresholds established for Nearly Zero-Energy Buildings (NZEB); design and calculation of the climate control installation based on the requirements of the Regulation of Thermal Installations in Buildings (RITE); installation of a Building Management System (BMS) to allow the building to be efficiently managed through energy efficiency control and assessment.

²⁸ Calculation of the average yearly Global Warming Potential (GWP) for a reference study period of 50 years, resulting from the construction in each stage of the building's life cycle and in accordance with EN 15978 Standard.

²⁹ Performance of an air tightness and thermal integrity study of the building in accordance with EN 13187 and EN 13829 or equivalent standards.

Construction of this project is scheduled for completion in 2025. Once the execution has been completed, the Group undertakes to periodically assess compliance with the relevant technical criteria in this context and to conduct the related adjustments to its calculations and disclosures where necessary.

(b) Investments in logistics centres, Group-owned adjacent buildings and other Group-owned facilities

This year investments were undertaken at logistics centres, adjacent buildings and other Group-owned facilities (corresponding to a new Group-owned factory), that are considered to be aligned with the Taxonomy under activity 7.7. CCM, as explained below:

i. Compliance with the technical screening criteria for substantial contribution

The aforementioned buildings, built after 2020, present non-renewable primary energy consumption of at least 10% below the energy consumption thresholds established for non-residential buildings in accordance with the Basic Document HE, Energy Savings ('DB HE Ahorro de energía').

The centres cover a surface area of more than 5,000m² and during their construction were subject to robust and traceable quality control processes. They are efficiently operated through the continuous oversight and assessment of their energy performance as provided in the Taxonomy for this purpose. Moreover, the Life Cycle Analysis report of these buildings states that the Global Warming Potential (GWP) resulting from their construction was calculated at each stage of their life cycle in accordance with the relevant standards. Inditex formally undertakes to disclose this GWP to investors and/or customers who so request.

ii. Compliance with the technical screening criteria of 'Do No Significant Harm' (DNSH) specific to the activity

- **Climate change adaptation:** no material physical climate-related risks were identified that might affect the performance of the reported activity pursuant to the provisions of Annex A of the Climate Delegated Act. The detailed breakdown of compliance with this technical criterion is provided in the transversal section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.

/ Electricity generation from wind power (Activity 4.3. CCM)

With regard to activity 4.3. CCM, one wind-generated electricity project was identified: the Punta Langosteira Outer Port Wind Facility. This project is aimed at achieving self-consumption between the Inditex Arteixo headquarters and the A Coruña Port Authority, and it will enter into operation in early 2027, so it is reported by means of an investment plan.

Compliance with the technical screening criteria by means of the investment plan

As previously explained in connection with the requirements pertaining to the investment plan for the Punta Langosteira Outer Port Wind Facility, measures are envisaged to ensure that the infrastructure is compliant with the technical screening criteria applicable to activity 4.3. CCM. Specifically, the purpose of electricity generation from wind power is included in the Technical Construction Report, which shows that the purpose of this facility is to generate wind power for self-consumption. Furthermore, an Environmental Impact Study is planned as is the compilation of a document outlining the availability of highly durable, recyclable and easily dismantable equipment and parts for the installation, so as to comply with the applicable biodiversity and circular economy DNSHs, respectively. In turn, the detailed breakdown of compliance with DNSH is provided in the section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.

Construction of this project is scheduled for completion in 2027. Once the execution has been completed, the Group undertakes to periodically assess compliance with the relevant technical criteria in this context and to conduct the related adjustments to its calculations and disclosures where necessary.

/ Installation, maintenance and repair of renewable energy technologies (Activity 7.6. CCM)

With regard to activity 7.6. CCM, three photovoltaic projects have been identified at our Laracha logistics centres (expansion of existing facility) and Zaragoza. These projects are intended for self-consumption and are expected to come on stream in 2025.

i. Compliance with the technical screening criteria for substantial contribution

With regard to the substantial contribution to the objective of climate change mitigation, by means of review of the facility's technical projects, it was found that the activity consists of the installation, maintenance and repair of solar photovoltaic systems and auxiliary technical equipment on site as technical installations pertaining to these logistics centres.

ii. Compliance with the technical screening criteria of 'Do No Significant Harm' (DNSH) specific to the activity

- **Climate change adaptation:** no material physical climate-related risks were identified that might affect the performance of the reported activity pursuant to the provisions of Annex A of the Climate Delegated Act. The detailed breakdown of compliance with this technical criterion is provided in the transversal section 'Compliance with the technical screening criterion of Do No Significant Harm (DNSH) to the climate change adaptation objective'.

/ Analysis of compliance with the climate change adaptation DNSH and minimum social safeguards

Compliance with the technical screening criteria of 'Do No Significant Harm' (DNSH) to the climate change adaptation objective

The Inditex Group has analysed the potential impacts in connection with climate change risks, both physical and transition risks, using five emissions pathways aligned with the socioeconomic forecasts of the Intergovernmental Panel on Climate Change (IPCC's Shared Socioeconomic Pathways - SSPs), and considering short (0-5 years), medium (5-10 years) and long (more than 10 years) time frames. For physical risks, the Group has considered seven sources of risk that are relevant to Inditex's business. After identifying and assessing the potential impacts deriving from the sources of climate-related risks (including the most significant ones associated with a disruption of operations at key facilities, damages to physical assets or disruptions to the supply of raw materials), no material risks were detected that affect the reported Taxonomy activities. Furthermore, the Group has defined adaptation measures aimed at reducing its exposure to risks, thereby adapting to the consequences of climate change.

① More information on the assessment of climate-related risks in section *SBM-3. Material impacts, risks and opportunities* of this Report.

Compliance with the criteria for minimum social safeguards

For any economic activity to be considered to be aligned, it must be carried out in accordance with the OECD Guidelines for Multinational Enterprises and the United Nations Guiding Principles on Business and Human Rights.

The Group applies to its operations and business decisions an approach based on the development of due diligence processes, which enables the Group to identify, prevent, mitigate and remedy, if applicable, the impacts on the economy, the environment and people (including those related to human rights). In this regard, the Group's Human Rights Strategy is consistent with the UN Guiding Principles on Business and Human Rights and based on three pillars for integrating the promotion of and respect for human rights throughout the value chain: the Group's Human Rights Policy, due diligence and grievance mechanisms. There are also policies and procedures in connection with competition, anti-corruption, responsible business, conflicts of interest and fiscal responsibility. It is worth highlighting the Code of Conduct, aimed at ensuring a professional, ethical and responsible commitment from the Group and everyone belonging to it in the course of their activities, as a basic element of the business culture.

① More information in sections *G1. Business conduct* and *GOV-4. Statement on due diligence* of this Report.

3. Calculation of indicators and results

Having assessed the eligibility and alignment of the activities identified, the corresponding indicators (Turnover, CapEx, and OpEx) were calculated for each of them. The process of calculating these key performance indicators involves analysing the Group's consolidated information, excluding intercompany transactions, bearing in mind the adjustments made in the consolidation process, using a single source of information to avoid considering the same item twice, and checking the traceability and accuracy of the information.

These indicators represent the proportion of the Group's turnover, investments in assets and operating expenditure, that adheres to, whether in the form of eligibility or alignment, the requirements outlined in the Taxonomy. To construct the numerators of the three key performance indicators, the corresponding items identified as eligible or aligned as per the Taxonomy are considered. With regard to the denominators:

- **Turnover:** the denominator includes the ordinary revenue in the year. Revenue from Group companies, grants or gifts, among others, are not taken into account. Specifically, the figure is taken from the information on sales turnover reported in Inditex's Consolidated Annual Accounts (*Note 4*).
- **CapEx:** the denominator includes additions to assets, including those derived from business combinations and rights of use. Therefore, the Group considers all additions to property, plant and equipment, intangible assets and rights of use in accordance with IFRS 16. Specifically, the figure is taken from the information on additions reported in Inditex's Consolidated Annual Accounts (*Notes 14, 15 and 16*).
- **OpEx:** the denominator includes the expenses associated with research and development, building renovation measures, short-term leases and maintenance or repairs that ensure the proper functioning of the assets. Specifically, the figure is taken from the information on operational expenses reported in Inditex's Consolidated Annual Accounts (*Note 6*).

The results obtained for each of these key performance indicators are shown below, alongside the respective conclusions.

Turnover

In keeping with the previous information and as in previous years, no items of turnover have been identified that could be considered eligible as per the current Taxonomy framework. This means that the eligible turnover results in 2024 are approximately 0%.

CapEx

The Inditex Group considers eligible items³⁰ linked to the following investment types within the framework of the mitigation and adaptation objectives:

- **Renovation of existing buildings** (Activity 7.2. CCM)
- **Acquisition and ownership of buildings** (Activity 7.7. CCM)
- **Electricity generation from wind power** (Activity 4.3. CCM)
- **Installation, maintenance and repair of renewable energy technologies** (Activity 7.6. CCM)

The percentage investment in environmentally sustainable activities in 2024 (7.8%) increased with respect to that reported in 2023 (3.4%). The difference between the two results lies mainly in the inclusion of the items linked to the construction of logistics centres.

There are no Taxonomy-eligible activities that are not environmentally sustainable thanks to the Group's efforts to put in place measures to ensure current and future alignment of actions related to the acquisition and ownership of buildings (activity 7.7. CCM) with the Taxonomy's technical criteria.

OpEx

Consistent with the foregoing, the criterion for calculating OpEx is unchanged with respect to the previous year. Consequently, eligible OpEx is observed to be approximately 0% of the Inditex Group's total OpEx in 2024.

³⁰ As explained, some of the items linked to activities CCM 7.7. and CCM 4.3. through the investment plan are included in the numerator.

Turnover	2024		Substantial Contribution Criteria						DNSH criteria ('Does Not Significantly Harm')								Proportion of Taxonomy-aligned (A.1.) or -eligible (A.2.) turnover, year 2023	Category enabling activity	Category transitional activity
	Code(s) (1)	Turnover	Proportion of Turnover, year 2024	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum safeguards			
Economic activities																			
		M€	%	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%		
Of which Enabling		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%	E	
Of which Transitional		0.0 M€	0.0%	0.0%													0.0%		T
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
		M€	%	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)										
Turnover of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%		
A. Turnover of Taxonomy-eligible activities (A.1+A.2)		0.0 M€	0.0%														0.0%		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																			
Turnover of Taxonomy-non-eligible activities		38,632 M€	100%																
TOTAL		38,632 M€	100%																

(1) The Code constitutes the abbreviation of the relevant objective to which the economic activity is eligible to make a substantial contribution, as well as the section number of the activity in the relevant Annex covering the objective, i.e.:

- Climate change mitigation: CCM.
- Climate change adaptation: CCA.
- Water and marine resources: WTR.
- Circular economy: CE.
- Pollution prevention and control: PPC.
- Biodiversity and ecosystems: BIO.

- (2) Y: yes, Taxonomy-eligible and Taxonomy-aligned activity with the relevant environmental objective.
 N: no, Taxonomy-eligible but not Taxonomy-aligned activity with the relevant environmental objective.
 N/EL: not eligible, Taxonomy non-eligible activity for the relevant environmental objective.
- (3) EL: Taxonomy eligible activity for the relevant objective.
 N/EL: Taxonomy non-eligible activity for the relevant objective.

CapEx	2024			Substantial Contribution Criteria						DNSH criteria ("Does Not Significantly Harm")							Proportion of Taxonomy-aligned (A.1.) or eligible (A.2.) CapEx, year 2023	Category enabling activity	Category transitional activity
Economic activities	Code(s) (1)	CapEx	Proportion of CapEx, year 2024	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum safeguards			
		M€	%	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N			
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Electricity generation from wind power	CCM 4.3.	2.3 M€	0.04%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	Y	Y	Y	Y	Y	0.1%		
Renovation of existing buildings	CCM 7.2.	11.6 M€	0.2%	Y	N	N/EL	N/EL	N	N/EL	Y	Y	Y	Y	Y	Y	Y	0.2%		T
Installation, maintenance and repair of renewable energy technologies	CCM 7.6.	1.4 M€	0.03%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	Y	Y	Y	Y	Y	0.0%	E	
Acquisition and ownership of buildings	CCM 7.7.	395.9 M€	7.5%	Y	N	N/EL	N/EL	N/EL	N/EL	Y	Y	Y	Y	Y	Y	Y	3.1%		
CAPEX of environmentally sustainable activities (Taxonomy-aligned) (A.1)		411.2 M€	7.8%	7.8%	0.0%	0.0%	0.0%	0.0%	0.0%	Y	Y	Y	Y	Y	Y	Y	3.4%		
Of which Enabling (4)		1.4 M€	0.03%	0.03%	0.0%	0.0%	0.0%	0.0%	0.0%	Y	Y	Y	Y	Y	Y	Y	0.0%	E	
Of which Transitional (4)		11.6 M€	0.2%	0.2%						Y	Y	Y	Y	Y	Y	Y	0.2%		T
A.2 Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
		M€	%	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)										
CAPEX of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%		
A. CapEx of Taxonomy-eligible activities (A.1+A.2)		411.2 M€	7.8%	7.8%	0.0%	0.0%	0.0%	0.0%	0.0%								3.4%		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
CapEx of Taxonomy-non-eligible activities		4,867 M€	92.2%																
TOTAL		5,278 M€	100%																

(1) The Code constitutes the abbreviation of the relevant objective to which the economic activity is eligible to make a substantial contribution, as well as the section number of the activity in the relevant Annex covering the objective, i.e.:

- Climate change mitigation: CCM.
- Climate change adaptation: CCA.
- Water and marine resources: WTR.
- Circular economy: CE.
- Pollution prevention and control: PPC.
- Biodiversity and ecosystems: BIO.

(2) Y: yes, Taxonomy-eligible and Taxonomy-aligned activity with the relevant environmental objective.

N: no, Taxonomy-eligible but not Taxonomy-aligned activity with the relevant environmental objective.

N/EL: not eligible, Taxonomy non-eligible activity for the relevant environmental objective.

(3) EL: Taxonomy eligible activity for the relevant objective.

N/EL: Taxonomy non-eligible activity for the relevant objective.

(4) The criteria for expressing the percentage of enabling and transition activities has been modified. Thus, the denominator used to calculate the percentages corresponds to the total CapEx. The historical data has been recalculated to make the results comparable year on year.

Objectives	Proportion of CapEx/ Total CapEx	
	Taxonomy-aligned per objective	Taxonomy-eligible per objective
CCM	7.8%	7.8%
CCA	0%	7.8%
WTR	0%	0%
CE	0%	0.2%
PPC	0%	0%
BIO	0%	0%

OpEx	2024		Substantial Contribution Criteria							DNSH criteria ('Does Not Significantly Harm')									
Economic activities	Code(s) (1)	OpEx	Proportion of OpEx, year 2024	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum safeguards	Proportion of Taxonomy aligned (A.1) or eligible (A.2.) OpEx, year 2023	Category enabling activity	Category transitional activity
		M€	%	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y; N; N/EL (2)	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
OpEx of environmentally sustainable activities (Taxonomy-aligned) (A.1)		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%		
Of which Enabling		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%	E	
Of which Transitional		0.0 M€	0.0%	0.0%													0.0%		T
A.2 Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
		M€	%	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)	EL; N/EL (3)										
OpEx of Taxonomy-eligible, but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		0.0 M€	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%								0.0%		
A. OpEx of Taxonomy eligible activities (A.1+A.2)		0.0 M€	0.0%														0.0%		
B. TAXONOMY NON-ELIGIBLE ACTIVITIES																			
OpEx of Taxonomy-non-eligible activities		1,586 M€	100%																
TOTAL		1,586 M€	100%																

(1) The Code constitutes the abbreviation of the relevant objective to which the economic activity is eligible to make a substantial contribution, as well as the section number of the activity in the relevant Annex covering the objective, i.e.:

- Climate change mitigation: CCM.
- Climate change adaptation: CCA.
- Water and marine resources: WTR.
- Circular economy: CE.
- Pollution prevention and control: PPC.
- Biodiversity and ecosystems: BIO.

- (2) Y: yes, Taxonomy-eligible and Taxonomy-aligned activity with the relevant environmental objective.
 N: no, Taxonomy-eligible but not Taxonomy-aligned activity with the relevant environmental objective.
 N/EL: not eligible, Taxonomy non-eligible activity for the relevant environmental objective.

- (3) EL: Taxonomy eligible activity for the relevant objective.
 N/EL: Taxonomy non-eligible activity for the relevant objective.

Other information related to Taxonomy

Information on nuclear and fossil gas activities in Annex III of Delegated Regulation 2022/1214.

Nuclear energy related activities

1	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	No

Fossil gas related activities

4	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	No
5	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	No
6	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	No

6. Social information

[ESRS S]

S1. Own workforce

S2. Workers in the value chain

S3. Affected communities

S4. Consumers and end-users



S1. Own workforce

A. Strategy

SBM-3. Material impacts, risks and opportunities

Our people's talent and contribution are key to Inditex's success. Consequently, we strive to prevent, mitigate and remediate potential negative impacts and their associated risks for our workforce, as well as to drive positive impacts and opportunities.

Material Impacts, Risks and Opportunities related to our people

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN	RELATED POLICIES
S1.I1	Quality employment	I	/ Own operations	Transversal policies: / Code of Conduct / Human Rights Policy / Sustainability Policy
S1.I2	Payment of adequate wages	I	/ Own operations	
S1.I3	Efficient mechanisms for social dialogue and respect for the rights of freedom of association and collective bargaining	I	/ Own operations	
S1.I4	Work-related accidents and occupational diseases	I	/ Own operations	
S1.I5	Professional development	I	/ Own operations	Specific policies: / Diversity and Inclusion Policy / Global Anti-Harassment Policy / Occupational Health and Safety Policy / Global Policy on Internal Reporting Channels / Compliance Policy regarding Personal Data Protection and Privacy / Information Security Policy
S1.I6	Possible impacts on vulnerable groups	I	/ Own operations	
S1.I7	Possible loss of personal data	I	/ Own operations	
S1.R1	Risks related to human capital	R	/ Own operations	
S1.O1	Business development opportunities by attracting and retaining talent	O	/ Own operations	

① More information on stakeholder engagement and our materiality assessment in section [SBM-3. Material impacts, risks and opportunities](#) and [IROs. Disclosures on the materiality assessment process](#) of this Report.

Scope

We have analysed the possible positive and negative impacts for our own workforce. In the context of this Report, and pursuant to the ESRS definitions, 'our own workforce' includes both employees and non-employees, hereinafter: 'our teams'.

Employees: personnel who have a direct employment relationship with the Company. Hereinafter referred to as 'our people', 'workforce' or 'employees'. This category includes the following groups, according to their job classification:

/ **Management:** employees in management positions with responsibility for interdisciplinary working groups related to the areas of design, manufacturing, distribution, logistics, stores, technology, sustainability and other general services. It also includes store management.

S1.SBM-3_01;
S1.SBM-3_02

/ **Supervisor:** employees who are part of interdepartmental and transversal working groups for design, logistics and stores, as well as sustainability, technology and other general services.

/ **Specialist:** employees with an impact through individual contribution related to one of the Group's activities in the areas of design, manufacturing, distribution, logistics, stores, sustainability, technology and other general services.

Non-employees: other professionals who are not our own employees but that carry out activities for the Company (either by providing labour or people provided by employment companies). Hereinafter, 'other professionals' or 'non-employees'

S1.SBM-3_11

Within this scope, we identify the groups at most risk of vulnerability at the workplace and we establish measures for their protection and support. These actions are materialised in policies and best practices to prevent discrimination or harassment of any kind.

Accordingly, we work to integrate people in our teams, comprised of people of different sexes, gender identities and expressions, sexual orientations, races, ethnicities, ages, education, socio-economic status, disabilities or religions.

① More information in sections *S1-4. Actions related to own workforce* and *S1-9. Diversity metrics* of this Report.

Occurrence and types of impacts

S1.SBM-3_03

The **potential negative impacts** related to our people tend to be systemic at the global and industry level. There are also individual impacts, such as those linked to occupational accidents, cases of harassment, or protection of personal data.

To prevent both kinds of impact and mitigate the possible negative effects deriving from them, we introduce measures like internal diversity and inclusion audits, occupational accident prevention programmes and training initiatives. We also have an active role in social dialogue thanks to our collaboration with **UNI Global Union** (UNI), with whom we have a global agreement that promotes decent work and protects the labour rights of all our workforce.

S1.SBM-3_04

We also aim to generate **positive impacts** on our people. To achieve this, we implement measures to improve their quality of life and well-being, by establishing favourable working conditions, work-life balance measures or adequate wages.

We also develop initiatives focused on quality employment through social dialogue, such as the creation of our Well-being Committees; on promoting equality and inclusion in our people, as in programmes such as Salta and the INCLUYE project; and on ensuring health, safety and well-being in our workplaces.

Lastly, we are concerned about the professional development of our people. We therefore provide practical training, which is mostly given by in-house employees or developed in collaboration with top-level external entities.

① More information on actions related to our people in section *S1-4. Actions related to own workforce* of this Report.

S1.SBM-3_06

In addition, we have not identified negative impacts linked to the transition plans, nor operations or geographical areas with a significant risk of incidents of forced, compulsory or child labour among our people.

S1.SBM-3_07;
S1.SBM-3_08;
S1.SBM-3_09;
S1.SBM-3_10

① More information in the 'Just Transition' section of our Climate Transition Plan, available on Inditex's corporate website.

Risks and opportunities

S1.SBM-3_05

Based on the analysis of impacts and dependencies, in particular those linked to the dependence on qualified personnel, we also identify the risks and opportunities associated with our people.

This allows us to work on the prevention and mitigation of risks and their associated negative effects. Part of this effort consists of ensuring favourable working conditions and robust compliance with regulations to minimise the chance of labour disputes. We also establish recruitment and retention strategies to avoid losing talented professionals; we implement communication channels to resolve disputes early on; and we carry out initiatives for the dissemination, prevention and promotion of occupational health, safety and well-being.

Moreover, we see attracting and retaining talent as a key opportunity for our business. Hence, we implement specific talent programmes such as Zara Business Graduates and Zara Boost, as well as training initiatives such as LEAP.

① More information on our actions related to our people in section [S1-4. Actions related to own workforce](#) of this Report.

S1.SBM-3_12

These risks and opportunities apply across the board to all our operations and do not correspond more to a specific group of people.

B. Impact, risk and opportunity management

S1-1. Policies related to own workforce

S1.MDR-P_01-06;
S1-1_01;
S1-1_02

We undertake to safeguard the rights of the people who make up Inditex and to foster continuous dialogue so as to take into account their interests. This commitment is structured around different corporate policies, based on respect for human rights; diversity, inclusion and equal opportunities; equal treatment and opportunities with regard to recruitment and promotion; health, safety and well-being; as well as information security and data protection.

Policies related to our people

- / Code of Conduct ①
- / Human Rights Policy ①
- / Diversity and Inclusion Policy ①
- / Global Anti-Harassment Policy ①
- / Occupational Health and Safety Policy ①
- / Compliance Policy regarding Personal Data Protection and Privacy ①
- / Information Security Policy ①
- / Ethics Line Procedure ①
- / Global Policy on Internal Reporting Channels ①
- / Sustainability Policy ①

① More information on our policies and their updates in section [MDR-P. Policies](#) in this Report.

Our policies are the cornerstone that allow us to:

- / Respect **human and labour rights**, rejecting, among other things, any practice of child labour, forced or compulsory labour and modern slavery.
- / Implement practices to **prevent any form of discrimination** and to promote equal opportunities in access to employment and career advancement. This involves, for example, initiatives for inclusion and accessibility to decent work for people with disabilities, as well as actions to promote the equality of people, regardless of their gender, ethnicity, sexual orientation, or any other characteristic.
- / Work to **improve satisfaction** by providing quality employment, promoting job stability, with guarantees of fair working hours, work-life balance and flexible working, as well as the payment of an adequate wage.
- / Look after the **well-being** of our teams with health and safety measures.
- / Establish effective mechanisms for **social dialogue**, encouraging collective bargaining and freedom of association.
- / Develop tools to ensure the **protection and safeguarding** of information on personal data and the privacy of our teams.

S1-1_03;
S1-1_04

Respect for and promotion of the human, labour and non-labour rights of our teams is included in our Sustainability Policy and further developed in the Human Rights Policy. Hence, the Human Rights Policy, which is binding on our employees and on all those who have a relationship with the Group, enshrines Inditex's commitment to the values that these frameworks represent. For prioritisation purposes, the Policy also identifies the rights most directly connected with our main activities and the stakeholders we interact with.

The Code of Conduct, along with other internal regulations, also reflects this projection, as we strive to ensure it is upheld and fostered among our teams, with an emphasis on collaboration and respectful communication among people, both internally and externally, in line with our Diversity and Inclusion Policy.

In addition, we complement our commitment to the Global Framework Agreement with UNI Global Union for the respect and promotion of decent work and labour rights, which encourages best practices in labour relations.

S1-1_08

Our Human Rights Policy, in line with all other corporate policies, including our Sustainability Policy, expressly prohibits forced and child labour. Furthermore, we do not tolerate any form of modern slavery or human trafficking in our organisation or in our supply chain.

This rejection of any form of forced or compulsory labour is also reflected in our Code of Conduct, which details the minimum age of employment, in line with the prohibition of child labour. In this way, we ensure that we do not employ anyone under the age of 16, unless not doing so would be in breach of applicable local regulations.

① More information on the Human Rights Policy in section *MDR-P. Policies* of this Report.

S1-1_07

The commitment to respect and promote human rights in both the Group's activities and in the communities in which we operate is aligned with international benchmark principles, such as the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises on Responsible Business Conduct.

S1-1_05

To ensure that our policies are known and effective, we promote **continuous dialogue** with our teams, using tools such as the Agreement with UNI Global Union, communication with the trade unions, application of our Code of Conduct, implementation of training measures, and the provision of guaranteed communication and consultation channels such as the Ethics Line. This allows us to advance in our commitment to respect and promote decent work and the labour rights of our people.

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04;
MDR-P_05

Diversity inclusion and equal opportunities

As part of our commitment to respect human rights, our regulations also include policies related to the **promotion of diversity and inclusion**, and **zero tolerance of any kind of discrimination or harassment**. These policies also embody our principles regarding training, in order to guarantee **equal opportunities and professional growth** within the Company.

Diversity and Inclusion Policy

Approved by the Board of Directors on 12 December 2017 and partially amended on 14 December 2020

Key contents	/ Promotion of diverse teams and a culture of equality, inclusion and respect, based on multiculturalism and gender diversity, gender identity and expression, race, ethnicity, age, education, socio-economic class, disability, religion, sexual orientation, etc.
Scope	/ The entire Group (companies and individuals) / We promote its application to all related natural and legal person (workers in the supply chain, customers, suppliers, contractors and those who participate in selection processes)
Accountable for the implementation	/ People department and its chief officer
Third-party standards	/ GEEIS (Gender Equality European & International Standard) and GEEIS Diversity certifications / UN Standards of Conduct for Business against LGBTQI+ discrimination at a global level
Consideration given to stakeholders	/ Engagement with our people through affinity groups, worker representatives, or through the figure of Diversity Champions

Global Anti-Harassment Policy

Approved by the Board of Directors on 15 March 2022 and updated on 7 November 2023

Key contents	/ Commitment to the prevention of harassment of any type or form / Prohibition of any kind of physical, sexual, psychological or verbal harassment or abuse to any member of our workforce, as well as any conduct that might create an intimidating, offensive or hostile work
Scope	/ The entire Group (companies and individuals), both in their relationship with other members of the Group and with any other stakeholder / People who provide services or collaborate with the Group (including the Board of Directors)
Accountable for the implementation	/ People department and its chief officer
Third-party standards	/ Convention No. 190 and Recommendation No. 206 of the ILO on violence and harassment
Consideration given to stakeholders	/ We involve workers' representatives in the advancements made in both the Policy and the Code of Conduct / Involvement through social dialogue, in the implementation of protocols against sexual harassment in the Equality Plans with trade union representatives in Spain

Zero tolerance approach to discrimination

S1-1_10;
S1-1_11

We are committed to a **zero-tolerance policy towards any kind of discrimination**, and we undertake to drive diversity through a culture of inclusion, equality and respect.

This commitment is established on the basis of our Human Rights Policy, and is made effective through the application of the **Anti-Harassment Policy** and the **Diversity and Inclusion Policy**, as well as the Code of Conduct, which must be complied with by all our people.

This prohibits discrimination at all levels of the Company on the grounds of race, ethnic origin, disability, illness, religion, marital status, sexual orientation, political opinion, age, nationality, sex, gender identity and expression or for any other reason.

S1-1_12

We also recognise that people are unique in our differences and similarities. In keeping with our slogan 'We Design Opportunities for All', our Diversity and Inclusion Policy is the foundation on which to build protection and equal opportunities initiatives for especially vulnerable groups in connection with human rights.

These notably include those focused on socio-ethnic inclusion, inclusion of LGBTQI+ people and disability inclusion. Programmes such as SALTA and INCLUYE, which promote the employability and socio-labour inclusion of people who face socio-economic or educational barriers or obstacles because of a disability, are examples of this commitment.

The Policy also fosters equal treatment and opportunities for women and men in the workplace.

① More information on the SALTA programme in section *S1-4. Actions related to own workforce* and on the diversity target in section *S1-5/S1-12. Persons with disabilities and related target* of this Report.

S1-1_18

Moreover, one of our priorities is to comply with the principles of universal accessibility, especially for our workforce and customers who may have any kind of disability. That is why we adapt our workplace for people with disabilities or mobility issues.

S1-1_13

To apply our Policy, we develop procedures and implement training initiatives and programmes, driven by the Diversity and Inclusion department. This department is part of the Culture and Values team and is led by the person designated as **Global Diversity & Inclusion Officer**, who coordinates an international team. Among other functions, this team supports the **Diversity Champions**, who are responsible for this area in their markets, retail concepts and workplaces. In addition, to ensure transparency and independence, we have our Ethics Line.

S1-1_16

Our commitment to **diversity and inclusion** is also driven by the Board of Directors. This body adopts measures aimed at promoting diversity and avoiding discrimination of any kind, particularly on grounds of gender, when appointing members of the Board or Senior Management. The People department management defines and implements the strategies and measures to comply with the general principles set out in the Diversity and Inclusion Policy.

S1-1_15

Equal treatment and opportunities with regard to the recruitment, training and promotion of people

The Diversity and Inclusion Policy is also applicable to recruitment and selection, pay and benefits, promotions, transfers, career development and training, demotions, dismissals and other disciplinary measures.

We therefore promote initiatives to optimise individual and collective performance and spaces for the integral development of people, in keeping with a practical and adapted training model. Most training actions are led by in-house professionals, occasionally supplemented by renowned external entities.

S1-1_20;
S1-1_22

The corporate learning platform **TraIn** is the core of our educational offering, providing an extensive catalogue of customised digital content. This tool facilitates the management of and participation in in-person training, covering strategic topics such as 'Fashion and product', 'Sustainability', 'Customer experience', 'Operations', 'Skills' and 'Digital'.

TraIn is available in all markets where we operate, with the exception of Mainland China, which instead uses Grow, a local platform that offers training aligned with TraIn standards and targets. This multinational approach ensures homogeneous access to development opportunities, adapted to each geography. It also helps us to offer a wide range of customised digital content, facilitating the registration of online and in-person training courses.

In addition to advancing training, we foster internal promotion and mobility so that our people can evolve.

① More information on training in sections [S1-4. Actions related to own workforce](#) and [S1-13. Training and skills development metrics](#) of this Report.

S1-1_17

Awareness

Training our people in diversity and inclusion is essential to create an inclusive culture and make spaces free of any kind of discrimination. In 2024, 98,749 people from all over the world accessed training on diversity and inclusion in this connection.

In 2023 we launched the **Diversity and Inclusion Channel**, a specific training channel. It covers mandatory training on diversity, equity and inclusion, including the basics of our Diversity and Inclusion Policy. Furthermore, in 2024 we added training on disability inclusion at the global level and another on inclusive language in Spanish-speaking countries. In total, 74,064 people, including 7,120 team supervisors or management, that have taken at least one of these courses.

Our catalogue of mandatory training also includes training on the Global Anti-Harassment Policy and specific content on diversity and inclusion for people in leadership positions. For example, the company's senior management programme developed in collaboration with IE Business School, in which 113 executives attended training in 2024, includes a specific module on inclusive leadership and the promotion of inclusive and equitable work environments, led by the Global Diversity & Inclusion Officer.

Health, safety and well-being

As part of our unwavering commitment to people's health, safety and well-being, we apply international standards and focus on measures to identify and mitigate risks, foster a culture of safety, training and skill-building, along with health and well-being programmes, among other initiatives.

Occupational Health and Safety Policy

Approved by the Board of Directors on 10 September 2019 and updated on 13 December 2022

Key contents	/ Commitment to and continuous improvement of workplace well-being, health and safety / Effective management of workplace accidents and occupational illnesses / Foundation for our occupational health and safety management systems
Scope	/ The entire Group (companies and individuals)
Accountable for the implementation	/ People department and its chief officer
Third-party standards	/ ISO 45001
Consideration given to stakeholders	/ Involvement through occupational health and safety training and management plans, with the participation of stakeholders

S1-1_09

In addition to the Occupational Health and Safety Policy, we have an occupational health and safety management system, certified to ISO 45001 standard. This system optimises the monitoring of safety conditions in the workplace to reduce incidents and aims to increase workers' participation in health-promoting activities, including emergency and first aid training.

Information security and data protection

Data protection and privacy, in particular in respect of our people and customers, is of paramount importance for Inditex. Accordingly, the following policies reflect best practices in connection with information security:

/ **Compliance Policy regarding Personal Data Protection and Privacy:** in line with our Code of Conduct, it sets out our mission to respect privacy and protect personal data, in particular with respect to the risk of data loss as a result of cybersecurity vulnerabilities.

/ **Information Security Policy:** it ensures the protection of information, regardless of how it is communicated, shared, projected or stored. This protection covers both the information inside the Group and the information shared with third parties.

① More information in section [S4-1. Policies related to consumers](#) of this Report.

S1-1_06;
S1-1_21

Grievance mechanisms

Grievance mechanisms are key to help identify potential negative impacts and develop plans for their prevention, mitigation and remediation, while tackling any associated risks at the same time. The **Ethics Line** is available to our people as an effective and accessible **communication channel** to confidentially communicate their queries and/or doubts regarding the interpretation of our policies, or breaches and other non-compliances relating to the legal system, our Codes of Conduct or any other internal regulations.

① More information on how the Ethics Line works in section [G1-1. Corporate culture and business conduct](#) of this Report.

S1-1_14

Communication of policies

All our policies can be found on the Group's intranet and corporate website and are available in a wide range of languages to provide access to any stakeholder, whether internal or external.

Furthermore, to ensure that all our teams are aware of corporate policies and their updates, we make use of training and monitoring plans, as well as other internal communication initiatives.

① More information in section [G1-3. Prevention and detection of corruption and bribery](#) of this Report.

S1-2. Processes for engaging with own workforce

S1-2_01;
S1-2_02

At Inditex we believe that it is essential **to listen to and involve** our people to correctly manage the actual and potential impacts on them. That is why we have relationship and dialogue mechanisms that help us to ensure that their perspectives are heard and incorporated into our decision making. These include:

/ Social dialogue mechanisms

Our commitment to the right of participation is regulated by the Code of Conduct. In its section on adequate working conditions, we guarantee the right of all workers to join, associate with and/or create the trade union of their choice, as well as the right to collective bargaining. The Code also encompasses respect for employees' right to have trade unions and workers' representatives represent them and negotiate their working conditions collectively.

In turn, we also have an active role in social dialogue through our relationship with UNI Global Union and the constitution of the Company's European Works Council (EWC), a body for assurance and effectiveness of information and consultation of workers on transnational issues. The section on 'Agreements with our people' contains more details on these mechanisms.

/ Internal communication with our people

INET, our main internal communication channel is a tool that allows us to connect with our people and enhance their engagement. We also have **internal communication spaces for each brand**, which connect all our stores, and we are making progress in the deployment of our internal social network **InStories**.

In addition, to ascertain our people's perception of their experience at the Company, we developed '**Your opinion matters to us**', an anonymous survey that we send to store employees when they leave Inditex. Launched in 2016 and available in all our markets with own stores, it allows us to learn their opinion on aspects such as the relationship with other members of their team or managers, their training, salary or how well their working hours suit their availability.

Over the course of 2024, we received around 22,000 responses. In addition, the question 'Would you recommend Inditex as a place to work?' is used to measure our people engagement. In 2024, this question obtained an average of 74% positive responses (71% in 2023), obtaining 97% positive responses in Spain (93% in 2023).

/ Ethics Committee

The Ethics Committee is the internal body in charge of managing the Ethics Line, our main internal grievance mechanism. Thanks to its work, we can gather all information related to possible breaches of our Code of Conduct, as well as any concerns or violations of our people's rights. This information is crucial to identify potential negative impacts on our people and other professionals.

① More information on the Ethics Committee and the Ethics Line in section [G1-1. Corporate culture and business conduct](#) of this Report.

/ People department

This team, present in each of the markets where we have own workforce, is the first contact point for our people, ensuring an ongoing and direct relationship with those who work in the Group.

S1-2_03;
S1-2_14

Accordingly, our strategy for relationships with our people includes **constant communication** through tools such as the Agreement with UNI Global Union, the European Works Council (EWC), in-house training and promotion and internal communications. We also carry out one-off communications such as those linked to cases received via the Ethics Line.

Furthermore, we train the people responsible for these dialogue processes internally to ensure that we have functional mechanisms in place and that the relationship and dialogue processes with our people and/or the organisations representing their interests are conducted from a position of respect and protection of human rights.

By using these tools, we can involve our people in managing impacts, factoring their views into the development and evaluation phases of impact prevention and mitigation strategies.

S1-2_04

Responsibility for relationships with our people lies with the Inditex Group's Chief People Officer, except for the Ethics Line, which is outside the realm of responsibility of that role.

Agreements with our people

S1-2_05

Inditex plays an active part in the social dialogue through its relationship with **UNI Global Union** (UNI). In 2009, Inditex and UNI signed a Global Agreement for the respect and promotion of decent work and labour rights, which covers 100% of the Group's workforce and was renewed in 2024 to mark the 15th anniversary. UNI is a network of trade unions in the trade and retail sector which represents more than 20 million workers across 150 countries.

The Agreement, applicable to the entire Group workforce and whose principles will be applicable to franchises, subcontractors and suppliers of services, sets out the minimum rights and respect for statutory, contractual or collective agreement provisions that confer higher rights, in matters such as working hours or the protection of a safe, healthy and sustainable working environment, and promotion of best practices for occupational health and safety with the appropriate equipment and training.

This Agreement with UNI refers to a number of issues governed pursuant to the principles established by the ILO:

/ Freedom of association and the right to collective: bargaining: specific mention is made to the application of ILO Conventions No. 87 and 98, stating that 'Inditex recognises the right of trade unions to represent workers and to regulate through collective bargaining the terms and conditions of their employment'.

/ Freedom to join any trade union: in addition to guaranteeing this freedom, non-discrimination due to membership is also guaranteed.

/ Wage: when setting the wages of the people working for the Inditex Group, in addition to the provisions of international labour standards and those arising from national legislation and collective bargaining agreements, Inditex shall also take into account the definition of the minimum living wage, as endorsed by the ILO Governing Body in session on 13 March 2024.

/ Working hours: Inditex undertakes to comply with the requirements set by national law and national collective bargaining agreements (ILO Conventions No. 1 and 47 and Recommendation No. 116) on working hours.

Furthermore, since 2015 we have an agreement in place with UNI, the US trade union United Food and Commercial Workers International Union (UFCW) and Zara USA, which led to the approval of a collective agreement for the US stores.

In **Spain**, a significant agreement on working conditions for store staff was also reached: the State Collective Agreement for the Improvement and Standardisation of the Remuneration and Social Conditions of the Employees, signed in 2023 by the leading trade unions and the Group's brands.

In turn, on 10 July 2024, an agreement was reached with the Federation of Services of the trade union *Comisiones Obreras*, applicable to the store employees of the retail concepts, concerning the management of the experience of senior staff in matters relating to the guarantee of continuity and reduction of working hours due to age. Its most relevant aspects are: minimum guarantee of continuity after 8 years in the Company; loyalty bonus after 20 and 25 years; and reduction of working hours from 2025 onwards upon turning 55 for those with at least 10 years of seniority.

Moreover, since 2023, the Group has a **Equality Plan** in Spain. The key aspect of this Plan is that it encompasses all retail concepts and central services, thus unifying the provisions under previous plans. This Plan coexists with the equality plans already in place at all our logistics centres and factories and has the following aim:

- / To guarantee the **principle of equal treatment**, applying the gender perspective in terms of access, job performance and professional development at all levels and at all stages of the professional career.
- / To apply the **gender perspective** to all areas, consolidating an environment that fosters the co-responsible exercise of the rights to a personal, family and work-life balance and avoiding any type of discrimination or unfavourable treatment related to pregnancy, maternity and breastfeeding.
- / To continue to guarantee **equal pay** for equal work.
- / To promote an **equality culture** within the company through the dissemination of the values of gender equality and non-discrimination of any person.
- / To consolidate an **inclusive, non-sexist and non-discriminatory** internal and external communication, disseminating an image of the company in which there is respect for women and men and for equal opportunities.
- / To **prevent and penalise** sexual or gender-based harassment.

① More information on the measures established in terms of work-life balance after the signing of the Group's Equality Plan in Spain in section [S1-15. Work-life balance metrics](#) of this Report.

S1-2_06;
S1-2_15

With regard to the assessment of the existing mechanisms for social relations and dialogue, proof of their effectiveness can be seen in the reaching of agreements with our workforce that are beneficial to both parties. Along these lines, in 2019 we set up the **Company's European Works Council (EWC)**, a body for assurance and effectiveness of information and consultation of workers on transnational issues.

To preserve the health of social dialogue at the local level at Inditex subsidiaries, training is provided to our People and store managers areas concerning trade union rights and cooperation with our workforce's legal representatives. Thus, the works councils and management of our subsidiaries meet periodically to inform, consult and listen to the union representatives and reach agreements to improve people's working conditions and quality of life.

For example, in 2024, the **Mexico** subsidiary reached an agreement to sign a collective work contract with the Justo Sierra trade union, which must be approved at each store, with the aim of regulating relations between the workforce and the Company. In the **United States**, the renegotiation of the agreements is yielding benefits such as guaranteed wage increase based on seniority; extended leave for illness or the death of a family member; union leave with reinstatement for New York and New Jersey trade unions; and the reimbursement of parking expenses for people who cannot access free parking facilities or public transport.

Moreover, to improve work-life balance, additional rest measures were approved for full-time and part-time employees in the United States. Additionally, in **France**, a new seniority bonus for 25 years with the Company has been agreed with the representative trade unions.

Communication with our people

S1-2_11;
S1-2_12

We are mindful that, to achieve quality communication with our workforce, we must overcome barriers such as cultural differences or language. Consequently, among other measures, we have initiatives, including cultural actions with adapted content and initiatives, and we rely on our People team to maintain personal and direct dialogue.

Our people also have access to INET, our main internal communication channel. Available in website and app format and in as many as 23 languages. This tool allows us to communicate Group news in real time, simplify and digitalise the day-to-day processes of our people or strengthen connections between our employees.

Plus, **our brand-specific channels** —Dear Team for Zara, MD Journal for Massimo Dutti, Oysho News for Oysho, #tengoalgoquecontarte for Zara Home and Stradi People for Stradivarius— adapt commercial messages to the identity of each brand and the particularities of each market. This allows team managers to enrich their meetings with updated and relevant content. We have also customised one of our key internal channels —**Dear Team**— creating a space exclusively for sales reps. This approach responds to the need to provide job-specific content that facilitates access to information and decision-making.

In 2024 we continued to roll out **InStories**, our internal social network, in four new markets: Switzerland; Hong Kong SAR; Taiwan, China; and Macao SAR, reaching a total of 37 markets. This tool allows us to meet people in the Group from anywhere in the world through photos and videos, follow our *hashtags* and take part in challenges and campaigns.

Communication with our people: vulnerable groups

S1-2_07

At Inditex we work to ensure that people at risk or in vulnerable situations have **access to equal opportunities** and work in a **safe environment free from discrimination**. Accordingly, under our Diversity and Inclusion strategy, we see it as important to actively listen to our people, especially groups potentially vulnerable to impacts or at greater risk, such as migrants, groups at risk or in a situation of social exclusion, people with disabilities or members of the LGBTQI+ community.

In 2024, we have made a concerted effort to promote the participation of people from these groups in internal and external communication materials, where they have shared their testimonies in videos, articles, and posts on corporate social networks. Our **Voices of Pride** campaigns, which give a voice to four people from the LGBTQI+ community in Spain, Brazil, the Netherlands and Germany, and **Voices of Inclusion**, featuring five people with disabilities from our workforce in Portugal, the United Kingdom, Greece, South Korea and Brazil, are a reflection of this commitment to empowering and giving a voice to people who may face obstacles to professional development and full social inclusion.

Likewise, our socio-labour inclusion programmes such as SALTA and INCLUYE are designed to receive the perspective of our people, and incorporate monitoring and support tools, such as mentoring and tutoring, which are provided by both internal staff and external partners, as well as dialogue sessions.

S1-2_10

In this context, we work with expert organisations to accompany the participants in our initiatives. These organisations also share their views to help us to improve our programmes. Thus, we collaborate with global and regional organisations that focus on fighting against discrimination and promoting equality in all areas: racial, gender, sexual orientation, gender identity, disability, etc. Foundations such as the European Network Against Racism (ENAR) in Europe and The Legal Defense Fund (LDF) in the United States advocate for the development of campaigns and programmes to raise awareness about racism and discrimination

① More information on related actions in section *S1-4. Actions related to own workforce* of this Report.

S1-3. Processes to remediate negative impacts and channels for own workers to raise concerns

Processes to remediate negative impacts

S1-3_01

We identify our potential and actual negative impacts not only to prevent them, but also to mitigate and remedy their effects, should they occur. Our actions therefore seek to minimise the potential negative impact of our activities.

This is reflected in our relationship with our teams, to whom we apply special protection. We do this by developing human rights due diligence processes and activating grievance mechanisms that enable us to identify negative impacts affecting our workforce and act accordingly.

① More information in section *GOV-4. Statement on due diligence* of this Report.

S1-3_02;
S1-3_04;
S1-3_05;
S1-3_06;
S1-3_07;
S1-3_09

Main communication and grievance mechanisms

All our teams have access to the **Ethics Line**, as do all our stakeholders. The procedure for handling the concerns and reports received through the Ethics Line and ensuring the channel's efficacy is the same as for those received from other stakeholders and is outlined in the relevant chapter of this Report.

S1-3_03

They may also use third-party reporting channels that have been appointed by the relevant authorities, including the institutions, bodies and agencies of the European Union.

S1-3_08

In order to ensure that everyone in our workforce are aware of our Ethics Line, in addition to including information and facilitating access to it via INET and our website, we carry out training, awareness and communication activities that are key to building and strengthening our corporate ethical culture. This training, included in the Compliance Training Plan, is adapted to the risk profile of the different groups of employees that form part of the Inditex Group.

In 2024, we also carried out awareness and communication initiatives for those working in stores and subsidiary offices. An example of this is the use of specific signage announcing the existence of the Ethics Line in rest areas and common spaces.

① More information on how the Ethics Line works, including monitoring, control and assurance of its effectiveness, in section *G1-1. Corporate culture and business conduct* of this Report and on compliance training, awareness and sensitisation in section *G1-3. Prevention and detection of corruption and bribery* of this Report.

S1-4. Actions related to own workforce

S1-4_01;
S1-4_02;
S1-4_05;
S1-4_08;
S1-4_09;
S1-4_10

In terms of **prevention and mitigation** of our negative impacts, we focus our efforts on guaranteeing equal pay and preventing the gender gap in our people, minimising the risk of accidents and occupational diseases, ensuring protection against situations of harassment at work, the demotivation of our workforce due to a lack of training and the problems arising from the loss of data.

To influence these issues, we carry out various actions, including promoting internal audits focused on diversity and inclusion, developing our Equality Plan in Spain, implementing measures to prevent accidents and our many training initiatives.

We also protect human rights and prevent their infringement, and specifically we establish prevention measures to banish child or forced labour, among others.

Our actions are designed to manage our impacts, risks and opportunities, both potential and actual. Where the impact has already occurred, we apply actions from a dual perspective of remedying the negative effect and preventing its recurrence.

This is the case with health, safety and well-being initiatives for our workforce, which seek to act in occupational accidents and diseases, or with initiatives related to the management and prevention of workplace harassment.

S1-4_06

With regard to risk prevention and mitigation, we promote a favourable workplace and strictly comply with labour regulations, thereby reducing the risk of labour disputes. We also develop strategies to attract and retain talent, and implement effective communication channels to facilitate early resolution of potential discrepancies. We are also working on measures for outreach, prevention and promotion of occupational health, safety and well-being.

S1-4_03

In addition to preventing and mitigating any negative impacts deriving from our activity, at Inditex we are committed to **maximising the positive impact** that we can pass on to our teams.

In order to do so, we carry out initiatives that allow us to have a positive impact on our people. Among them, we would like to highlight our efforts to guarantee diversity, equality and inclusion in our Company, such as our Salta programme, for the employment of vulnerable groups; the INCLUYE project, for the inclusion of people with disabilities; and the Woman in Tech and Technovation Girls initiatives, focused on empowering women and girls and showcasing female talent in tech and entrepreneurship.

S1-4_07

As an opportunity, we identify the **attraction and retention of talent** as a key factor in driving the development of our business. We therefore carry out strategic actions, such as our specialised talent programmes Zara Business Graduates and Zara Boost, and training initiatives such as LEAP, etc.

S1-4_04;
S1-4_12

It is important to note that we follow up each of our actions and their outputs. This means that we can prolong initiatives that generate a real positive impact and eliminate or improve on those that do not obtain the expected performance.

Through this monitoring, we see continued progress in the relationship with our workforce, in the form of year-on-year growth in participation, as in the case of actions linked to health, safety and well-being or training initiatives. Our actions also allow us to contribute to our targets and commitments in relation to our people. A clear example is the effectiveness of our disability inclusion initiatives, which has enabled us to reach our recruitment target in 2024.

① More information in section [S1-5/S1-12. Persons with disabilities and related target](#) of this Report.

S1-4_18

We also design our actions in consideration of the UN Sustainable Development Goals (SDGs). Through our workforce-related initiatives, we contributed to the following SDGs in 2024:



Diversity and inclusion

Our people are at the heart of our commitment to diversity and inclusion, which is why we have developed a strategy based on the following four global pillars:



S1.MDR-A_01-12

/ Key action for gender equality: promoting STEM talent**Related IROs:** [S1.I1; S1.I2; S1.I3; S1.I5; S1.I6; S1.R1; S1.O1]MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

Mindful of the challenge posed by attracting and retaining female talent with technological profiles, since 2020 we have been actively working to boost the professional careers of women in technological areas so as to promote the value of diversity and inclusion and have an impact on the Company and society.

Thanks to the internal initiative **Women in Tech**, our work is grounded on two pillars: the need to influence society, supporting actions that encourage girls to take an interest in science and technology; and the impact on women in the field of technology through actions that empower them. Internally, we develop projects that showcase the importance of gender equality in this field, and our talent pool promotes fairness and diversity within the technology team. Accordingly, in this year's junior programmes, we recruited a 58% of women, addressing our internal ambition of increasing the proportion of women in technology and related positions.

Also in the STEM field, in 2024 we have supported the **Technovation Girls** project for the third consecutive year. This entrepreneurship and innovation programme invites girls aged between eight to 18 to learn and develop skills for using technology to solve problems, with the aim of reducing gender gap in tech. This collaboration was carried out through the sponsorship of Power to Code, an ambassador organisation for this initiative in Spain.

/ Key action for LGBTQI+ inclusion: I AM PROUD project**Related IROs:** [S1.I1; S1.I3; S1.I6; S1.R1; S1.O1]MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

Through our corporate project I AM PROUD, we nurture **inclusive environments where everyone feels welcome** and where prejudice, gender stereotypes and discrimination based on gender identity and sexual orientation are addressed. In 2024, on the occasion of International LGBTQI+ Pride Day, many of our subsidiaries actively participated in various celebrations, talks and meetings to reflect on the importance of allies in creating more inclusive work environments.

In order to prevent all discrimination against members of the LGBTQI+ community, and in particular transgender and non-binary people, we continued to strengthen our internal inclusion policies. Therefore, we are adapting our systems so that our people can express their gender identity within a spectrum of options ranging from binary ('Male' and 'Female') to 'Non-Binary' and 'Other/Unspecified'. This option is already available in 10 markets. In 2024 the figures showed 0.02% people who identify as non-binary gender, and 0.50% as unspecified gender/other (0.02% and 0.01% respectively in 2023).

/ Key action for socio-ethnic inclusion: SALTA programme**Related IROs:** [S1.I1; S1.I3; S1.I6; S1.R1; S1.O1]MDR-A_01;
MDR-A_02

To promote the integration of groups at risk or in a situation of social exclusion and to reduce inequalities, we have employability programmes, most notably the SALTA programme, focusing on the **socio-occupational inclusion of vulnerable groups**. The purpose of SALTA is to generate job opportunities in our stores, logistics centres and factories for these people, paving the way for their professional development, or at the Company or in any other opportunity that allows them to re-enter the labour market and continue advancing to make a qualitative leap ('salto') in their lives. At Inditex we know that migrants and refugees are one of the groups most vulnerable to discrimination and racism at work. For this reason, a large majority of editions in recent years have focused on this group.

In SALTA we work with various NGOs that support us in the process of selection, training and follow-up of the participants. Set up in France in 2008, this programme was present in 21 markets³¹ in 2024.

MDR-A_03;
MDR-A_04;
MDR-A_05

As a result of this initiative, since 2008 **more than 1,900 people** have joined our teams in stores, logistics platforms and factories, and more than 4,000 people have taken part in this project as mentors, trainers or tutors.

With regard to the monitoring of socio-ethnic inclusion, it is worth mentioning that in most markets, and especially in Europe, the privacy and personal data protection regulations do not allow companies to compile data containing ethnic or racial criteria. However, in markets like the United States and South Africa, the legislation on equality and non-discrimination places the emphasis on knowing the individual's ethnic and racial identity so as to ensure equal opportunities and rights.

³¹ France, Spain, Italy, Portugal, Poland, Brazil, the United States, the United Kingdom, Germany, Mexico, Greece, South Korea, Türkiye, Romania, India, Kazakhstan, Canada, Croatia, Australia, Czech Republic and Switzerland.

United States	2024	2023
Ethnic or racial group	%	%
Hispanic or Latino	48.8%	48.6%
Black or African American	21.0%	18.9%
White	14.7%	14.9%
Asian	9.8%	9.4%
Two or More Races	5.2%	4.8%
American Indian/Alaska Native	0.3%	0.2%
Native Hawaiian/Pacific Islander	0.3%	0.3%
Not Specified	0.0%	2.9%
Total	100%	100%

South Africa	2024	2023
Ethnic or racial group	%	%
Black South Africans	88.9%	89.0%
Coloured South Africans	7.3%	6.9%
Indian/Asian South Africans	1.2%	1.8%
White South Africans	1.0%	0.9%
Foreign Nationals	1.6%	1.4%
Total	100%	100%

/ Key actions for disability inclusion: The INCLUYE Programme and Impact Week

Related IROs: [S1.I1; S1.I3; S1.I6; S1.R1; S1.O1]

The **INCLUYE** programme, created in 2021, drives the socio-occupational integration of people with disabilities. Since 2022, all Inditex's direct employability projects worldwide were grouped together and consolidated under the umbrella of this programme, which is expanding to ensure the sustainable and lasting inclusion of people with disabilities, having a global impact. Based on supported employment methodology, the programme involves local organisations that work to achieve the occupational integration of people with disabilities, and accompany them in their integration as a key factor for successful employability.

Furthermore, with the aim of promoting the full inclusion of people with disabilities in our workforce, in October 2024, for the fifth consecutive year, we held the Impact Week worldwide, focusing on disability inclusion. The purpose of this initiative is to raise awareness and mobilise our workforce to continue to promote accessibility projects, customer experience and inclusion of people with disabilities, thereby helping to break down barriers and foster equal opportunities.

① More information on the related metrics and targets in sections [S1-5/S1-12. Persons with disabilities and related target](#) of this Report.

In addition to these initiatives, we develop other social and labour market integration projects such as **for&from**, which generates synergies with non-profit organisations by opening stores staffed by people with different types of disabilities, with the commercial support of our concepts.

This collaborative model allows us, on the one hand, to generate employment opportunities for people with disabilities, and, on the other, to ensure revenues for the organisations themselves to continue to fund new projects and strengthen this associative fabric. In 2024, we opened the first for&from store in Mexico, bringing the total to 16 stores in Spain, Italy, Mexico and Portugal.

① More information on the for&from initiative in section [S3-4. Actions related to communities](#) of this Report.

① More information on actions related to diversity and inclusion in the report *Diversity and Inclusion* published on the Inditex corporate website.

MDR-A_01;
MDR-A_02;
MDR-A_03

MDR-A_04;
MDR-A_05

Talent, promotion and training

Talent recruitment programmes

Related IROs: [S1.I5; S1.O1]

/ Talent programmes

Collaboration with universities and schools is a key part of our strategy for attracting talent. We have different programmes that help incorporate talent to our creative, technological and business areas. These notably include:

- **Creatives programme:** this year we designed The House, an experience focused on giving participants a broader vision of the sector and sharing with them concepts that are fundamental in their day-to-day lives as creative people. In 2024 we reached out to more than 25 international fashion schools, complementing the selection process with talks and workshops involving our sustainability people to share our approach to this strategic aspect in the creation of our products.
- **Business talent programme:** our programme for final year students of bachelor's/master's degrees in management or engineering, offering them their first work experience in areas such as International sales, Purchasing, Distribution, Management control, Finance or Logistics. To connect more with them, this year we organised a live event in which more than 1,000 people participated, where we talked about our values and company culture, as well as the Zara Talent programme.
- **Technological talent programme:** as part of Zara Boost, we highlight University Colab, an initiative that has allowed students to complete their final dissertation with Inditex, in areas such as software development, data and cybersecurity. We also aim to continue fostering and nurturing female STEM talent, which is why we have launched programmes such as Ambassador.

Training, promotion and talent development programmes

Related IROs: [S1.I5; S1.R1; S1.O1]

/ Promotion and talent development programmes

- **Boost the Change**

Since 2021, we have focused on developing communities and activities that foster the culture necessary to enact change, starting with the Group's stores and ending with the consolidation of these networks for change in all our offices.

Changemakers is the community leading the cultural transformation from the heart of our business, our stores. Changemakers are curious people committed to sustainability, diversity and inclusion, who dedicate part of their working day to keeping abreast of sustainability and fashion issues, training their store teams and rolling out initiatives that make sustainability a reality in their work environment.

We work to identify, analyse and materialise each of the initiatives proposed by Changemakers. To do so, we have developed the Boost the Change platform, which shows in real time and in all our Company's languages what is happening in matters of sustainability, diversity and inclusion, at each store. Thanks to this programme, in the last year we helped improve waste management in the stores, inclusion in our fitting rooms and internal procedures for garment care.

At the end of 2024, this project has been implemented at all the stores in the markets in which Zara and Stradivarius are present. We also extended its rollout to include Zara Home, Massimo Dutti, Bershka, Oysho and Pull&Bear. Inditex therefore now has more than 3,000 Changemakers and we plan to consolidate the Changemaker community across all the Group's stores and markets in future exercises.

- **InTalent**

InTalent, our Marketplace for in-house opportunities, is essential to structure the path of internal promotion for our workforce. This year we continued our efforts to get to know our people better through their InTalent profile. In 2024 we had more than 40,000 people with an updated profile and more than 7,500 internal opportunities were posted.

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

MDR-A_01;
MDR-A_02;
MDR-A_03

- **LEAP.**

This year, LEAP&Co, our in-store internal talent management tool, has been transformed into **LEAP**, in what was a complete overhaul of the internal development tool for more than 55,000 employees worldwide. This new version offers a more intuitive, clear and customisable experience, designed by the users themselves. This year LEAP has added two new modules: MISSION Module, for an immersion in the employee's future position before the end of their plan, and STORE VISIT Module, providing 360° training for future store managers. In addition to being used at Zara and Zara Home, LEAP has now also been introduced at Massimo Dutti. Through 51 markets in Europe, America and Asia, in 2024 LEAP generated more than 200,000 training hours.

- **Zara Campus**

Zara Campus is a project designed to respond to training and development needs among new promotions and people in management positions in stores. This training is conducted in our Campus stores, which are Zara stores used as a practical scenario for training our managers in three areas (management, sales and operations). Throughout the year, our store teams receive training, led by tutors trained by our Campus team, who are responsible for conveying this knowledge to their teams. Also included are group sessions on communication and leadership, designed specifically for positions of responsibility, promoting team work.

In addition to LEAP and Campus Zara, we have other projects focused on developing the talent of people working in stores, including Visual Commercial to the Spotlight, Opening Support and Move.

Training programmes

- **Sustainability training**

In 2024, as part of our space dedicated to sustainability training and innovation, **The Sustainable Fashion School (SFS)**, we started the third edition of the Foundations of Textile Manufacturing Master's programme, devised in collaboration with the University of Leeds. More than 450 people completed the course, adding to the 1,217 graduates of previous editions, making it the leading training programme for our product teams.

To supplement this theoretical training and as part of The Sustainable Fashion School (SFS), in 2024 we launched a new learning format, called SFS Bootcamp. These are immersions in our supply chain factories giving participants hands-on experience of the main processes that our products go through and enabling them to share technical and sustainability concerns with professionals from the sector. Over the course of 2024 we held 22 bootcamps, where more than 250 people had the chance to experience first-hand some of the content learned in the training.

- **School of Leadership**

The purpose of the School of Leadership is to identify and develop the leaders of the future, ensuring that they understand their key role in affirming our identity and creating opportunities for change. To this end, we have created an integrated learning space in which we combine various approaches and methodologies to design high-impact initiatives. All our programmes are structured around the Company's four pillars of leadership: SELF, TEAM, IMPACT and TRANSFORM. Thus, we cultivate leaders able to self-manage, drive their teams, influence their environment and promote strategic change in the organisation.

This year, more than 1,000 leaders were trained through the School of Leadership's various programmes, impacting on all groups at the Company, including employees at stores, central offices, and structural and logistics areas.

In addition to these actions, we carried out other initiatives through which we provide training to our employees on specific topics. These include the **training and education of our people to carry out tasks in a safe and healthy** manner, training in sustainability, diversity and inclusion or **corporate training in compliance**.

Some of these actions' outputs are:

- **Increase the number of training hours:** in 2024 we held 3,292,787 training hours (2,782,830 in 2023).

MDR-A_01;
MDR-A_02;
MDR-A_03

MDR-A_04;
MDR-A_05

- **Increase the number of training hours per person:** in 2024, the number of training hours per person was 20.3 (17.2 in 2023).
- **Enhance internal promotion:** in 2024, 70% of the Group's vacancies were filled internally, which means that more than 9,300 employees were promoted over the course of the year. By gender, 73% of the promotions were for women, 27% for men, 0.02% for non-binary people and 0.04% for other-unspecified gender. These figures are consistent with the gender distribution of our workforce. This commitment to generating opportunities for internal development results, in our office people, in more than 680 promotions and more than 2,000 changes of functions, department, retail format or market.

① More information on other training initiatives in section [S1-13. Training and skills development metrics](#) of this Report.

Health, safety and well-being

We continue to advance in our firm commitment to the health, safety and well-being of our people, by implementing international regulations, guaranteeing compliance with the most exacting standards and putting in place continuous improvement indicators as part of the ISO 45001:2018 management system.

We endeavour to implement proactive measures to identify and mitigate potential risks, as well as to nurture a culture of safety, health and well-being that fosters individual and collective responsibility. After listening to our teams and conducting periodic risk assessments and incident analyses, we undertake to identify areas for improvement and to implement corrective measures in a timely and effective manner.

Some of the health, safety and well-being actions were:

/ Training and education of employees to perform tasks in a safe and healthy manner

Related IROs: [S1.I4; S1.R1]

Continuous health and safety training remains vital both for reducing accidents and empowering our teams. Accordingly, we provide training programmes tailored to a variety of tasks and positions, with objectives ranging from the initial training to the essential training needed to work safely. Occupational health and safety skills and qualifications form a specialised body of knowledge that ensures that our teams are properly equipped to understand and prevent risks in their working environment.

These programmes include, among others, first aid training, specific training for handling machinery and equipment, and periodic refresher sessions on safety and emergency procedures.

In 2024, a total of 190,589 employees took part, accumulating 155,784 training hours (179,881 participants and 148,152 training hours in 2023).

/ Promoting well-being

Related IROs: [S1.I3; S1.I4; S1.R1]

• Inditex, Healthy Organisation

As part of our ongoing commitment to promoting and caring for the safety, health and well-being of our community, Inditex has strengthened its position as a Healthy Organisation. This annual recognition underscores our comprehensive management approach, addressing both physical and psychosocial aspects, allocating significant resources to our teams' well-being and fostering their active engagement in the community.

In fact, the companies in Spain and the rest of markets that were certified in 2023 have renewed their certification³² as a Healthy Organisation in 2024, with the ambition for 2025 to include certification in Austria, Brazil, the United States, France, Hungary, Kazakhstan, the Netherlands and North Macedonia.

• Workplace well-being programmes

With the aim of promoting health and healthy habits among our people, Inditex has the **InHealth** Portal, available in 28 markets. In 2024 it was rolled out in Serbia, Montenegro, New Zealand and Australia. Next year we plan to deploy it in another 17 new markets. This platform features news, actions and challenges adapted to the workplace, cultivating a balance between body, mind and emotions.

³² Germany, Bulgaria, Canada, Chile, Mainland China, Croatia, Spain, Greece, India, Ireland, Italy, Japan, Luxembourg, Mexico, Poland, Portugal, United Kingdom, Romania and Türkiye.

MDR-A_01;
MDR-A_02;
MDR-A_03

MDR-A_04;
MDR-A_05

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

Furthermore, as part of our commitment to caring for the health of our people, we continue to offer the **Open Salud** platform, which is available to people working in the stores of all the Group's brands in Spain. This tool provides medical consultations with specialists in general medicine, dermatology, traumatology, psychology and nutrition. The tool has 6,320 users and 11,676 consultations, improving growth compared to 2023.

We also focus our commitment to well-being through the creation of **Well-being Committees**, which are cross-disciplinary bodies that coordinate various initiatives related to diversity, equality, promoting health, inclusion, work-life balance, mental health, working hours, food, ergonomics, workspaces, sports, our people mobility and participation in social events and actions. During 2024, new Well-being Committees were established in markets such as France, Serbia, Switzerland and United States, bringing the total number of markets to 23. In 2025 we plan to set up these committees in additional markets.

/ Prevention initiatives

Related IROs: [S1.I4; S1.R1]

• Initiatives for the prevention of musculoskeletal injuries

In the prevention of musculoskeletal injuries, we continuously evaluate ergonomics in our workplaces, providing initial training on the subject to all employees and emphasising aspects such as ergonomically designed work spaces, appropriate load lifting techniques and the use of assistive equipment as well as safe working environments. In this regard, during 2024, work continued on improving spaces in distribution centres, implementing machinery that minimises physical effort, and 8,477 people were trained in work teams.

We also encourage task rotation, regular rest and active breaks and open communication on health and safety matters. For instance, the SmartPlanner technological solution has been implemented at our distribution centres, a system that plans the rotation of tasks in an automatic and agile manner, taking into account ergonomic criteria and internal equity, while meeting the operational needs of the centre.

Furthermore, in 2024 more than 7,983 workers took part in initiatives such as the Back School and Preventive and Recovery Plans, at both logistics centres and stores.

• Implementation of Emergency and Evacuation Plans and Self-Protection Plans

So as to **actively manage at all times the risks** that may arise in any workplace, and in keeping with our philosophy of following the precautionary principle, we have designed, prepared and implemented **Emergency and Evacuation Plans and Self-Protection Plans** that establish the organisational and functional criteria in the different facilities. The objective is to prevent, control and provide an adequate response, from the outset, to potential emergency situations that may cause harm to people and/or their property.

Through these Plans, we comply with the regulatory requirements applicable to occupational risk prevention and occupational health and safety, as well as with the internal requirements established by the Group for the workplaces. In 2024, 1,331 Emergency and Evacuation Plans were made.

① More information on other health and safety initiatives and metrics in section [S1-14. Health and safety metrics](#) of this Report.

MDR-A_06;
MDR-A_07

General considerations on actions related to our people

Actions related to our people are mainly carried out by our own workforce. The financial resources earmarked for these actions are associated with staff costs and other external operating expenses, which separately do not represent a material amount. Both are included in Operating Expenses in the Consolidated Income Statement (see [Note 6](#) of the Consolidated Annual Accounts).

Agreements and collaborations

We consolidate our commitment to diversity and inclusion by collaborating with various entities. These include Arborus, through the European and international label GEEIS (Gender Equality European and International Standard), and the European Network Against Racism (ENAR).

We also partner with the Business Network for LGBTI Diversity and Inclusion (REDI) in Spain, which aims to foster an inclusive and respectful environment in organisations, and Open for Business, an entity that brings together leading global companies that advocate for inclusion and LGBTQI+ rights to demonstrate that more inclusive societies are better for business and for companies because they are more innovative, productive and dynamic.

In the field of disability inclusion, Inditex is a member of the ILO Global Business and Disability Network, of which we have been part of the Steering Committee since January 2025. Moreover, we are members of Disability:In. These alliances, as well as those we have at the local level, are established with the objective of continuing to work on best practices to ensure real and sustainable inclusion over time.

① More information on actions related to diversity and inclusion in the report *Diversity and Inclusion*, published on the Inditex corporate website.

C. Metrics and targets

S1-5/S1-12. Persons with disabilities and related target

At Inditex, our goal is to help people with disabilities to overcome barriers, fostering an inclusive culture for everyone. With this in mind, the Group's disability inclusion strategy is based on three priority areas:

/ **Employability**, direct recruitment and professional development.

/ **Disability awareness** and training for our people.

/ **Accessibility** of workplaces, inclusive shopping experience and transversal projects.

One of our priorities is to comply with the principles of universal accessibility for persons with disabilities, whether in our workforce or customers. Our workplaces apply the functional and dimensional requirements that allow an independent use by people with disabilities or people with impaired mobility. Our commercial websites and apps incorporate functionalities adapted for people with various kinds of disability, as do our corporate sites, with a focus on technological advances in digital accessibility that allow us to continue improving in this regard.

Therefore, within the framework of our Shaping Today x Tomorrow initiative in 2024, a multidisciplinary working group was created with a focus on accessibility, involving people from different areas of the business (Commercial, Operations, Digital, Construction, Labelling, Design, People, etc.) to promote innovation linked to accessibility for all people, with targets set for the short-, medium- and long-term.

Employability and awareness are two pillars that we build together, as training and awareness are key to the success of the labour inclusion process. Our efforts in employability of people with disabilities are materialised in the following objective:

- **To double the number of people employed with disabilities**

Our commitment to the inclusion of people with disabilities in the workplace is founded upon the basic principles of dignity and independence, availing them of the opportunities and resources to play an active and equal role in society.

That is why we advocate for sustainable recruitment with a long-term strategy to attract and recruit people with disabilities, ensuring inclusive selection processes for people with different types of disabilities.

S1.MDR-T_01-13

MDR-T_01;
S1-5_04

S1-5_06

This target is set in the framework of our membership of the ILO Global Business and Disability Network, that seeks to promote the inclusion of people with disabilities in the workplace.

MDR-T_02;
MDR-T_05;
MDR-T_06;
MDR-T_07;
MDR-T_08;
MDR-T_13

Target: to double the number of people with disabilities in 2024

	Base year	Target value	Value reached
	2021	2024	2024
People employed	1,443	2,886	3,142

The actions carried out over the years have allowed us, not only to achieve the goal of doubling the number of people with disabilities we employed in 2021, but to exceed it.

S1-12_01;
S1-12_02

Thus, at the end of 2024, we directly employed 3,142 people with disabilities (2,041 people with disabilities in 2023), representing 2% of the annual average workforce.

People with disabilities in our workforce

	2024	
	Number of employees	%
Women	1,923	61%
Men	1,207	38%
Non-binary	0	0%
Other/Unspecified	12	0.4%
Total	3,142	100%

MDR-T_11;
S1-5_01;
S1-5_02;
S1-5_03

In order to establish the target, a prior diagnosis was made during 2022 of the employability status of people with disabilities in each market, as well as regarding the existence or lack of national or local legislation impacting on such employability. This diagnosis was made through the Diversity Champions in each market, who have since monitored the actions and follow-up of the targets at a local level. The Diversity and Inclusion team and the international People teams have been responsible for coordination with the Diversity Champions community across the different brands and markets.

Likewise, for the purpose of consolidating all the data, since 2022 all our direct employability projects for people with disabilities have been grouped under the umbrella of the **INCLUYE** programme, involving expert organisations in each market. In Spain, it is worth highlighting our work with Plena Inclusión, a confederation comprising more than 880 associated entities. At the international level, we develop our programmes under the global umbrella of the ILO Global Business and Disability Network and more than 70 national and international organisations. These expert organisations provide support services and programmes for the occupational integration of people with intellectual disabilities, as well as awareness and training initiatives to promote more inclusive work environments. Their feedback is therefore essential to improve our processes and the integration of people with different types of disabilities, enabling us to improve and learn from experience.

We also establish **specific plans at our subsidiaries**, to help them achieve their recruitment targets and improve their inclusion of people with disabilities through training and awareness. This is the case in Germany, where we collaborate closely with the Federal Employment Agency; in France, with the Accord Handicap company agreement on disability; in Italy, which has implemented the ALL IN project for the occupational integration of people with intellectual disabilities in Milan and Verona; in Portugal, with its Eu Incluo project; in Japan, which holds regular meetings with partner associations and staff with disabilities; or in Romania, which provides internal training to its teams and recruitment with the support of several NGOs and the Department for Social Assistance.

① More information on the initiatives carried out in section [S1-4. Actions related to own workforce](#) of this Report.

Further considerations

It is important to note that the data linked to this target is particularly sensitive. In fact, there are countries where it is not permitted to ask or record information on disability status in company systems, as well as others where there are regulatory limitations in this regard.

S1-12_03

The collection of disability information has certain limitations, such as those linked to confidentiality and/or the heterogeneous legislation in the markets where we operate, which do not always have regulations comparable to those in Spain. In addition, some countries have specific regulations that affect the accessibility of such information. Specifically, some of the difficulties we encounter when collecting this information, which in some cases mean we have no measured data available, are as follows:

- / Countries with legal restrictions on requesting information and/or registering information with regard to a person's disability.
- / Countries with discrepancies between the Company's calculation method (number of people with disabilities on 31/01 divided by the average number of people hired in the last 12 months) and the legal calculation methodology in the country for the number of people with disabilities.
- / Countries where people with disabilities are not allowed to be hired directly during the first year, even if they are employed within our workforce, and must be recruited by an expert entity during the first year.

As a result of these limitations, the actual number of people with disabilities in the Company may differ from the figure reported in some markets where certain idiosyncrasies have been taken into account in the calculation, such as: United Kingdom, Ireland, Nordic countries (Sweden, Norway, Finland, Denmark), Switzerland, Spain, United States, Canada, Australia and New Zealand.

MDR-T_03;
MDR-T_04;
MDR-T_09;
MDR-T_12

① More information on the scope, methodology and calculation changes in the [Methodological Annex](#) of this Report.

S1-6. Characteristics of the employees

S1-6_01;
S1-6_02

It is a priority for Inditex to create **motivating, stable and safe** working environments, with equal opportunities and development, ensuring the utmost care for the conditions of our people. We strive to adapt our responses to the local needs in the 56 markets in which our employees are present, and to guarantee quality workplaces.

S1-6_13;
S1-6_14;
S1-6_15;
S1-6_16

The employee figures below are calculated on the basis of the average number of our workforce for the last quarter of the 2024 calendar year, which is the most representative calculation for our business.

① More information on how we calculated employee figures in the *Methodological Annex* of this Report.

S1-6_17

Note 6 to the Consolidated Annual Accounts includes information related to the number of employees, and the breakdowns by gender and category, as well as associated expenses.

① More information in *Note 6 - Operating expenses* to the Consolidated Annual Accounts.

Our people in 2024

162,083 people

170 nationalities

Distribution by activity

	2024		2023	
	Number of employees	%	Number of employees	%
Store	139,478	85%	138,977	86%
Central services	12,030	7%	11,612	7%
Logistics	9,981	6%	10,090	6%
Factories	594	1%	602	1%
Total	162,083	100%	161,281	100%

Distribution by age

	2024		2023	
	Number of employees	%	Number of employees	%
Under 30 years old	89,044	55%	89,690	56%
30 to 50 years old	66,560	41%	66,155	41%
Over 50 years old	6,479	4%	5,436	3%
Total	162,083	100%	161,281	100%

Distribution by geography

	2024		2023	
	Number of employees	%	Number of employees	%
Americas	18,743	12%	19,963	12%
Asia and rest of the world	14,139	9%	15,526	10%
Spain	49,915	31%	47,761	30%
Europe (ex-Spain)	79,286	49%	78,031	48%
Total	162,083	100%	161,281	100%

Distribution by gender

	2024		2023	
	Number of employees	%	Number of employees	%
Women	118,698	73%	118,925	74%
Men	42,554	26%	42,309	26%
Non-binary	28	0.02%	25	0.02%
Others/Unspecified	803	0.50%	22	0.01%
Total	162,083	100%	161,281	100%

S1-6_04;
S1-6_05

A breakdown of the workforce by market for all countries in which the Company has employees is included below:

Distribution by market		
Country	Number of employees	
Europe (ex-Spain)	2024	2023
Albania	308	310
Germany	4,967	5,046
Austria	1,503	1,409
Belgium	3,112	2,955
Belarus	356	352
Bosnia-Herzegovina	401	427
Bulgaria	827	781
Croatia	1,241	1,184
Denmark	298	295
Slovakia	528	467
Slovenia	250	228
Finland	170	174
France	11,513	10,975
Greece	4,228	4,065
Hungary	1,224	1,109
Ireland	991	1,016
Italy	10,877	10,283
Luxembourg	325	304
North Macedonia	310	325
Monaco	38	40
Montenegro	178	165
Norway	315	343
Netherlands	2,715	3,089
Poland	4,233	4,594
Portugal	7,261	6,964
United Kingdom	6,483	6,739
Czech Republic	729	674
Romania	2,850	2,899
Serbia	1,512	1,422
Sweden	659	695
Switzerland	1,427	1,398
Türkiye	6,267	6,496
Ukraine	1,190	809
Total	79,286	78,031

Distribution by market		
Country	Number of employees	
Asia and rest of the world	2024	2023
Australia	1,879	2,076
Bangladesh	81	76
Cambodia	6	4
South Korea	1,663	1,639
India	1,731	1,691
Japan	2,682	2,837
Kazakhstan	1,311	1,272
Morocco	44	42
New Zealand	121	138
Pakistan	12	11
Singapore	3	3
South Africa	502	556
Vietnam	21	18
Mainland China	3,036	3,887
Taiwan, China	486	531
Hong Kong SAR	521	702
Macao SAR	39	43
Total	14,139	15,526
Spain	2024	2023
Spain	49,915	47,761
Americas	2024	2023
Brazil	3,226	3,162
Canada	2,052	2,653
Chile	929	992
United States	5,952	6,170
Mexico	6,584	6,986
Total	18,743	19,963

Distribution of the workforce by type of contract and type of working hours

In 2024, 83% of our workforce is on a permanent contract (compared with 81% in 2023). In terms of working hours, 57% of Inditex's employees work part-time and 41% work full time in 2024 (57% part-time and 42% full-time in 2023).

This breakdown by type of working hours is typical of the retail sector, where there are especially busy periods during sales that require part-time reinforcements. We also often hire people who combine their work at Inditex with other activities, such as academic development.

The Full-Time Equivalent (FTE) workforce, a meaningful indicator when it comes to analysing employment quality, shows the workforce after consolidating all working hours to full-time. In 2024, it represented 78% of total jobs (78% in 2023).

The tables below show the different types of contract and working hours for our people by gender and region:

Breakdown by gender and type of contract/working hours

2024					2023				
Women	Men	Non-binary	Other/Unspecified	Total	Women	Men	Non-binary	Other/Unspecified	Total
Number of employees									
118,698	42,554	28	803	162,083	118,925	42,309	25	22	161,281
Number of permanent employees									
97,775	35,483	28	697	133,983	96,263	34,910	25	22	131,221
Number of temporary employees									
20,923	7,071	1	106	28,100	22,662	7,398	0	0	30,060
Number of non-guaranteed-hour employees									
1,337	549	0	0	1,886	1,744	635	0	0	2,378
Number of full-time employees									
45,848	21,239	10	98	67,195	46,305	21,169	11	6	67,491
Number of part-time employees									
71,513	20,767	18	705	93,003	70,876	20,505	14	16	91,411

Breakdown by region and type of contract/working hours

2024					2023				
Europe (ex-Spain)	Spain	Asia and rest of the world	Americas	Total	Europe (ex-Spain)	Spain	Asia and rest of the world	Americas	Total
Number of employees									
79,286	49,915	14,139	18,743	162,083	78,031	47,761	15,526	19,963	161,281
Number of permanent employees									
64,509	43,256	8,598	17,620	133,983	61,350	41,712	9,624	18,535	131,221
Number of temporary employees									
14,777	6,659	5,541	1,123	28,100	16,681	6,049	5,902	1,428	30,060
Number of non-guaranteed-hour employees									
0	0	1,886	0	1,886	0	0	2,378	0	2,378
Number of full-time employees									
28,242	25,230	7,408	6,314	67,195	27,798	24,838	8,146	6,710	67,492
Number of part-time employees									
51,044	24,685	4,845	12,428	93,003	50,233	22,923	5,002	13,253	91,411

S1-6_09

S1-6_07;
S1-6_08;
S1-6_18;
S1-6_19;
S1-6_20

Breakdown by age and type of contract/working hours

2024				2023			
Under 30 years old	30 to 50 years old	Over 50 years old	Total	Under 30 years old	30 to 50 years old	Over 50 years old	Total
Number of employees							
89,044	66,560	6,479	162,083	89,690	66,155	5,436	161,281
Number of permanent employees							
65,635	62,076	6,271	13,983	64,916	61,106	5,198	131,221
Number of temporary employees							
23,407	4,484	208	28,100	24,774	5,049	238	30,060
Number of non-guaranteed-hour employees							
1,579	297	10	1,886	2,059	307	12	2,378
Number of full-time employees							
23,108	39,432	4,655	67,195	23,744	39,743	4,004	67,491
Number of part-time employees							
64,357	26,831	1,815	93,003	63,887	26,105	1,419	91,411

Breakdown by job classification and type of contract/working hours

2024				2023			
Management	Supervisor	Specialist	Total	Management	Supervisor	Specialist	Total
Number of employees							
9,667	15,056	137,361	162,083	9,811	14,976	136,494	161,281
Number of permanent employees							
9,425	14,689	109,868	133,983	9,548	14,530	107,143	131,221
Number of temporary employees							
241	366	27,493	28,100	263	446	29,352	30,060
Number of non-guaranteed-hour employees							
0	0	1,886	1,886	0	0	2,378	2,378
Number of full-time employees							
9,312	13,553	44,329	67,195	9,410	13,431	44,651	67,491
Number of part-time employees							
354	1,503	91,146	93,003	401	1,544	89,466	91,411

Leaves and turnover rate

In 2024, 138,152 leaves were recorded (144,930 leaves in 2023), which represents a turnover ratio of 88% in 2024 (93% in 2023). The Group's voluntary turnover rate was 36% (43% in 2023), while non-voluntary turnover rate was 52% (50% in 2023). Turnover is influenced by the nature of the retail sector, with a marked seasonality. The existence of peaks in activity that require reinforcement of teams with temporary contracts especially impacts non-voluntary rotation, since it includes leaves due to the end of the contract of this collective.

S1-9. Diversity metrics

Of our achievements in diversity and inclusion best practices, we highlight the **GEEIS (Gender Equality European and International Standard)** certification at several of our subsidiaries. The GEEIS recognises those companies and workplaces that are actively engaged in building a fairer society, based on equality between men and women and on diversity and inclusion as the pivotal values of their policies. Between 2018 and 2024, the global corporate Group and nine of our subsidiaries worldwide (Belgium, France, Italy, the Nordic hub, Germany, Ukraine, Bulgaria, Romania and the United States) were awarded this certification. This is enabling us to consistently and continuously deploy our gender equality policies in the various markets.

S1-6_11;
S1-6_12

S1-9_01;
S1-9_02**Distribution by gender**

Ensuring equal treatment and opportunities at the workplace has always been a part of our core at Inditex. We nurture diverse and inclusive workplaces in which women, who represent 73% of our workforce, feel empowered in their professional development and free of any discriminatory practices. By empowering women and men alike, our aim is to strengthen our growth and the success of the Company and society as a whole.

Cultivating **women's talent** has enabled us to keep maintaining a solid commitment in regard to their leadership within the Group: in 2024, **77% of the Company's management positions were filled by women** (78% in 2023).

The distribution of our people by gender and job classification in 2024 is thus as follows:

Distribution by gender and job classification

2024									
	Women		Men		Non-binary		Other / Unspecified		Total
Management	7,457	77%	2,210	23%	0	0%	0	0%	9,667
Supervisor	10,435	69%	4,617	31%	2	0.01%	1	0.01%	15,056
Specialist	100,806	73%	35,727	26%	26	0.02%	802	0.58%	137,361
Total	118,698	73%	42,554	26%	28	0.02%	803	0.50%	162,083

2023									
	Women		Men		Non-binary		Other / Unspecified		Total
Management	7,691	78%	2,120	22%	0	0%	0	0%	9,811
Supervisor	10,381	69%	4,593	31%	2	0.01%	0	0%	14,976
Specialist	100,853	74%	35,596	26%	23	0.02%	22	0.02%	136,494
Total	118,925	74%	42,309	26%	25	0.02%	22	0.01%	161,281

S1-9_02;
S1-9_06

The Company has a total of seven women in its Senior Management³³, which represents a **33.33%** out of the total members. Thus, the percentage of female representation in Senior Management increases with respect to 2023 fiscal year (31.82%).

① More information on Senior Management in the *Annual Corporate Governance Report* of this Report.

S1-9_03;
S1-9_04;
S1-9_05**Distribution by age**

In terms of age, our workforce is made up of people from different generations, the youngest groups being the largest, as evidenced by the average age of our workforce, which is **30.9** years old (30.6 years old in 2023). The following table shows the generational distribution of our people in greater detail.

Distribution by age

	2024		2023	
	Number of employees	%	Number of employees	%
Under 30 years old	89,044	55%	89,690	56%
30 to 50 years old	66,560	41%	66,155	41%
Over 50 years old	6,479	4%	5,436	3%
Total	162,083	100%	161,281	100%

① More information on the breakdown by gender and age in *S1-6. Characteristics of the employees* of this Report.

³³ As per the definition established for these purposes in Circular 3/2021, of 28 September, of Spain's National Securities Market Commission (CNMV), which approves the new model corporate governance and director remuneration reports, 'Senior Management' means those executives who report directly to the Board or to the Chief Executive Officer of the Company and, in any event, the internal auditor.

S1-8. Collective bargaining coverage and social dialogue

S1-8_01

Globally, the percentage of our workforce covered by local collective bargaining agreements is 61% (59% in 2023), while within the European Economic Area (EEA) the figure is 84% (82% in 2023). Just like in the previous year, in Spain, 100% of the workforce is covered by collective bargaining agreements.

S1-8_02;
S1-8_03;
S1-8_06;
S1-8_08

For our workforce in EEA countries, we have various collective bargaining agreements, depending on the country in which the employees are located. The percentages of collective bargaining coverage and workplace representation for our workforce are included below.

Collective Bargaining Coverage			Social dialogue
Coverage rate	Employees (EEA)	Employees (Non-EEA)	Workplace representation (EEA)
0-19 %	Bulgaria; Slovakia; Greece; Hungary; Ireland; Poland; Czech Republic; Romania	Rest of Europe; Asia and Rest of World	Bulgaria; Croatia; Slovenia; Greece; Ireland; Netherlands; Czech Republic; Romania
20-39 %	Denmark	Americas	Denmark
40-59 %			Germany; Hungary; Italy
60-79 %	Germany		
80-100 %	Austria; Belgium; Croatia; Slovenia; Spain; Finland; France; Italy; Luxembourg; Norway; the Netherlands; Portugal; Sweden		Austria; Belgium; Finland; France; Luxembourg; Norway; Poland; Portugal; Slovakia; Spain; Sweden

S1-8_04

We work to guarantee the right of participation of our workforce worldwide. That is why our people have minimum guarantees in their working conditions, regardless of whether or not they are covered by collective bargaining agreements.

Proof of this are the commitments reflected in the Code of Conduct and the renewal in October 2024 of our **Global Agreement** signed in 2009 for implementation of fundamental labour rights and decent work, with UNI Global Union.

① More information on the Global Agreement with UNI Global Union in *S1-2. Processes for engaging with own workforce* of this Report.

S1-8_05

Furthermore, our Human Rights Policy reflects the respect for freedom of association and collective bargaining not only of our own employees but of other professionals linked to Inditex. To achieve this, we require companies linked to non-employees to respect the rights of association, affiliation and collective bargaining of their workers, without retaliation, and without offering payments or remuneration to workers with the aim of hindering the exercise of these rights. We also take an open and collaborative approach with trade unions and workers' representatives. In this way, we contribute to favourable working conditions for non-employees, always in line with their right to collective bargaining.

S1-8_07

As explained above, in 2019, Inditex formally founded the Company's EWC, a key body for assurance and effectiveness of information and consultation of workers. In 2024, Inditex and the EWC published a joint statement against gender-based violence, which was disseminated internally and externally on 25 November, the International Day for the Elimination of Violence against Women.

① More information in section *S1-2. Processes for engaging with own workforce* of this Report.

S1-15. Work-life balance metrics

At the Inditex Group we promote work-life balance, advocating especially for **co-responsibility**, which we consider to be both a right and a duty. We work to implement work-life balance measures in all the markets.

In Spain, these measures are enshrined in our **Equality Plans**. These plans include, among other things, the possibility of splitting up leave periods for hospital stays or care of relatives up to second degree of kinship, flexible working hours for adaptation periods at nursery or infant schools, or the extension of leave with job guarantee for personal matters, studies, international adoption or care of dependent family members, in addition to various improvements with respect to ordinary legal requirements, such as the extension of breastfeeding leave.

Internationally, we strive to improve the rights guaranteed by the local legislation of each country, prioritising those markets in which the legislation is not especially protective.

/ In the **United States**, 16 weeks' paid leave for birth, fostering or adoption is available to all of our people who meet certain minimum requirements. The subsidiary also provides care services for children and adults with special needs, both in care centres and at home. We also have other benefits that help improve people's well-being and quality of life such as emotional support programmes, financial and health advice, transport subsidies, and tuition fee subsidies or reimbursement.

/ We promote measures to broaden the rights enshrined in local legislation, such as flexible working hours, efficient organisation of teams, extending leave for caring for children and/or dependants and even financial assistance to help cover the cost of childcare or other care. Markets where such measures are applied include **Greece, the United States, the United Kingdom, Italy, Germany, and France, among others.**

/ An increasing number of markets are extending family health coverage, either as a social benefit paid for by the subsidiary itself or by negotiating more favourable health insurance conditions. In addition to Spain, through its flexible remuneration plan, markets such as **Brazil** (with its Baby on Board programme), **Canada, Mexico, Greece, Romania and Mainland China** already offer this type of benefit.

The Inditex Group also promotes the **right to digital disconnection in the workplace**, pursuant to Spain's Data Protection Act (Organic Law 3/2018, of 5 December, on the Protection of Personal Data and Guarantee of Digital Rights). Notwithstanding the commitment acquired at the corporate level, negotiations with workers' representatives have resulted in other measures on this front, included both in the equality plans of the logistics companies, and in the Group's new Equality Plan, applicable in Spain.

Internationally, France has included the right to disconnect as a measure to improve work-life balance. In turn, in 2024, markets such as Australia and Slovenia introduced digital disconnection laws.

In other markets where there is no specific legislation in this regard, we implement information and awareness initiatives, along with technical measures applied to our corporate systems, such as e-mail, to encourage these healthy work habits.

Inditex advocates for all our people to have the social protections regulated in the local legislation of each market. In 2024, 99% of our worldwide workforce was entitled to maternity, paternity or child fostering leave (99% of women and 99% of men). In this period, 6% of those people took such leave (7% of women and 3% of men).

Below is a breakdown of maternity and paternity leave worldwide:

Parental leave	2024		2023	
	Number of employees	%	Number of employees	%
Total	9,322	100%	9,581	100%
Women	8,252	89%	8,570	89%
Men	1,070	11%	1,011	11%

S1-13. Training and skills development metrics

We want working at Inditex to be more than just a job for our people, and we make it easier for them not only to secure professional goals and opportunities, but also to find inspiration, innovation and creativity. To achieve this, from the talent management standpoint we focus on:

/ **Attracting the best talent.**

/ Providing our people with **opportunities for professional development and growth**, primarily through internal promotion and mobility.

/ Providing our workforce with opportunities for **continuous learning**.

/ Creating a safe and motivating working environment that enable us to **retain talented professionals and strengthen their commitment**.

S1-15_01;
S1-15_02;
S1-15_03

S1-13_04

Thus, from 1 February 2024 to 31 January 2025, more than 3.3 million training hours were imparted to more than 2.5 million participants (more than 2.7 million hours and more than 2.2 million participants in 2023)³⁴.

Accordingly, in 2024 the number of unique people trained³⁵ was 214,952 (214,187 in 2023), broken down by gender as 155,964 women, 55,418 men, 40 non-binary and 3,530 persons of other/unspecified gender (158,324; 55,183; 46 and 634 in 2023).

This training is part of our drive to develop our workforce and our ongoing work to nurture environments that encourage lifelong learning.

Our aim is to provide training experiences that help our people to respond optimally to the challenges they face daily. We are convinced that not only do these experiences build the wealth of skills of our workforce, but they are also a key pillar for the Company's sustainable success.

To this end, we offer learning experiences that respond to two needs: on the one hand, the business, offering initiatives aimed at improving individual or group performance and helping our staff to do their job better; and, on the other hand, promoting opportunities for our people to learn beyond their current role, to be inspired and encouraged to explore new perspectives.

Our model is based on in-house training and is eminently practical. Training is mostly delivered by in-house trainers or developed in collaboration with top external entities when the required knowledge or experience is not available in-house.

In addition, as mentioned above, our learning platform Train offers a wide range of digital content tailored to each individual.

① More information on talent, promotion and training in [S1-1. Policies related to own workforce](#) and [S1-4. Actions related to own workforce](#) of this Report.

Details of the training indicators are as follows:

Distribution by job classification

	2024			2023		
	Training hours	Participants	Hours per person	Training hours	Participants	Hours per person
Management	231,490	174,359	23.9	270,884	208,045	27.6
Supervisor	313,953	203,122	20.9	291,368	222,865	19.4
Specialist	2,747,344	2,165,970	20.0	2,220,578	1,834,077	16.2
Total	3,292,787	2,543,451	20.3	2,782,830	2,264,987	17.2

Distribution by gender

	2024			2023		
	Training hours	Participants	Hours per person	Training hours	Participants	Hours per person
Women	2,338,801	1,877,398	19.7	2,045,403	1,696,018	17.1
Men	914,974	626,523	21.5	735,802	566,206	17.4
Non-binary	699	541	24.7	776	637	30.9
Other/Unspecified	38,314	38,989	47.7	849	2,126	38.3
Total	3,292,787	2,543,451	20.3	2,782,830	2,264,987	17.2

³⁴ The year-on-year variation is partially linked to the implementation of the global training campaign on the update of the Code of Conduct carried out in 2024. More information in section [G1-3. Prevention and detection of corruption and bribery](#).

³⁵ A person can attend more than one training course. In the indicator 'unique people trained', those people who have attended more than one course are counted only once.

Distribution by geographic area

	2024			2023		
	Training hours	Participants	Hours per person	Training hours	Participants	Hours per person
Spain	730,780	576,250	14.6	456,833	488,312	9.6
Europe (ex-Spain)	1,675,659	1,381,533	20.8	1,419,197	1,143,593	18.2
Americas	379,609	318,185	20.3	507,350	380,695	24.8
Asia & Rest of the world	506,739	267,483	39.5	399,450	252,387	25.7
Total	3,292,787	2,543,451	20.3	2,782,830	2,264,987	17.2

Distribution by content

	2024		2023	
	Training hours	Participants	Training hours	Participants
Corporate (About us)	2,311,959	1,414,532	1,360,243	1,009,867
Customers	52,103	154,838	87,305	123,719
Fashion and Product	141,649	365,461	153,927	428,895
Languages	37,900	20,603	26,487	23,640
Processes, Techniques and Tools	604,135	489,495	920,811	550,640
Skills	145,041	98,522	234,057	128,226
Total	3,292,787	2,543,451	2,782,830	2,264,987

S1-14. Health and safety metrics

S1-14_01

In connection with health and safety protection, since 2014 we have been implementing the **ISO 45001:2018 management system**, internationally recognised for its ability to control risks and improve occupational health and safety performance.

In 2024, this system, considered to be the highest standard in health and safety, is being implemented in a total of 29 markets and 336 workplaces, covering 86% of our own workforce. In 2024 we also obtained that certification in the markets of Kazakhstan, Australia and France, and we maintained certification of our refurbishment and construction works in Europe, carried out by GOA INVEST, S.A.

In health and safety, the main indicators on accident rates at our own logistics, store, office and manufacturing activities are shown below.

Accident rates of our workforce

S1-14_02;
S1-14_05

	Number of recordable accidents		Frequency rate		Severity rate	
	2024	2023	2024	2023	2024	2023
Women	43	13	0.29	0.09	0.01	0.00
Men	12	3	0.20	0.05	0.01	0.00
Total	55	16	0.27	0.08	0.01	0.00

Work-related health events

S1-14_06

	Occupational diseases		Other health events		Total	
	2024	2023	2024	2023	2024	2023
Women	14	16	268	253	282	269
Men	7	7	259	221	266	228
Total	21	23	527	476	548	499

S1-14_02;
S1-14_03

In 2024 and 2023, there were no fatalities resulting from recordable accidents or work-related health events in our workforce, or of other collaborators carrying out tasks in our own facilities, in any of our markets.

S1-14_07

The number of days lost due to recordable work-related accidents, health events or deaths was 16,695 days in 2024 (17,605 in 2023).

Non-employee accidents

At Inditex, we also look after the health and safety of people who are not part of our staff but who work at the Group's workplaces under its supervision. That is why we monitor the occupational accidents of non-employees.

In 2024, seven recordable accidents and health events of unpaid staff were recorded.

S1-10/S1-16. Compensation metrics

Adequate wages

S1-10_01

All of our workforce receive adequate wages, according to the analysis based on applicable agreements, legal benchmarks or recognised methodological sources, such as the Anker methodology.

① More information in the *Methodological Annex* of this Report.

Average remuneration and gender pay gap

At Inditex we are committed to **equal pay for women and men**. This commitment rests on a remuneration policy established in accordance with the value that each person contributes from their professional experience, dedication and responsibility, with no discrimination on the grounds of gender, age, culture, religion, race or any other characteristic.

Under the framework of the Equality Plan, and taking into account the workforce in Spain, in 2024 the remuneration audit was renewed in the presence of workers' representatives. The methodology and calculation of this audit was reviewed at the time of signing the agreement, through external suppliers. We obtained a verification based on the International Standard on Assurance Engagements (ISAE) 3000 Revised. This verification guarantees the integrity of the Remuneration Register and Wage Audit carried out by the Company, the findings of which establish that there is no gender-based pay discrimination in work of equal value.

S1-16_03

Inditex remunerates its team in accordance with the Group's values, guaranteeing non-discrimination for reasons of gender, age, culture, religion, race or any other circumstance. Our remuneration policy is therefore determined by the value that each person contributes through their professional experience, dedication and responsibility.

As a Group with a strong international presence, we strive to ensure that our remuneration policy is adapted to the specific circumstances of each of the 56 markets in which our teams are located, aligning the standard remuneration with the benchmark practices in each of these markets in their local currency.

Inditex's remuneration **comprises a fixed component and a variable component**.

/ Experience, dedication and responsibility within the Company are the factors that determine fixed remuneration.

/ The variable part depends on pre-established, quantifiable and measurable indicators, linked both to the Company's results and to the fulfilment of the sustainability objectives of the office employees, thus reinforcing the commitment of our people in this area.

Based on this criterion, variable remuneration depends solely on objective parameters, and not on a discretionary assessment of the person's individual performance. This aims to eliminate any room for discrimination. In this regard, **variable remuneration is one of the key components of Inditex's remuneration policy and applies to employees in all areas of the Company's activity.**

In our stores, the most widely used variable remuneration system is that of the monthly sales commission scheme. This is a way to reward the engagement of store employees in key issues as sales results, feedback on products and store coordination and organisation.

Global average remuneration

Average remuneration is defined as the average wages in the Group —considering the total salary: fixed plus variable, consisting of commission and bonus— translated into euros, using the average exchange rate in 2024. Based on this calculation, global average remuneration in this period at Inditex amounted to 30,850 euros gross annually (28,726 euros in 2023).

With regard to this figure, it should be highlighted that the number of employees in Spain, our home market, only represents 31% of the headcount, as a significant part of the remaining 69% staff are based in markets where wages translated into euros give rise to lower average remuneration (30% and 70% of workforce in 2023).

By gender, the average remuneration of women in 2024 amounted to an annual gross figure of 29,694 euros, and that of men came to 33,932 euros (women: 27,831 euros in 2023; men: 31,196 euros in 2023).

These two figures are not representative in terms of equal pay: the pay gap between men and women is due to a higher presence of women in a significant number of markets where average remuneration is lower on account of the exchange rate effect. As explained above, the indicator that provides the most transparency in terms of equal pay for men and women is the pay gap, which in 2024 was 0.7% in favour of women.

Based on these premises, the average remuneration by age and by job classification is provided below:

Aggregate remuneration in €	2024	2023
Job classification		
Management	85,586	70,567
Supervisor	47,467	43,336
Specialist	26,434	25,132
Age		
Under 30 years old	22,740	21,631
30 to 50 years old	39,141	36,460
Over 50 years old	66,132	58,535

S1-16_02

The ratio between the total annual remuneration of the highest paid individual and the median remuneration of all employees is 196.

① More information on the methodology for calculating the annual total compensation ratio in the *Methodological Annex* of this Report.

S1-16_01

Gender pay gap

Inditex is committed to equal pay. For quantification purposes, we use the gender pay gap, which is the indicator that most reliably represents the real difference in pay between women and men.

S1-16_03

The gap is calculated on the basis of the median salary in each market considering the total salary: fixed plus variable, consisting of commission and bonus.

① More information on the calculation methodology in the *Methodological Annex* of this Report.

The outcome of the analysis carried out in 2024 **shows wage parity between men and women in Inditex**. In total salary, women have been paid 0.7% more than men. The global gender pay gap has varied slightly with respect to previous years—in 2023, women were paid 0.5% more than men—which is explained by staff turnover in the period.

The pay gap by geographic area is detailed below:

S1-16_04

Gender pay gap	2024	2023	2022
Spain	1.1%	0.3%	-1.1%
Europe excluding Spain	0.9%	0.5%	1.1%
Americas	0.4%	0.7%	0.5%
Asia and rest of the world	-1.3%	0.8%	1.6%
Total	0.7%	0.5%	0.4%

If we break down the gap by job classification, in 2024 it was 1% for specialists (1% in 2023 and 1% in 2022), -3% for supervisor positions (-4% in 2023 and -3% in 2022) and -6% for management positions (-5% in 2023 and -8% in 2022), representing 85%, 9% and 6% of our people in 2024.

S1-17. Incidents, complaints and severe human rights impacts

S1-17_01;
S1-17_02;
S1-17_03;
S1-17_07;
S1-17_08;
S1-17_09;
S1-17_10

Our **Ethics Line** is in place for reporting any type of infringement or irregularity concerning human rights linked to our people, including potential inherently severe violations such as child labour or forced labour, in accordance with the UN Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work and/or the OECD Guidelines for Business. Through this grievance mechanism we monitor all possible cases, handling the appropriate cases and adopting the corresponding decisions.

In 2024, the Ethics Line (which includes both the Global Ethics Line and the various Local Ethics Lines) recorded a total of 791 cases, of which 280 were related to our people. Of the total number of cases reported in 2024, four cases of discrimination have been confirmed. However, no inherently severe human rights-related incidents have been confirmed for our employees.

S1-17_04

As far as the National Contact Points for OECD Multinational Enterprises are concerned, no reports have been received, neither related to our people, nor of any other kind.

S1-17_05;
S1-17_06;
S1-17_11;
S1-17_12

This year, no fines, penalties or damages were imposed for discrimination or human rights infringements materialising in 2024 in connection with our people.

① More information on the Ethics Line in section *G1-1. Corporate culture and business conduct* and on the reported indicators in section *G1-4. Communications received through the Ethics Line* and in the *Methodological Annex* of this Report.

S2. Workers in the value chain

A. Strategy

SBM-3. Material impacts, risks and opportunities

Combining dialogue and commitment to our stakeholders and the analysis of our value chain allows us to identify the material impacts, risks and opportunities (IROs) linked to the people who work in it.

As a result of this analysis, we identified that our IROs focus mainly on the **supply chain**.

Material Impacts, Risks and Opportunities related to value chain workers

	TYPE (I/R/O)	PHASE OF THE VALUE CHAIN	RELATED POLICIES
S2.I1 Working conditions	I	/ Supply Chain	Transversal policies: / Code of Conduct / Code of Conduct for Manufacturers and Suppliers / Human Rights Policy / Sustainability Policy / Sustainability Stakeholder Relations Policy
S2.I2 Achievement of adequate wages	I	/ Supply Chain	
S2.I3 Social dialogue and respect for the rights of freedom of association and collective bargaining	I	/ Raw materials / Supply Chain	
S2.I4 Work-related accidents and occupational diseases	I	/ Raw materials / Supply Chain	
S2.I5 Possible impacts on vulnerable groups	I	/ Raw materials / Supply Chain	
S2.R1 Risks related to value chain workers	R	/ Supply Chain	

① More information on stakeholder engagement and our materiality analysis can be found in section [SBM-3. Material impacts, risks and opportunities](#) and [IROs. Disclosures on the materiality assessment process](#) of this Report.

Scope

We have assessed the possible impacts of our operations on supply chain workers, so as to take into account everyone who might be impacted, whether positively or negatively.

The findings of this assessment highlight that the IROs in connection with value chain workers focus primarily on our supply chain.

Furthermore, **our due diligence** in connection with human rights allows us to identify the groups in our supply chain that might be most affected, such as women, migrants and people with disabilities, or those who work in the production of raw materials. Our Workers at the Centre strategy focuses on these vulnerable groups, making their needs visible and including them in our actions to guarantee their protection.

① More information on the due diligence process in section [GOV-4. Statement on due diligence](#) of this Report.

S2.SBM-3_01;
S2.SBM-3_02;
S2.SBM-3_03;
S2.SBM-3_08

S2.SBM-3_05;
S2.SBM-3_06

Occurrence and types of impacts

Among the negative impacts related to supply chain workers, we have found various patterns of occurrence, linked, for example, to the realities of each region. That is why we believe it is crucial to understand the context of each one. This is a task in which we are supported by our supplier clusters, through which we are able to learn about the realities of those working in our supply chain on the ground. In these clusters we have local teams in direct contact with suppliers, workers, trade unions, NGOs, local and national authorities, international organisations and academic institutions, etc. In 2024, Inditex had 10 clusters in Spain, Portugal, Morocco, Türkiye, India, Bangladesh, Pakistan, Vietnam, China and Cambodia.

This work enables us to identify individual impacts, such as those linked to occupational accidents and serious occupational diseases or workplace harassment; as well as potential systemic impacts, linked to the existence of global and industry-wide characteristics.

This might be the case, for example, of inadequate work environments or situations of child or forced labour, the risk of which may increase in certain regions due to specific contextual factors. However, at Inditex we take a systemic approach to minimising the probability that this type of impact may occur. We therefore have mechanisms in place to prevent both systemic and individual impacts, implementing mitigation and remediation strategies to address the negative effects once they have occurred.

In this regard, our approach is based on the Code of Conduct for Manufacturers and Suppliers and its compliance programme, as well as our Workers at the Centre strategy and its five **Priority Impact Areas (PIA)**: Social dialogue, Living wages, Health, Respect and Resilience. Through these, we also endeavour to generate a positive impact, designing initiatives that allow us to enhance employee quality of life and well-being.

In this context, we underscore our **Global Framework Agreement with IndustriALL Global Union**, which promotes the participation of workers and respect for collective bargaining, and also provides key information for our strategy.

In addition, we have devised specific **Remediation Plans** to protect minors and refugees.

① More information on related actions in section [S2-4. Actions related to value chain workers](#) of this Report.

S2.SBM-3_04

As reflected in our Code of Conduct for Manufacturers and Suppliers and in our Human Rights Policy, we have **zero tolerance towards child labour and any form of forced or involuntary labour** and we are committed to eliminating them.

To ensure compliance with it, we conduct regular audits of our supply chain facilities.

① More information in section [G1-2. Management of relationships with suppliers](#) of this Report.

We also work actively to identify the stages of the supply chain that are most susceptible to **human rights violations**, so as to prevent them. In this regard, we identify greater vulnerability in areas associated with the cultivation of raw materials such as cotton. To achieve this, we work hand in hand with the ILO, within the framework of our Public-Private Partnership, for the promotion and respect of the Fundamental Principles and Rights at Work (FPRW) in cotton-growing communities in India, Pakistan and Uzbekistan.

Risks and opportunities

S2.SBM-3_07;
S2.SBM-3_09

By assessing impacts and dependencies, we also determine the possible risks and opportunities for our Company. We classify as material those risks associated with workers in our supply chain, related to various types of incidents, such as labour disputes or non-compliance, which is not linked to any specific group of workers.

To address this, we have a number of tools that allow us to anticipate and mitigate the risk, such as our policies, compliance programmes or Ethics Line.

B. Impact, risk and opportunity management

S2-1. Policies related to value chain workers

S2.MDR-P_01-06,
S2-1_10

At Inditex, we develop policies that set out the conditions we want our suppliers to pass on to the workers in the value chain, with the aim of:

- / Fostering **respect for human rights** in the supply chain.
- / Providing those who work in our supply chain with the tools for their **empowerment, participation and well-being**.
- / Creating **social value** in the community in a responsible way and driving industry transformation.

These policies also ensure that the third parties with whom we have dealings are aligned with our commitments. Therefore, the manufacturers of the products marketed by the Group, as well as the rest of the supplier companies, are obliged to comply not only with the **Code of Conduct for Manufacturers and Suppliers**, but also with the **Code of Conduct**, insofar as it applies to them.

Policies related to value chain workers

- / Code of Conduct for Manufacturers and Suppliers ⓘ
- / Human Rights Policy ⓘ
- / Code of Conduct ⓘ
- / Sustainability Policy ⓘ
- / Ethics Line Procedure ⓘ
- / Sustainability Stakeholder Relations Policy ⓘ

ⓘ More information on our policies and their updates in section [MDR-P. Policies](#) of this Report.

Code of Conduct for Manufacturers and Suppliers

S2-1_06

At Inditex we have a Code of Conduct for Manufacturers and Suppliers, which defines minimum standards of ethical and responsible behaviour that must be observed by all of the Group's manufacturers and suppliers across the supply chain, in accordance with our corporate ethical culture, firmly grounded in respect for human rights and sustainability.

Compliance with the Code of Conduct for Manufacturers and Suppliers is a pre-requisite for a supplier or manufacturer to form part of our supply chain.

ⓘ More information on the Code of Conduct for Manufacturers and Suppliers in section [MDR-P. Policies](#) of this Report.

Respect for human rights in the value chain

S2-1_01;
S2-1_02

Our **Human Rights Policy** establishes the principles of respect and promotion of all universally recognised human rights, both labour and non-labour, in our own operations and the value chain.

This Policy is binding for all our workforce as well as for anyone related with the Group, including those who are part of our value chain. For prioritisation purposes, the Policy also identifies the rights connected with the activities of the Group and the stakeholders.

ⓘ More information on the Human Rights Policy in section [MDR-P. Policies](#) of this Report.

In addition, through this policy, underpinned by the **Sustainability Policy** and the **Code of Conduct for Manufacturers and Suppliers**, we promote fair working conditions in our value chain. Specifically:

- / We embrace the United Nations Sustainable Development Goals (SDGs).
- / We promote and respect human rights in our value chain, within the framework of the United Nations Guiding Principles on Business and Human Rights.

/ We develop measures to prevent, mitigate and remediate negative impacts related to our activity, as well as to the activities of our business partners.

/ We drive sustainability in our value chain alongside our suppliers, contributing to the improvement of supply chain workers' living conditions and to the development of their communities.

S2-1_05

Furthermore, our Code of Conduct for Manufacturers and Suppliers expressly prohibits forced or compulsory labour and child labour, underscoring:

/ **Zero tolerance** for any form of modern slavery or human trafficking in both its organisation and its supply chain.

/ The **establishment of a minimum age of 16** for recruitment in our value chain, even when local regulations allow for a lower age.

S2-1_03

To guarantee these commitments, we develop mechanisms for collaboration and dialogue with our stakeholders through the supplier clusters and sales and sustainability teams.

Thus, through the new **Sustainability Stakeholder Relations Policy** and the update of our Sustainability Policy, we are prioritising stakeholder engagement on sustainability issues, topics and trends. Accordingly, we undertake, among others, the commitment to listen and actively talk to our stakeholders, as well as to act responsibly, ethically and transparently in our relations with them.

We also have partnerships that allow us to complement this dialogue, such as our Framework Agreement with IndustriALL Global Union and alliances with Action, Collaboration, Transformation (ACT), Ethical Trading Initiative and International Apparel Federation (IAF).

① More information in section [S2-2.Processes for engaging with value chain workers about impacts](#) of this Report

S2-1_07;
S2-1_08

Accordingly, we guarantee the application of the principles of our policies, which are grounded on a commitment to respect and promote human rights, as outlined in the UN Guiding Principles on Business and Human Rights.

In this regard, as can be seen from reading them, we construct our policies and Codes of Conduct in line with international principles and benchmark standards.

① More information in sections [MDR-P. Policies](#) and [S1-1. Policies related to own workforce](#) of this Report

Policy-related mechanisms and instruments

S2-1_04

To ensure the proper protection of human rights and compliance with our standards, we use grievance mechanisms, such as our Ethics Line, available to our stakeholders.

① More information in section [G1-1. Corporate culture and business conduct](#) of this Report.

Additionally, through our Global Framework Agreement with IndustriALL Global Union, we foster social dialogue in our supply chain and work on dispute resolution mechanisms through the internal communication channel implemented for this purpose.

To address the impacts we have identified, we enact strategies and measures, such as the Workers at the Centre strategy or the initiatives of our Compliance Programme, which are aimed at support and remediation in the event of supplier non-compliance.

S2-1_09

Accordingly, to identify and manage potential non-compliances linked to the rights of supply chain workers, we conduct regular and periodic social audits. These ensure that our standards and the Code of Conduct for Manufacturers and Suppliers are upheld. In section G1-2 of this Report, we provide the ratio of compliance with the different parts of the Code by the factories in our supply chain.

① More information in section [G1-2. Management of relationships with suppliers](#) of this Report.

Our Ethics Line also allows us to monitor notifications regarding non-compliances, thus enabling us to identify any gaps in our Code of Conduct for Manufacturers and Suppliers and Human Rights Policy, and to activate the necessary mechanisms to manage them.

S2-2. Processes for engaging with value chain workers about impacts

We believe that the relationship with the people who are part of our value chain is fundamental to correctly manage the actual and potential impacts that may affect them.

To this end, we have different relationship and dialogue mechanisms to listen to their views and take them into account in our decision making, adapting our strategies to suit their needs.

Through our ten supplier clusters, we are able to generate local spaces for dialogue and collaboration on the ground, allowing us to learn the perspectives and needs of these groups and inform our strategies.

It is important to highlight the audit processes we regularly conduct at our manufacturers and suppliers. During the course of these audits, our teams are in direct contact with people working in our supply chain through interviews with them and their representatives.

① More information on our supplier clusters in section *G1-2. Management of relationships with suppliers* of this Report.

Another of our main tools in relation to our supply chain workers is our **Global Framework Agreement** with IndustriALL Global Union, which we signed in 2007 and renewed in 2019.

This Global Framework Agreement allows us to foster worker participation and respect for the rights of freedom of association and collective bargaining. It also gives us a crucial direct listening channel to inform our strategies, enabling us to:

/ Manage incident at any workplace in the supply chain by fostering social dialogue.

/ Facilitate the involvement of our supply chain workers' legitimate representatives.

We have also established mechanisms for joint access to workplaces as well as for managing disputes at our supply chain as part of the Global Framework Agreement with IndustriALL.

① More information on our Global Framework Agreement with IndustriALL Global Union in section *S2-4. Actions related to value chain workers* of this Report.

In addition to this tool, we also have our Ethics Line for reporting any potential non-compliance with our policies and codes.

① More information on the Ethics Committee in section *G1-1. Corporate culture and business conduct* of this Report

Lastly, our **double materiality assessment**, which we update every year, allows us to incorporate the perspectives of expert organisations. This means we can set up a channel for communications with our stakeholders regarding matters that are important to the people in our supply chain and the potential impacts that may affect them.

① More information on stakeholder engagement and our materiality assessment in sections *SBM-2. Interests and views of stakeholders*, *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

S2-2_06

As a result of these collaborative efforts, we have agreements with various organisations such as our Public-Private Partnership with the International Labour Organization and the Global Framework Agreement with IndustriALL Global Union.

Additionally, our collaborations are embodied in various actions as part of the Workers at the Centre strategy, which we evaluate by monitoring each project using general and/or specific indicators, depending on the initiatives.

We also gauge the effectiveness of our efforts by conducting audits of our suppliers and manufacturers. Lastly, our clusters are a key tool in determining the effectiveness of our collaborations because of their ongoing communication with local Revstakeholders.

S2-2_04

The Chief Sustainability Officer oversees the implementation of the sustainability strategy, including stakeholder engagement, in particular with people working in our supply chain and suppliers.

① More information in section [GOV-2. Information provided to governing bodies and sustainability matters addressed of this Report](#).

Focus on vulnerable groups

S2-2_07

Although we consider all people in the supply chain, we develop **a special focus on particularly vulnerable groups**.

We have therefore introduced in our Workers at the Centre strategy a specific focus for women, migrants and people with disabilities, or workers involved in the production of raw materials. In this way we aim to listen to those people who are least represented and who may be most affected.

S2-3. Processes to remediate negative impacts and channels for value chain workers to raise concerns

Processes to remediate negative impacts

S2-3_01

The identification of potential and actual negative impacts related to our activity allows us to increase our capacity to prevent, mitigate and remediate their effects. That is why we endeavour to assess the impacts linked to those working in our supply chain.

To achieve this we implement due diligence processes and we activate grievance mechanisms, which help us detect potential negative impacts and introduce the necessary measures to prevent, mitigate and remedy their effects.

① More information in section [GOV-4. Statement on due diligence](#) of this Report.

Our main **remediation tools** are:

/ The **projects covered by the Workers at the Centre strategy** —which focus on managing the impacts identified in our due diligence process in human rights— allowing us to implement initiatives aligned with our Priority Impact Areas.

① More information on the Workers at the Centre strategy in section [S2-4. Actions related to value chain workers](#) of this Report.

/ **Corrective Action Plans (CAPs)**, part of our compliance programme, through which we develop roadmaps to support suppliers to correct and prevent any non-compliance with our Code of Conduct for Manufacturers and Suppliers that is detected through social audits.

① More information on Corrective Action Plans (CAPs) in section [G1-2. Management of relationships with suppliers](#) of this Report.

/ **Specific Remediation Plans for protection against child labour and the safeguarding of refugees**, focused on the special protection of these vulnerable groups.

/ **Remediation measures carried out** in the framework of our collaboration with IndustriALL Global Union.

Main communication and grievance mechanisms

S2-3_02;
S2-3_04;
S2-3_06;
S2-3_11;
S2-3_12

Value chain workers have access to the **Ethics Line**, which is available to all our stakeholders. The procedure for managing communications received from value chain workers through the Ethics Line and ensuring the channel's efficacy is the same as for those received from other stakeholders and is outlined in the relevant chapter of this Report.

① More information on how the Ethics Line works, including monitoring, control and assurance of its effectiveness, in section [G1-1. Corporate culture and business conduct](#) of this Report.

S2-3_03;
S2-3_05;
S2-3_09;
S2-1_11

To ensure that supply chain workers are aware of our Ethics Line, in addition to including information and facilitating their access via the corporate website, the Code of Conduct for Manufacturers and Suppliers explicitly designates this channel as a preferred and confidential channel available to them. This code, which must be accepted in order to be able to work with Inditex, requires manufacturers and suppliers to:

/ Post the Code of Conduct for Manufacturers and Suppliers, translated into the local language, on their premises.

/ Appoint a management representative who is responsible for the implementation of the Code of Conduct for Manufacturers and Suppliers.

Compliance with the requirements of the Code, including it is available to workers, is verified through social audits we carry out regularly at our manufacturers and suppliers.

S2-3_10

Furthermore, workers can also use external grievance channels designated by the competent authorities.

S2-3_02;
S2-3_10

Our **Framework Agreement with IndustriALL Global Union** also constitutes a specific communication and contact mechanism, reinforcing the other available grievance mechanisms. Its functioning is articulated through the relationship with local affiliates, the legitimate workers' representatives, who channel their concerns via an escalation process developed between Inditex and IndustriALL with the aim of promoting social dialogue.

S2-3_05

For a better understanding of the main points of the Global Framework Agreement, we provided training for local affiliates in different countries. This strengthens the knowledge of the people working in our supply chain regarding this mechanism, so as to foster social dialogue in our supply chain as a way of solving any incident that may be reported to Inditex through our Global Framework Agreement with IndustriALL.

S2-4. Actions related to value chain workers

S2-4_10

We strive to implement practices and strategies that minimise any potential impacts related to our activity that could affect workers in our supply chain.

Consequently, we are committed to implementing responsible purchasing practices to avoid potential impacts on the working conditions, wages or benefits of workers.

In addition, we conduct thorough human rights due diligence, supported by an ongoing exercise to identify and prioritise potential human rights impacts.

① More information on our due diligence regarding human rights in section [GOV-4. Statement on due diligence](#) of this Report.

S2-4_01;
S2-4_05;
S2-4_06;
S2-4_13;
S2-4_16

Through this due diligence exercise, in addition to our materiality assessment, we identify the potential impacts that our activity may have on our value chain workers.

This assessment enables us to identify the actions needed to prevent, mitigate and remediate these impacts, as well as to set up strategies to transfer the positive effect to our supply chain.

To manage our supply chain impacts, we take a collaborative approach to global and local implementation, from a systemic perspective. To this end, we developed a number of tools, including:

/ **Workers at the Centre strategy**: it aims to strengthen the protection of human rights and incorporates an approach to transformation and impact into our relationship with the people working in the supply chain.

This strategy is structured into five PIAs (Social dialogue, Living wages, Respect, Health and Resilience) with specific targets and lines of action that are materialised through partnerships, solutions and initiatives on the ground, developed by our teams or along with partner organisations. In their design and development we apply the Theory of Change to launch transformative initiatives on the basis of the expected benefit for people.

/ Programme for Compliance with the Code of Conduct for Manufacturers and Suppliers: it ensures compliance with Inditex's regulations regarding our supply chain, enabling us to trigger action mechanisms in the event of non-compliances. Specifically, this programme is structured through audits, Corrective Action Plans (CAPs) and training, among other measures.

① More information on the Compliance Programme in section [G1-2. Management of relationships with suppliers](#) of this Report.

We also have specific **Remediation Plans for protection against child labour and the protection of refugees**, which include special measures for prevention, detection and remediation in cases of child, forced or irregular labour, by providing support and remediation for the affected person.

Workers at the Centre

The Workers at the Centre 2023-2025 strategy is based on **respect for the human rights** of the workers in the supply chain. Our **goal is to reach three million people by 2025**.

Priority Impact Areas



Social dialogue

Facilitating mature industrial relations as a vehicle for a more participative society.



Living wages

Setting the conditions for the achievement of Living Wages in the Inditex supply chain.



Respect

Promoting safe and respectful environments, free from discrimination, abuse or harassment.



Health

Protecting the health and safety of workers in the supply chain, and improving their well-being.



Resilience

Contributing to create preventive, adaptive and transformative capacities for development.

Elements of the strategy



/ Due Diligence

A continuous process, based on the UN Guiding Principles on Business and Human Rights, allowing us to identify five Priority Impact Areas. These areas are synergetic and interconnected.



/ Transformation

Transformation is a slow process and requires the commitment and collaboration of various parties. Our Workers at the Centre strategy connects us to the present and the challenges it poses, without losing sight of our ultimate goal, which is to transform the industry and communities.



/ Equal opportunities as our focus

We make more visible and integrate the needs of the most vulnerable groups, including women, migrants and refugees.



/ Solutions

Priority Impact Areas develop, support and combine different types of solutions and interventions to pursue their objectives: partnerships, collaborations with different stakeholders, direct interventions with suppliers or community outreach, among others.

All the approaches complement each other and, at different paces and scales, contribute to and are part of implementing the strategy.

Workers at the Centre 2024:

1,817,233

People

reached by the strategy

2,429

Suppliers and factories

involved in the strategy

35

Initiatives and solutions

developed in factories and/or communities

S2.MDR-A_01-12;
S2-4_03;
MDR-A_03

Our **Workers at the Centre** strategy, whose new cycle started in 2023 and will end in 2025, is based on the respect and promotion of human rights and the creation of social value.

For this reason, the actions carried out under our strategy go beyond mitigation and/or remediation of potential negative impacts, with initiatives aimed at generating positive change for our supply chain workers and their communities.

In this way, we aim to have a **diverse, inclusive and safe value chain** for workers, made up of committed suppliers and manufacturers, while ensuring decent conditions and adequate levels of well-being.

S2-4_14

Collaboration and support

To achieve this, at Inditex we believe in the culture of collaboration as a means to leverage our effect and achieve a lasting impact. On this regard, we implement measures aimed at our value chain workers in partnership with local and international expert organisations such as ACT (Action, Collaboration, Transformation), Ethical Trading Initiative (ETI), IndustriALL Global Union, International Accord, the International Labour Organization (ILO), Reimagining Industry to Support Equality (RISE) and many others.

Our local teams, who are present in our main supplier markets, play a key role in the management and implementation of our actions.

S2-4_13

Likewise, we believe in supporting **our suppliers** to address supply chain challenges as a shared responsibility. That is why we provide continuous and specialised training on issues such as gender equality, freedom of association, living wages, and health and safety.

One example of this is our EVOLVES initiative which, through direct collaboration with suppliers and manufacturers, is aimed at developing facility management systems to furnish them with efficient tools and operating practices that guarantee and reinforce respect for the rights of supply chain workers.

Likewise, the close relationship between our purchasing and sustainability teams and our suppliers is crucial. We have local teams in our main production markets, our clusters. This allows us to pay special attention to the context of these regions.

S2-4_15

This ongoing communication and collaboration is crucial in the design and implementation phases of our actions within the Workers at the Centre strategy.

We work with key players like **the international trade union federation IndustriALL**, with which we signed a Global Framework Agreement in 2007. An important tool for promoting worker participation and respect for the rights of freedom of association and collective bargaining.

Similarly, we work with **Shift**, a leading organisation in human rights and business, in the framework of the conceptualisation of the due diligence exercise. The analysis of this exercise, along with other information sources, allows us to develop the Priority Impact Areas of our strategy.

① More information on the strategy in the report *Workers at the Centre*, available on Inditex's corporate website.

Priority Impact Areas of the Workers at the Centre strategy

Social dialogue

Related IROs: [S2.I1; S2.I3; S2.R1; S3.I1; S3.I2; S3.R1]

MDR-A_01;
MDR-A_02

We see social dialogue as a tool to help us foster more mature industrial relations as a vehicle for a more participatory society.

To achieve this, we have a range of partnerships and collaborations and we work on two main lines of action: the participation of workers and dialogue ecosystems.

Worker participation

We have endeavoured to promote communication and dispute resolution mechanisms like the internal communication channel of the Global Framework agreement; the Interim Dispute Resolution Mechanism in Bangladesh relating to freedom of association and the payment of wages and benefits for workers under the ACT initiative or the International ACCORD's Complaints Mechanism, among others.

Main initiatives in 2024:

- / Implementation of the Global Framework Agreement with IndustriALL Global Union (global).
- / Training on the Global Framework Agreement (Bangladesh).
- / Training for local affiliates of IndustriALL concerning the mechanisms of the Global Framework Agreement (Cambodia, Türkiye).

Ecosystems for dialogue

We also aim to empower the representatives of workers and employers through social dialogue platforms at the local or industry level. For this purpose we work actively on representation mechanisms and raising awareness regarding industrial relations and other spheres such as occupational health and safety or women's empowerment.

Main initiatives in 2024:

- / Collaboration through the ACT initiative (Bangladesh, Cambodia, Türkiye).
- / Better Work programme (Bangladesh, Cambodia, Egypt, Indonesia, Pakistan, Vietnam).
- / Programme for the promotion of social dialogue (India).
- / Improving operational grievance mechanisms (Türkiye).
- / Training on improving employee relations (Cambodia, China).

Results of the social dialogue PIA in 2024:

- / 670,281 people reached, which brings the figure to 741,076 people reached since the start of this strategy cycle in 2023.
- / 325 suppliers and factories involved.
- / Key markets: Bangladesh, Cambodia, China, Egypt, India, Indonesia, Pakistan, Türkiye, Vietnam.

Contribution to the SDGs**Living wages**

Related IROs: [S2.I1; S2.I2; S2.R1; S3.I1; S3.I2; S3.R1]

In our view, paying workers living wages can only be achieved by means of effective collaboration at industry level between workers' representatives and employers, complemented by responsible purchasing practices.

Necessary conditions for collective bargaining

We work to foster collective bargaining agreements at industry level, underpinned by improvements in responsible purchasing practices.

Main initiatives in 2024:

- / Collaboration through the ACT initiative (Bangladesh, Cambodia, Türkiye).
- / Implementation of the Global Framework Agreement with IndustriALL Global Union (global).

Responsible purchasing practices

Responsible purchasing practices can help create an environment that is conducive to improving working conditions, wages and benefits for workers in the supply chain.

That is why we are adhered to the ACT's five commitments in relation to purchasing practices and we train our sales teams to make responsible purchasing decisions, providing them with a management system that measures the sustainability performance of each supplier and factory.

Main initiatives in 2024:

- / Responsible purchasing practices with ACT.
- / Training buyers at the Inditex Sustainable Fashion School.

MDR-A_04;
MDR-A_05

S2-4_17

MDR-A_01;
MDR-A_02

Management systems and favourable practices

We opt to take a holistic approach, including creating an ecosystem conducive to favourable conditions —skills enhancement, increased productivity, effective wage management systems, financial literacy, etc.— and lays a solid foundation for the payment of living wages to supply chain workers.

Main initiatives in 2024:

- / Wage management project (China).
- / Lean Project (Bangladesh, Cambodia, China, Morocco, Portugal, Vietnam).
- / Look Through Another Window project (Türkiye).
- / RISE Digital project (Pakistan).
- / RISE Financial Health project (Cambodia, Egypt, Vietnam).

Results of the living wages PIA in 2024:

- / 86,268 people reached, which brings the figure to 100,454 people reached since the start of this strategy cycle in 2023.
- / 67 suppliers and factories involved.
- / Key markets: Bangladesh, Cambodia, China, Egypt, Morocco, Pakistan, Portugal, Türkiye, Vietnam.

Contribution to the SDGs



Respect

Related IROs: [S2.I5; S2.R1; S3.I1; S3.I2; S3.R1]

We aim to promote safe and respectful environments, free from discrimination, abuse or harassment.

To achieve this, we endeavour to create respectful work environments free from any kind of violence and harassment, along with a fair recruitment and employment culture.

Respectful work environments free from any kind of violence and harassment

ILO Convention No. 190 and Recommendation No. 206 are the first international labour standards that provide a common framework to prevent, remediate and eradicate violence and harassment in the world of work, including gender-based violence and harassment. We promote, support, collaborate and implement all necessary measures to foster engagement in these areas.

Main initiatives in 2024:

- / Training on respect and equality (Türkiye).
- / Training on the development of zero tolerance policies towards violence (Türkiye).
- / Working parent support programme (China).
- / EDUCARE project (Morocco).
- / Harmony project (Türkiye).
- / LGBTQI+ Awareness project (Portugal).
- / Parwaaz project - Disability management in the workplace (Pakistan).
- / RISE Respect project (Bangladesh, India).
- / Together Strong project (Türkiye).
- / Workplace Adaptation project (Türkiye).

Fair recruitment and employment culture

Having fair recruitment and employment practices is key to achieving decent working conditions. At Inditex, we take a zero tolerance policy towards child labour and any kind of forced labour, issues that are reflected in our Code of Conduct for Manufacturers and Suppliers.

We also have a supply chain management system in place that includes aspects such as audits, corrective plans, awareness-raising, etc. They allow us to identify and remediate potential violations, and to adopt the necessary action if any breaches are detected.

MDR-A_04;
MDR-A_05

S2-4_17

MDR-A_01;
MDR-A_02

Main initiatives in 2024:

/ Remediation programme for migrant workers (Türkiye).

/ Sowbhagyam project (India).

MDR-A_04;
MDR-A_05

Results of the Respect PIA in 2024:

/ 174,917 people reached, which brings the figure to 222,240 people reached since the start of this strategy cycle in 2023.

/ 369 suppliers and factories involved.

/ Key markets: Bangladesh, China, India, Morocco, Pakistan, Portugal, Türkiye.

S2-4_17

Contribution to the SDGs



Health

Related IROs: [S2.I4; S2.R1; S3.I1; S3.I2; S3.R1]

We aim to protect the health and safety of supply chain workers and improve their well-being, through three lines of action: physical health, workplace safety and well-being.

To achieve this, we work with various organisations such as International Accord for Health and Safety in the Textile and Garment Industry, Medicus Mundi Sur, RMG Sustainability Council (RSC), St. John's Medical College and the University of Oxford.

Physical health

We continue our commitments and initiatives aimed at reinforcing the evaluation, support and improvement of compliance with our Code of Conduct for Manufacturers and Suppliers.

Main initiatives in 2024:

/ OHS Corrective Action Plan (global).

/ Project in collaboration with Medicus Mundi (Morocco).

Workplace safety

We work to promote safe and adequate facilities and workplaces for workers, as well as to provide training for both employees and management to effectively manage workplace safety.

Main initiatives in 2024:

/ Accord-CAP Remediation project (Bangladesh, Pakistan).

/ SAFER project (China, Morocco, Vietnam).

/ Boiler safety project (Morocco).

/ Suraksha: fire & electrical system assessment + thermography project (India).

Well-being

We believe that general well-being should be addressed in the supply chain by taking care of mental, emotional and even social health, safeguarding a workplace culture of well-being and fostering the dissemination of knowledge. Accordingly, we encourage open communication on matters relating to health and safety issues and we promote safe and healthy behaviours.

Main initiatives in 2024:

/ SAKHI Menstrual Rights project (India).

/ Suraksha: Safety Management Systems (SMS) project (India).

MDR-A_01;
MDR-A_02

Occupational Health and Safety Corrective Action Plans

In 2024, we have strengthened our commitment to this initiative, broadening the scope of suppliers and factories to be involved and stepping up efforts and resources to improve health and safety conditions in our supply chain, thereby ensuring greater compliance with our CCMS and the applicable legislation.

In this regard, we design our Corrective Action Plans in collaboration with suppliers or manufacturers, analysing the necessary improvements in each individual case. Subsequently, a specialised team carries out ongoing monitoring of their implementation, providing guidance to the supplier or manufacturer, overseeing progress, and verifying the improvements implemented.

MDR-A_04;
MDR-A_05

Results of the Health PIA in 2024:

/ 1,313,217 people reached, which brings the figure to 1,694,407 people reached since the start of this strategy cycle in 2023.

/ 1,806 suppliers and factories involved.

/ Key markets: Bangladesh, China, India, Morocco, Pakistan, Vietnam.

S2-4_17

Contribution to the SDGs



Resilience

Related IROs: [S2.I1; S2.R1; S3.I1; S3.I2; S3.R1]

We want to contribute to generating preventive, adaptive and transformative capacities to ensure prosperous livelihoods and create more resilient suppliers and communities.

MDR-A_01;
MDR-A_02

Social protection

We are engaged in ensuring adequate and sufficient social security access in the supply chain, by periodically assessing the compliance performance of factories and suppliers and, if necessary, implementing and monitoring corrective action plans.

Main initiatives in 2024:

/ Employment Injury Scheme (EIS) pilot programme in Bangladesh (Bangladesh).

/ Happiness for All (India).

Just transition and the future of work

We want to ensure that a human rights-based approach is systematically incorporated into our climate commitments. In this way, human rights experience and practice are combined with environmental plans and actions, thereby ensuring that the social impact is taken into account. We also strive to understand how jobs and skills are going to evolve.

Main initiatives in 2024:

/ Rise Foundations project (China, Vietnam).

Prosperous livelihoods

We focus primarily on the livelihoods of people involved in the production of raw materials, including those in the agricultural sector. To address these challenges, we apply a holistic approach that encompasses traceability, due diligence and a commitment to respect for and promotion of human and labour rights.

Main initiatives in 2024:

/ Public-private partnership with the International Labour Organization (India, Pakistan, Uzbekistan).

/ Child & Women Friendly Mobile Areas project (Türkiye).

/ Collaboration projects for promoting regenerative agricultural practices (India).

MDR-A_04;
MDR-A_05**Results of the Resilience PIA in 2024:**

- / 59,823 people reached, which brings the figure to 69,804 people reached since the start of this strategy cycle in 2023.
- / 58 suppliers and factories involved.
- / Key markets: Bangladesh, China, India, Pakistan, Türkiye, Uzbekistan, Vietnam.

S2-4_17

Contribution to the SDGs**Further considerations**S2-4_12;
MDR-A_06;
MDR-A_07

The financial resources linked to implementing these actions, do not imply a material amount on their own. They are included under Operating Expenses in the Consolidated Income Statement (see [Note 6](#) of the Consolidated Annual Accounts).

S2-4_18

In this regard, we highlight the role of our local teams, who are present in the main supplier markets, in the management and implementation of our actions.

S2-4_04

We monitor our actions in detail to examine and validate their effectiveness.

To this end, we have common indicators for all the actions, such as the number of people reached, and individual indicators applicable to each type of initiative depending on its nature, which we obtain through different methods such as surveys of the supply chain workers.

In addition, in some cases we also undertake monitoring visits to assess the correct implementation of the projects. In 2024, we conducted 776 of these monitoring visits (821 visits in 2023).

S2-4_02

In the process of analysing and monitoring our impacts, we pay special attention to the potential materialisation of their effects, in order to establish preventive measures and, should they occur, mitigation measures.

In those cases where we identify that the impact has occurred or is occurring, we activate specific action plans that allow us to:

- / Minimise the negative effect on people in the supply chain.
- / Endeavour to remediate it as much as possible.
- / Apply a dual perspective of prevention to minimise the chances of its recurring in the future.

An example of this is our **Remediation Plans**, which are activated if a potential incident of child, forced or irregular labour is detected.

Remediation Plans

/ Child labour remediation plan: we implement a mandatory process that is triggered if a worker under the age established in our Code of Conduct for Manufacturers and Suppliers is found. From the moment it is activated, suppliers and factories are responsible for developing and implementing a series of feasible corrective actions, as well as providing schooling opportunities for the child and paying the child a living allowance until the minimum working age is reached or, alternatively, employing an adult family member in place of the child, among other measures aimed at reducing the likelihood of the child returning to the world of work. In addition, to ensure compliance, our teams continuously monitor compliance, also in collaboration with external expert organisations.

/ Refugee and migrant remediation plans: they are carried out if our assessments identify migrant or refugee workers in any of the production facilities with whom we work. In these plans we assess the working and living conditions of these workers in order to provide support to them and their families if necessary, in collaboration with expert NGOs.

S2-4_07

In addition to the aforementioned support visits, within the framework of our Compliance Programme we conduct **social audits** regularly and without previous notice of the specific date of the audit to all suppliers and manufacturers in our supply chain, following both our own methodology and that of the Social & Labor Convergence Program (SLCP).

These audits allow us to verify compliance with our Code of Conduct for Manufacturers and Suppliers and consist of an unannounced site visit to verify wage rates, working hours, health and safety conditions, among other requirements. Depending on the degree of compliance, suppliers and manufacturers receive a social rating.

Accordingly, we use **Corrective Action Plans (CAPs)** to support suppliers in their improvement processes and help them to correct and prevent non-compliances. However, we maintain a zero tolerance policy with those who do not show a willingness to improve, and so if the final verification audit shows critical non-compliances at the end of the CAP, Inditex's business relationship with the factory or supplier will be terminated.

S2-4_11

These social audits and Corrective Action Plans allow us to monitor and control potential incidents regarding supply chain workers' rights. We report the results of these audits grouped by theme in this Report.

① More information in section *G1-2. Management of relationships with suppliers* of this Report.

We also work to identify those stages of our supply chain that are most susceptible to potential human rights violations, in order to multiply our prevention efforts on them. This has led us to identify greater vulnerability in the raw material cultivation phase. For this reason, we work hand in hand with the International Labour Organization (ILO), within the framework of our Public-Private Partnership, for the promotion and respect of the Fundamental Principles and Rights at Work (FPRW) in India, Pakistan and Uzbekistan.

Furthermore, value chain workers also have access to the Ethics Line for reporting any type of infringement or irregularity concerning human rights. In 2024, no inherently severe incidences human rights violations in our supply chain have been detected through this channel.

① More information in section *G1-1. Corporate culture and business conduct* of this Report.

S2-4_08

The implementation of these actions and our Compliance Programme also play an important role in minimising our **material risks**, by reducing our risks relating to supply chain workers.

S2-4_09

On the other hand, regarding opportunities, we continue to work to deepen our analysis in order to be able to provide more insight in future reporting exercises. In 2024 we have not identified any material opportunities in relation to our supply chain.

Agreements and collaborations

At Inditex we understand that our sustainability targets for the supply chain are shared by other stakeholders. Accordingly, we take an open and collaborative approach with a range of organisations and we actively participate in the industry's global initiatives as the driving force for transformation. In this regard, we carry out our actions aimed at our value chain workers in partnership with local and international expert organisations. These include ACT (Action, Collaboration, Transformation), Ethical Trading Initiative (ETI), IndustriALL Global Union, International Accord, the International Labour Organization (ILO), Reimagining Industry to Support Equality (RISE), Medicus Mundi and many others.

① More information in the report *Partnerships* on Inditex's corporate website.

C. Metrics and targets

S2-5. Targets related to value chain workers

S2.MDR-T_01-13

MDR-T_01

• Reaching three million people with the Workers at the Centre strategy

We have set ourselves the target of reaching three million people through our Workers at the Centre strategy between 2023 and 2025.

This target is linked to our Human Rights Policy and its commitment to play an active role in promoting human rights and to proactively work towards their respect, both in our own operations and in the value chain.

MDR-T_02;
MDR-T_05;
MDR-T_06;
MDR-T_07;
MDR-T_08;
MDR-T_13

Target: reaching three million people with the Workers at the Centre strategy by 2025

	Current period	Target year
	2023-2024	2025
People reached since 2023	2.2 million	3 million

S2-5_04

For this purpose, as with our Workers at the Centre strategy of which it is a part, we aim to guarantee respect for the human and labour rights of our supply chain workers and to promote their well-being and that of their communities. To achieve this we design various projects based on the Theory of Change methodology in each of the PIAs with specific targets set.

More information in the report *Workers at the Centre*, available on Inditex's corporate website.

MDR-T_11;
S2-5_01;
S2-5_02;
S2-5_03

A key factor in designing our strategy, targets and actions is close continuous collaboration and dialogue with specialist organisations and leading players in our value chain.

Through constant communication with these organisations, we are also able to track how effective our actions are and define new areas for improvement to fulfil our strategies and goals.

Moreover, the Global Framework Agreement with IndustriALL provides a direct communication channel with workers in our supply chain through their representatives, giving us valuable insight into their needs and our performance.

MDR-T_03;
MDR-T_04;
MDR-T_05;
MDR-T_06;
MDR-T_09;
MDR-T_12

More information on the scope, methodology and calculation changes in the year in the *Methodological Annex* of this Report.

S3. Affected communities

A. Strategy

SBM-3. Material impacts, risks and opportunities

At Inditex we see the community as one of our stakeholders, and our relationship model encompasses those people or entities that are a part of the environment where we operate, represented by NGOs, governments and public authorities, academic institutions, media and civil society. Bearing this in mind, we have compiled the following list of material impacts, risks and opportunities related to communities.

Material Impacts, Risks and Opportunities related to communities

	TYPE (I/R/O)	PHASE OF THE VALUE CHAIN ⁽¹⁾	AFFECTED POLICIES
S3.I1 Value generation and community investment	I	/ Extended value chain	Transversal policies: / Code of Conduct / Code of Conduct for Manufacturers and Suppliers / Human Rights Policy / Sustainability Policy / Sustainability Stakeholder Relations Policy Specific policies: / Community Investment Policy / Ecosystems and Biodiversity Policy
S3.I2 Possible violations of local communities' rights	I	/ Extended value chain	
S3.R1 Risks related to local communities' rights	R	/ Extended value chain	

⁽¹⁾ The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.

① More information on stakeholder engagement and our materiality assessment in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

Scope

In our assessment, we take into consideration the community, bearing in mind the various ways in which it might be affected by our activity. Consequently, we identify those people who might be impacted by our activity, whether positively or negatively.

Accordingly, we take into consideration the communities linked to our own operations (near our offices, logistics centres, etc.), as well as to our value chain, including from the extraction of raw materials to the product's end-of-life management.

We also take into consideration those groups whose specific characteristics make them **more vulnerable to potential negative impacts**. This is the case, for example, of women, children, migrants and refugees, people with disabilities, people at risk of exclusion, indigenous communities and others.

We have also identified a potential vulnerability in connection with the processes of extraction of the raw materials used in our products. We therefore continue to work on improving traceability at the industry level of the materials used to make the products. The aim being to minimise and be able to remediate any negative impacts on communities' rights from our supply chain activities.

S3.SBM-3_01;
S3.SBM-3_02;
S3.SBM-3_03;
S3.SBM-3_07

However, our community investment strategy is not only confined to those communities most closely linked to our activity, but also encompasses other communities, less directly affected by our operations or those of our value chain, but whom we also want to support through our programmes.

Occurrence and types of impacts

S3.SBM-3_04

Negative impacts related to the community may have a range of causes, linked to situations such as potential breaches of cultural rights or more systemic ones such as the potential adverse impact of our activities on the communities' right to a healthy environment.

As part of our commitment, we have implemented mechanisms to prevent both kinds of possible impacts and, should they occur, address them. In this regard, we respect the rights of communities when implementing our actions and we have expanded initiatives such as Workers at the Centre with the aim of transferring their effect not only to value chain workers but to their communities. This is especially significant in communities linked to the production of raw materials.

Furthermore, we implement measures to ensure **respect for human rights**, including the cultural rights of communities. We have an internal team that is responsible for ensuring that our products are developed in keeping with these rights.

Moreover, we consider our indirect impacts on communities, such as those relating to the environment. In this connection, we carry out initiatives to promote respect for people's right to live in a healthy environment.

S3.SBM-3_05

At Inditex we are committed to **generating a positive impact** on the community as a whole. To do so, we design initiatives that enable us to transfer and generate value for people by creating direct, indirect and induced employment as a result of our activity, fostering an improvement in living standards and improving communities' well-being.

In this regard, we have a **community investment strategy**, whereby we carry out numerous projects with different focuses. Through this programme we contribute to sustainable development beyond our value chain and industry.

In this sense, we highlight our support to initiatives aimed to safeguard the lives, health and well-being of forced migrants and refugees, as well as other vulnerable groups facing humanitarian emergency situations, such as natural disasters, armed conflicts or similar circumstances.

① More information on related actions in section [S3-4. Actions related to communities](#) of this Report.

Risks and opportunities

S3.SBM-3_06

By analysing our impacts and dependencies we can identify those material risks and opportunities for our Company arising from the community.

This in turn allows us to implement initiatives that help us prevent, mitigate and remediate potential negative effects before they occur. In this regard, we consider members of the community as legitimate users of the Ethics Line, so that they can report any infringement or irregularity related to their rights. Through this grievance mechanism we can monitor, manage cases, make appropriate decisions and take the necessary measures, thereby helping to prevent the potential risk of sanctions and compensation due to rights-related breaches or incidents.

S3.SBM-3_08

The risks and opportunities identified relate to the community as a whole; no specific dependence on any particular group has been identified.

B. Impact, risk and opportunity management

S3-1. Policies related to communities

S3.MDR-P_01-06;
S3-1_08

Our policies concerning the management of community impacts, risks and opportunities, apply to all affected persons, regardless of their proximity to our own operations or value chain.

Policies related to the community

- / Community Investment Policy ⓘ
- / Human Rights Policy ⓘ
- / Ecosystems and Biodiversity Policy ⓘ
- / Code of Conduct ⓘ
- / Sustainability Policy ⓘ
- / Ethics Line Procedure ⓘ
- / Sustainability Stakeholder Relations Policy ⓘ

ⓘ More information on our policies and their updates in section *MDR-P. Policies* of this Report.

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04;
MDR-P_05

In particular, we highlight the role of our **Community Investment Policy**, which helps us to regulate our strategy's projects focused on creating a lasting impact in the community from strategic support for long-term projects.

Community Investment Policy	
Approved by the Board of Directors in June 2014 and last updated on 3 May 2023	
Key contents	/ Committed improvement of community wellbeing, maximisation of community value generation and construction of strategic alliances / Alignment across the community initiatives pursued within the Group and collaboration channel for participation in community initiatives / Framework of priority activity areas (education, emergency relief and environment)
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons linked to Inditex, when possible due to the nature of the relationship and when conducive to compliance
Accountable for the implementation	/ Sustainability department and its chief officer
Third-party standards	/ 2030 Agenda and UN Sustainable Development Goals (SDGs) / Paris Agreement on Climate Change
Consideration given to stakeholders	/ Participation of the Social Advisory Board

S3-1_02

Respect for community human rights

At Inditex we are committed to **respecting community human rights**, a commitment enshrined in our Sustainability Policy, and, more extensively, in our Human Rights Policy. Likewise, we want our activity to contribute to the development of a fair society, in balance with the planetary boundaries.

Hence, in our Code of Conduct, pursuant to our relationship with our surrounding environment, we commit to:

- / Promoting the sustainable development of the communities and areas in which we operate, by fostering voluntary initiatives and projects.
- / Collaborating with communities and organisations related to our Group.

Along these lines, our **Human Rights Policy** advocates the special protection of communities. It establishes as a principle the fostering and promotion of human rights in the local, national or international communities in which the Group conducts its business. In particular, the policy underscores our explicit commitment to upholding the rights of local communities by respecting their laws, culture and customs; open dialogue with stakeholders and attention to the most vulnerable groups.

Likewise, our **Sustainability Policy** reflects our aim to nurture the well-being of people and communities, promoting multiculturalism and recognising the importance of the right to a clean, healthy and sustainable environment.

S3-1_06

Our policies are based on our commitment to respect and promote all internationally recognised human rights, as set out in the United Nations Guiding Principles on Business and Human Rights, and to promote human rights in the communities in which we operate. In this regard, as can be seen from their details, we construct our policies in line with international principles and benchmark standards.

S3-1_01;
S3-1_03

Importantly also, our commitment to respecting community human rights includes **indigenous communities**, in line with our Sustainability Policy. This is also explicitly stated in our Ecosystems and Biodiversity Policy, which sets out Inditex's commitment to responsible sourcing, production and other practices in the value chain that respect and protect the human rights of the community, with a particular emphasis on the rights of indigenous peoples.

S3-1_04

Moreover, the new **Sustainability Stakeholder Relations Policy** addresses the incorporation of stakeholders into the relevant topics and issues, committing to active listening and dialogue.

In order to implement these principles, as well as other commitments emanating from our policies with respect to the community, we engage in active dialogue with the individuals who make up the community through the direct relations with the various NGOs with which we work. These include our long-term partners Médecins Sans Frontières (MSF), the Red Cross, Water.org and others.

We also pursue this relationship through the work of our Social Advisory Board and the Sponsorships and Patronage Committee, which is directly linked to our community investment strategy.

S3-1_05

Policy-related mechanisms and instruments

We are supported by our grievance mechanisms to improve our due diligence process, helping us to identify potential negative impacts, and allowing us to respond to risks in advance. One such mechanism is our **Ethics Line**, available to people in the community for them to convey, among other things, instances of infringements of their rights.

① More information on the Ethics Line in section *G1-1. Corporate culture and business conduct* of this Report.

S3-1_07

We monitor cases handled by this channel as a means of tracking infringements of the community's human rights, should these arise.

In 2024 no cases of non-compliance with the UN Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work, or the OECD Guidelines for Multinational Enterprises were identified through the Ethics Line, our main grievance mechanism.

① More information on the cases handled by the Ethics Line in section *G1-4. Communications received through the Ethics Line* of this Report.

S3-2. Processes for engaging with communities

S3-2_01;
S3-2_02;
S3-2_03;
S3-2_07

At Inditex, we believe that our relationship with and commitment to people in the community is key to properly manage the actual and potential impacts on them.

This allows us to tailor our strategies and more accurately design our community initiatives, in particular the actions pursuant to our community investment strategy, to ensure that our model is optimised to best serve the community's real needs.

Moreover, at Inditex we see respect for human rights as a whole, including indigenous communities in this paradigm. Our relationship with local and international organisations is crucial to our understanding of these communities and the possible impacts of our activity might have on them.

In this line, we highlight the following specific tools of engagement:

/ Commitments to community-based organizations

Given the complexity of establishing a direct relationship with an entire community, our model is based on **collaboration with community representatives**, such as NGOs and other local and international organisations.

By constantly exchanging information, community and stakeholder views are incorporated into the various initiatives. We therefore work with numerous specialist organisations and institutions, like the UNHCR, Red Cross, Médecins Sans Frontières, Water.org or WWF, to carry out these initiatives, from their design to their implementation and subsequent assessment.

In addition, the beneficiaries of the various community investment projects are involved in the assessment phase. Their assessment helps us to gauge the effectiveness of the actions and improve their implementation and scope. We also hold direct contacts with them as part of the specific implementation of projects in communities linked to cotton production.

① More information on our partnerships with NGOs in section [S3-4. Actions related to communities](#) of this Report.

/ Social Advisory Board

Our external advisory body on community investment is composed of external and independent persons and institutions, and its main mission is to institutionalise dialogue with key stakeholders from civil society.

/ Sponsorships and Patronage Committee

As the body responsible for the governance in our Community Investment Policy, it is empowered with approving all contributions made under the umbrella of the community investment strategy. Thus, it coordinates with the Community Investment department to assess and approve the necessary initiatives.

/ Projects linked to our Workers at the Centre and raw materials strategies

As part of our Workers at the Centre strategy, we also forge specific partnerships and engagements with organisations that focus on communities linked to our supply chain, and in particular with those communities related to the production of raw materials. One such example is our Public-Private Partnership with the **International Labour Organization**, in place since 2017, to improve respect for Fundamental Principles and Rights at Work in cotton communities, and another is our work with the Organic Cotton Accelerator.

We also harness our sustainability teams to carry out our community engagement actions.

① More information on stakeholder engagement in section [SBM-2. Interests and views of stakeholders](#) of this Report.

S3-2_05;
S3-2_06

We gauge the effectiveness of our relationship with and commitment to the community by the detailed monitoring of the projects we develop.

When it comes to initiatives carried out within the framework of our community investment strategy, we rigorously measure the outputs and impacts achieved, using, among others, the Business for Societal Impact (B4SI) measurement methodology. In terms of the groups we target, we pay special attention to the **protection of the most vulnerable groups**, such as women, young people at risk of exclusion, LGBTQI+ people, migrants and refugees, among others. We also take into account those communities linked to the production of the raw materials needed for our products, such as cotton.

To learn these groups' views, and to ensure that our strategy is aligned with their needs, we rely on our partnerships with specialised community-based organizations.

S3-2_04

Lastly, operating responsibility regarding stakeholder engagement, in particular with the community, rests with the Chief Sustainability Officer.

S3-3. Processes to remediate negative impacts and channels for affected communities to raise concerns

Processes to remediate negative impacts

By identifying our potential and/or actual negative impacts, we are able to prevent, mitigate and remedy the effects of their materialisation.

S3-3_10

This approach extends to the community. We pay particular attention to developing our due diligence processes and make grievance mechanisms available to all legitimate third parties, so as to act in the best possible way should any negative impact affect them.

Main communication and grievance mechanisms

Members of the community have access to our **Ethics Line**, which is available to all our stakeholders. The procedure for handling communications received from the community through this channel and ensuring its efficacy is the same as for those received from other stakeholders, which is outlined in the relevant chapter of this Report.

① More information on how the Ethics Line works, including monitoring, control and assurance of its effectiveness, in section *G1-1. Corporate culture and business conduct* of this Report.

To ensure that members of the community know, trust and can access our Ethics Line, in addition to including information and facilitating access to it via the corporate website, we have designated it as a preferred communication channel in all the policies that apply to it.

Members of the community can also use the external grievance channels designated by the competent authorities in each case, including the official EU institutions, bodies or agencies.

Moreover, we analyse any other communications we may receive, for example through the organisations we work with in community matters, in order to monitor them and take any necessary action.

S3-4. Actions related to communities

At Inditex we see **community investment as a chance to contribute to sustainable development** and have a positive impact on the community through voluntary activities that go beyond the boundaries of our value chain and of our industry.

Our approach to corporate community investment

We aim to bring about a lasting impact in the community, which is why we focus our efforts on supporting long-term strategic projects, subject to an exhaustive monitoring and accountability process, instead of making sporadic contributions to social or environmental causes.

To achieve this, we invest monetary or in-kind resources or hours —such as our people’s time spent volunteering— in an array of **non-profit initiatives**.

In this regard, in 2024 we supported 485 organisations (476 in 2023) in carrying out 953 social and environmental projects with an investment of over 134 million euros, a 20% increase on the investment made in 2023. These initiatives, **focusing on the UN Sustainable Development Goals (SDGs)**, that relate to our activity, have directly benefited more than 4.6 million people in 2024, i.e. 6% more than in the previous year.

The different circumstances of those people are an aspect to which we pay particular attention when developing our actions.

Distribution of the people benefited in 2024 on the basis of their situation	
Living in developing countries	52%
Low income	36%
Refugees	5%
In situation of vulnerability	5%
Other profiles ⁽¹⁾	2%

(1) ‘Other profiles’ refers to people with a disability, people who are unemployed, victims of a natural disaster or catastrophe or who are homeless, among other circumstances.

Furthermore, we see gender equality as a transversal priority in our strategy. Accordingly, the initiatives we support promote respect for diversity and equality between men and women in all spheres (economic, social, cultural, labour, political, etc.). This approach addresses the root causes of the problem and helps to solve it.

We also take into account the path outlined by the SDGs when it comes to designing our community partnership projects. We identify the main SDGs to which our initiatives contribute. In 2024, 91% of our contributions were in support of projects aimed mainly at SDGs 3, 4, 5, 8, 10, 12 and 15:

Distribution of Corporate Community Investment in 2024, by SDG

SDG 3. Good health and well-being	7%
SDG 4. Quality education	5%
SDG 5. Gender equality	4%
SDG 8. Decent work and economic growth	9%
SDG 10. Reduced inequality	31%
SDG 12. Responsible consumption and production	27%
SDG 15. Life on land	8%
Others	9%

In line with our community investment strategy, our efforts in this regard focus mainly on three priority activity areas (education, emergency relief and the environment), which account for 75% of our community investment:

/ Education action

Related IROs: [S3.I1; S3.I2; S3.R1]

We support projects focused on safeguarding the community's right to quality education throughout life and generating opportunities for decent work grounded on inclusion and equity in the community.

Key education initiatives in 2024:

- / Inditex Chair of Refugees and Forced Migrants in the Comillas Pontifical University.
- / TEMPE-APSA Chair of Disability and Employability at Miguel Hernández University in Elche.
- / Inditex Chair of Spanish Language and Culture at the University of Dhaka.
- / Inditex Chair of Artificial Intelligence in Green Algorithm at the University of A Coruña (UDC).
- / Inditex Chair of Sustainability at the University of A Coruña (UDC).
- / Inditex Chair of Family-Owned business at the Universities of A Coruña (UDC), Santiago de Compostela (USC) and Vigo (UV).
- / Inditex Chair of Inclusion of Persons with Intellectual Disabilities at the University of Barcelona (UB).
- / Programa CEMS: The Global Alliance in Management Education.
- / for&from: social/workplace integration programme for people with disabilities.
- / GO (Generating Opportunities: education and inclusion for a sustainable world) with Entreculturas.
- / Collaboration programme with Tsinghua University.
- / Collaboration programme with the Massachusetts Institute of Technology (MIT).
- / Collaboration programme with the University of A Coruña (UDC): InTalent, InMotion, Master's Degree in Digital Law and Artificial Intelligence (MUDDIA), Master's Degree in Financial Innovation and Digitisation.
- / Employment and Training Programme in Spain with Caritas.
- / FAD Juventud programme: programme to provide quality employment for women in technology professions in Spain.
- / SALTA: employment integration programme for people at risk or in a situation of social exclusion.

To implement this action, in 2024 we allocated 23 million euros —excluding management costs— which implies 17% of our contribution to community investment actions (17 million euros in 2023).

/ Emergency relief action

Related IROs: [S3.I1; S3.I2; S3.R1]

We contribute with initiatives to safeguard the lives, health and well-being of forced migrants and refugees, as well as other vulnerable groups facing humanitarian emergencies such as natural disasters, armed conflicts, etc.

MDR-A_01;
MDR-A_02;
MDR-A_04;
MDR-A_05

MDR-A_01;
MDR-A_02;
MDR-A_04;
MDR-A_05

Key emergency relief initiatives in 2024:

- / Médecins Sans Frontières (MSF) programme: medical-humanitarian response programme in various parts of the world.
- / Relief programme for those affected by the floods in Brazil.
- / Relief programme for those affected by the DANA in Spain.
- / UNHCR (United Nations High Commissioner for Refugees) Programme.
- / Assistance to displaced people in South America with Entreculturas.
- / A Flote with the Emalcsa Foundation and the A Coruña City Council: social integration and social benefits programme in Spain.
- / Every Mother Counts Programme: programme for the supply of prenatal and maternity care to pregnant women in Bangladesh and the United States.
- / Medicus Mundi Programme: programme for the improvement in the well-being of garment workers in Morocco.

To implement this action, in 2024 we allocated 41 million euros —excluding management costs— which implies 31% of our contribution to community investment actions (46 million euros in 2023).

/ Environmental action**Related IROs: [S3.I1; S3.I2; S3.R1]**

We contribute to activities aimed at conserving and restoring ecosystems, fostering regenerative practices, supporting the circular economy and using resources efficiently.

Key environmental initiatives in 2024:

- / Moda Re- with Caritas: programme to generate employment for vulnerable people through the collection, recycling, and reuse of used garments in Spain.
- / Water.org programme: programme to improve access to drinking water and sanitation for vulnerable families through microloans in countries such as Bangladesh, Cambodia or India.
- / #BRINGYOUROWNBACK (#TRAETUBOLSA) initiative:
 - WWF Programme: restoration and protection projects in forest and freshwater ecosystems.
 - Water & Climate Fund by Water.org: projects to improve water and sanitation infrastructure.
 - Agreement on fire prevention with Galicia Regional Government.
 - Sustainable Forestry and Demonstration Forests with FORESTIS - Associação Florestal de Portugal- and the Galician Forestry Association.
 - Conservation International programme: Regenerative Fund for Nature and Mountains to Mangroves .
 - Regenerative agriculture programme in India in collaboration with ASA, Laudes Foundation, IDH The Sustainable Trade Initiative and WWF India.
 - Royal Botanic Gardens Kew programme.
 - SOS Atlantic Forest Programme.

To implement this action, in 2024 we allocated 35 million euros —excluding management costs— which implies 26% of our contribution to community investment actions (25 million euros in 2023).

① More information on some of these initiatives in section [E4-3. Actions related to biodiversity and ecosystems](#) of this Report.

/ Other issues addressed**Related IROs: [S3.I1; S3.I2; S3.R1]**

In addition to our initiatives linked to education, emergency relief and environment, we also earmark part of our investment to initiatives linked to social welfare, social and economic development, healthcare, art and culture.

Key social welfare, social and economic development, healthcare, art and culture initiatives in 2024:

- / Fundación ProCNIC: collaboration focused on cardiovascular health research.
- / Real Instituto Elcano: collaboration focused on research.
- / Fundación Carolina: collaboration focused on research.
- / Royal Spanish Academy: collaboration focused on art and culture.
- / Reina Sofia National Museum of Art: collaboration focused on art and culture.
- / Royal Theatre opera house: collaboration focused on art and culture.

To implement this action, in 2024 we allocated 34 million euros —excluding management costs— which implies 25% of the contribution to community investment actions (23 million euros in 2023).

MDR-A_01,
MDR-A_02;
MDR-A_04;
MDR-A_05

MDR-A_06;
MDR-A_07;
MDR-A_09;
MDR-A_10;
MDR-A_11;
MDR-A_12;
S3-4_12

Contributions

The total contributions allocated to the various community investment actions, including management costs, amounted to 135 million euros (113 in 2023), which were included under Operating Expenses in the Consolidated Income Statement (see [Note 6](#) to the Consolidated Annual Accounts).

This contribution can be made in various ways:

By form of contribution (€ M)¹

	2024	2023
Cash (monetary amount)	61.2	62.0
Time (the proportional cost of our employees' paid time spent on social or environmental activities during working hours)	10.6	10.2
In-kind (donations of products, mainly garments)	60.9	38.5
Management costs (estimated expenses incurred for the general management of the programmes)	2.2	2.0

⁽¹⁾ Management costs included

In this regard, in 2024 we increased the value of our in-kind contributions by 58% compared to 2023, through the donation of 7.25 million articles from our collections. Furthermore, our employees have dedicated 353,618 hours of their working hours to social or environmental initiatives, 4% more than in the previous year.

We also classify these contributions into three categories:

By category (€ M)¹

	2024	2023
Charitable gifts (one-off institutional donations to the general goals of charities)	3.0	2.4
Community investment (long-term strategic commitment to support specific social activities)	87.9	71.7
Commercial initiative in the community (initiatives of social interest directly related to the Company's commercial activity)	41.9	36.6

⁽¹⁾ Management costs excluded

MDR-A_03

It is worth noting that 98% of the total investment in 2024 was channelled to support initiatives that we consider strategic: community investment and commercial initiatives in the community. This is due to our commitment to ongoing initiatives that enable us to maximise the effectiveness of our inputs and broaden the impact of key projects.

MDR-A_02

With regard to the **geographic scope**, we prioritise regular investment in the areas in which we conduct our activity, in particular, in our clusters. Accordingly, our brands and subsidiaries operate locally and/or nationally when it comes to supporting community and environmental projects. This allows us to maximise the positive impact within our communities.

Geographical distribution of corporate community investment in 2024

Europe ex-Spain	17%
Spain	43%
Americas	18%
Asia and rest of the world	23%

MDR-A_04;
MDR-A_05;
S3-4_04;
S3-4_16

Monitoring the positive outcomes of our actions

We carry out an exhaustive monitoring and accountability process in connection with our community investment projects, using B4SI methodology, highlighting the achievements and impacts:

/ IMPACTS

To gauge the effectiveness of the projects we support, we measure the impact of our investments on both the community (direct beneficiaries and community organisations) and the Company (our people and the business).

a) Community**Impact on people³⁶****Depth of the impact: which degree of improvement have the people experienced?**

*Mutually exclusive parameters.

	Connection ⁽¹⁾	Improvement ⁽²⁾	Transformation ⁽³⁾
2024	16%	66%	17%
2023	7%	82%	11%

⁽¹⁾ People who have reported some limited change as a result of their participation in the initiative.⁽²⁾ People who have reported some substantial improvement in their lives as a result of the project.⁽³⁾ People who have reported an enduring change in their circumstances as a result of the improvements made.**Impact type: what kind of changes have they experienced?**

*Non-exclusive parameters. Beneficiaries may experience more than one kind of behaviour.

	Behaviour or attitude change ⁽¹⁾	Skills or personal effectiveness ⁽²⁾	Quality-of-life or well-being ⁽³⁾
2024	22%	3%	90%
2023	31%	1%	96%

⁽¹⁾ The initiative has helped people make behavioural changes that can improve the person's life. It can also mean that the programme has changed negative attitudes or preconceptions, enabling them to make better decisions.⁽²⁾ The initiative has helped people to develop new or improve existing abilities to develop academically, in the workplace and socially.⁽³⁾ The initiative has helped people to be healthier or happier, by improving their physical, emotional or social well-being.**Impact on community-based organisations³⁷**

		No difference	Low impact	Medium impact	High impact
Improved existing/ delivered new services	2024	0%	3%	32%	66%
	2023	6%	2%	42%	51%
Improved management processes	2024	8%	20%	55%	17%
	2023	12%	7%	63%	18%
Reached more people or spent more time with clients	2024	0%	13%	34%	53%
	2023	8%	16%	53%	23%
Taken on more staff or volunteers	2024	0%	20%	64%	16%
	2023	5%	44%	36%	15%
Increased their profile	2024	0%	0%	53%	47%
	2023	0%	0%	45%	55%

³⁶ En 2024, the assessment was carried out on 4,521,248 people who benefited from our community investment programme initiatives (4,059,696 in 2023).³⁷ In 2024, the assessment was carried out on a total of 319 non-profit organisations benefiting from our community investment initiatives (275 in 2023).

b) Company**Impact on employees³⁸**

		No difference	Low impact	Medium impact	High impact
Job-related skills⁽¹⁾	2024	1%	3%	26%	71%
	2023	1%	6%	22%	71%
Personal impact⁽²⁾	2024	1%	2%	14%	84%
	2023	1%	1%	12%	86%
Behaviour change⁽³⁾	2024	1%	3%	16%	80%
	2023	1%	2%	12%	85%

⁽¹⁾ Improvements in core, job-related competencies such as communications, teamwork, leadership skills, etc.

⁽²⁾ Changes in areas like self-confidence, job satisfaction and pride in the company.

⁽³⁾ Changes in behaviour such as increased volunteering or being more vocal advocate of the company.

Impact on our Company

		No difference	Low impact	Medium impact	High impact
Human resources benefits⁽¹⁾	2024	65%	12%	9%	13%
	2023	64%	14%	10%	12%
Improved stakeholder relations/perceptions⁽²⁾	2024	0%	12%	31%	57%
	2023	0%	15%	28%	57%
Business generated⁽³⁾	2024	91%	6%	4%	0%
	2023	91%	7%	2%	0%
Other operational improvements⁽⁴⁾	2024	40%	14%	12%	34%
	2023	40%	17%	12%	32%
Uplift in brand awareness⁽⁵⁾	2024	6%	26%	24%	44%
	2023	7%	22%	21%	50%

⁽¹⁾ Improvements in the Company through increased commitment, recruitment or performance linked to the community initiative carried out.

⁽²⁾ Improved perception by external stakeholders based on the community initiative carried out.

⁽³⁾ Increased sales linked to cause-related marketing activities or new market opportunities.

⁽⁴⁾ Increased resilience of suppliers and/or the distribution chain.

⁽⁵⁾ Improved brand awareness as a result of increased media coverage, for example.

/ LEVERAGE

Furthermore, it is important to consider **the amount of additional investment leveraged**: the additional resources that our investment programmes have leveraged as a result of contributions by third parties—employees, customers, etc—.

In 2024, this leveraged investment amounted to 210.2 million euros, which represents a 95% increase compared to 2023. This amount was raised mainly through the collaboration with Water.org —through the additional capital released by microfinance institutions—, the Moda Re- project —through the collection of garments— and donations from our employees from their pay checks.

① More information in the *Methodological Annex* of this Report.

Other community actions

Our community engagement strategy prioritises having a positive impact, as previously outlined, but we also take into account any potential negative impacts on the community from our activity. We do this using a dual approach of **prevention and remediation**, first minimising the possibility of the impact occurring, but also having the necessary mechanisms in place to remedy it if it does occur.

In this regard, we respect the rights of communities when implementing our actions and we extend the scope of programmes like Workers at the Centre with the aim of transferring their effect not only to supply chain workers but to their broader communities. This is especially significant in the communities linked to the production of our raw materials.

³⁸ In 2024, the assessment was carried out through surveys of 352 employees in 19 countries following their involvement in corporate volunteering initiatives (225 employees in 18 countries in 2023).

① More information in section [S2. Workers in the value chain](#) of this Report.

We take into account impacts indirectly related to the community as well, such as environmental impacts. In this connection, we carry out a number of programmes and initiatives that contribute to respecting communities' right to a healthy environment.

① Details of the environmental programmes are provided in chapters [E1. Climate change](#), [E2. Pollution](#), [E3. Water resources](#), [E4. Biodiversity and ecosystems](#) and [E5. Resource use and circular economy](#) of this Report.

Further considerations

S3-4_13;
S3-4_14

At Inditex, we are mindful that the challenges arising from our global presence are shared, so we **collaborate with all major stakeholders to leverage** our effect and achieve a real and lasting impact. That is why we join forces with NGOs, local and international organisations, companies and brands, and other stakeholders such as academic institutions, media, and civil society itself. And we also work with global industry bodies and initiatives with the aim transforming the sector and addressing shared challenges.

S3-4_05;
S3-4_19

Managing impacts, as well as identifying the measures needed to address them, are tasked centralised in our sustainability teams, who are responsible for tackling the challenge of accompaniment and collaboration on the ground. They hold direct contacts with NGOs, local and national authorities, international organisations and academic institutions, among others, to seek common solutions that prevent and mitigate negative impacts and promote positive ones.

Furthermore, the **Ethics Line** allows us to track possible infringements of irregularities, including those linked to human rights, so that we can process the pertinent cases and put into practice the action required.

① More information in section [G1-1. Corporate culture and business conduct](#) of this Report.

The Ethics Committee is tasked with identifying which action is needed to respond to each impact. In this regard, when a communication is received, the Ethics Committee acknowledges receipt and assesses whether it falls within the scope of the Ethics Line. If so, the Ethics Committee conducts an investigation, in collaboration with the relevant areas, and decides whether to close the case (if there is no breach), or to adopt disciplinary and/or additional action. These measures include mitigation measures, such as immediate correction of a breach, and measures to remedy and prevent future breaches.

The Ethics Committee is also tasked with analysing and identifying who best should carry out the relevant actions.

S3-4_02;
S3-4_11

In 2024, no negative impacts linked to communities were brought to our attention through the Ethics Line and therefore no remediation measures were carried out. Likewise, no inherently severe incidences of community-related human rights violations have been detected through this channel.

S3-4_07

As for community-related cases received through the Ethics Line, the procedure for managing them and ensuring the effectiveness of the Line is common to that of cases received from other stakeholders, and is detailed in the corresponding chapter of this Report.

① More information in section [G1-1. Corporate culture and business conduct](#) of this Report.

S3-4_10

Furthermore, at Inditex we include communities in our human rights due diligence processes. In addition, we carry out an annual materiality assessment that allows us to identify our points of impact, both positive and negative, and inform our strategy. Thus, we seek to prevent our activity from generating any associated negative effects, especially with regard to the community.

① More information on the materiality assessment in sections [SBM-3. Material impacts, risks and opportunities](#) and [IROs. Disclosures on the materiality assessment process](#) of this Report.

S3-4_08	The prevention and mitigation actions detailed above help us to prevent fines or penalties being exacted for human rights breaches against communities.
S3-4_09	In turn, no material opportunities have been identified in relation to communities.

Agreements and collaborations

Our agreements and collaborations play a fundamental role in the relationships with the communities around our activities. That is why at Inditex we work closely with the various organisations to mitigate potential negative impacts and have a positive impact on our surroundings. To achieve this we have establish collaboration agreements with a number of organisations, such as Médecins Sans Frontières (MSF), Entreculturas and UNHCR, as well as academic institutions like Tsinghua University and the University of Santiago de Compostela.

① More information in the report Partnerships, on Inditex’s corporate website.

C. Metrics and targets

S3-5. Targets related to communities

S3.MDR-T_01-13	• To help ten million people through our corporate community investment programme between 2022 and 2025 In 2022 we committed to help ten million people through our corporate community investment programme between 2022 and 2025. En 2024, we have achieved this target, helping more than 12.3 million people over the last three years.
MDR-T_01	This target is linked to our Sustainability Policy, and more specifically to our Community Investment Policy, which is committed to improving community well-being, maximising the value we generate in the community, and building strategic partnerships to promote sustainable development together.

MDR-T_02;
MDR-T_07;
MDR-T_08;
MDR-T_13

Target: to help ten million people through our Corporate Community Investment programme between 2022 and 2025		
	Current year	Target year
	2024	2025
People	12.3 million	10 million

S3-5_04; S3-5_06	Through this target, we have worked to have a positive and lasting impact on the community by means of our community investment projects, aligned with the Paris Agreement and the Sustainable Development Goals (SDGs) established in the United Nations 2030 Agenda.
MDR-T_11; S3-5_01	In establishing them, we involve the Social Advisory Board, an external advisory body institutionalising dialogue with key partners from civil society, and our strategic partners in our community investment initiatives, with whom we work to implement our actions. We have also relied on the continuous dialogue we maintain with all the organisations we work with that routinely inform our decisions and roadmaps.
S3-5_02; S3-5_03	To gauge the achievement of this target and identify possible improvements, we have involved the various actors in our projects, especially the non-profit organisations with whom we collaborate and the beneficiaries of our actions themselves.
MDR-T_03; MDR-T_04; MDR-T_05; MDR-T_06; MDR-T_09; MDR-T_12; S3-5_05	① More information on the scope, methodology and calculation changes in the year in the <u>Methodological Annex</u> of this Report.

S4. Consumers and end-users

A. Strategy

SBM-3. Material impacts, risks and opportunities

To ensure customer protection and constant improvement in customer satisfaction, it is crucial to understand their needs and concerns. We have therefore identified the material impacts, risks and opportunities linked to our consumers and end-users (hereinafter, consumers or customers).

Material Impacts, Risks and Opportunities related to our consumers

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN	RELATED POLICIES
S4.I1	Possible loss of our customers' personal data	I	/ Customers	Transversal policies: / Code of Conduct / Human Rights Policy / Sustainability Policy
S4.I2	Possible impacts related to the health and safety of our products	I	/ Customers	
S4.I3	Possibility of consumer discrimination	I	/ Customers	
S4.I4	Responsible marketing practices and transparency	I	/ Customers	Specific policies: / Compliance Policy regarding Personal Data Protection and Privacy / Information Security Policy
S4.R1	Risks related to consumers' rights	R	/ Own operations	
S4.O1	Opportunity to attract new customers through responsible practices	O	/ Own operations	

① More information in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

Scope

S4.SBM-3_01;
S4.SBM-3_02;
S4.SBM-3_03;
S4.SBM-3_07

Our materiality assessment takes into account any person acquiring any product sold by the Inditex Group brands, either in physical stores or online, as well as potential customers. We pay special attention to those consumers who require accurate and accessible information on our products and their components, as well as more vulnerable users or those who may be at a greater risk of being hurt, such as children.

We therefore pay special attention to the design of all the products aimed at those users, guaranteeing that they are designed in keeping with their age and needs, so as to protect their well-being.

Occurrence and types of impacts

S4.SBM-3_04

In line with this commitment to our customers, we have mechanisms in place to **prevent** specific negative impacts, such as the loss of personal data, damage related to product health and safety, cases of discrimination or effects on decision making due to a lack of transparency regarding the product. We also have measures to **control** the potential emergence of systemic impacts that might arise due to the various circumstances in the geographies where we operate. These mechanisms also incorporate mitigation and remediation strategies for negative effects once they have occurred, in order to minimise their impact on customers.

S4.SBM-3_05

Additionally, we are fully committed to the respect and promotion of human rights, rejecting any kind of discrimination. Our Code of Conduct lays down our commitment to responsible marketing and communication, including the obligation to provide clear, truthful and comprehensive information about our products, as well as to ensuring that our items for sale and published content are neither offensive, discriminatory or promote an unhealthy image.

Furthermore, we seek to have a **positive impact** on our customers through an accessible and inclusive range of products. For example, we apply universal accessibility principles for our customers with disabilities, in both physical and online stores, with the aim of offering inclusive shopping experiences. In the same way, thanks to our project in conjunction with EqualWeb, our home pages feature digital accessibility menus with voice, browsing, colour and content settings to ensure that these users can properly access all the information. In addition, our customer services are available to all our consumers to resolve any issues that may arise.

① More information on actions related to consumers in section [S4-4. Actions related to consumers](#) of this Report.

S4.SBM-3_06;
S4.SBM-3_08

Risks and opportunities

The impacts and dependencies analysis allows us to identify the main risks and opportunities linked to our consumers, verifying that our strategy includes prevention and mitigation actions. For this purpose, we have specialised Customer Services teams who provide customer support, helping to avoid and act on any quality or health and safety issues (among others). In turn, our health and safety efforts, through our teams and the development of associated standards, contributes to ensure that the products we offer to consumers are safe, especially those products aimed at particularly vulnerable consumers, such as children. As a result, not only do we reduce the possible negative impacts on our customers, but we also minimise the risks related to consumer rights.

We have also identified a key opportunity to attract new customers through the implementation of responsible practices. In this connection, we have initiatives such as Zara Pre-Owned through which we foster circularity and attract customers who share these values.

B. Impact, risk and opportunity management

S4-1. Policies related to consumers

S4.MDR-P_01-06;
S4-1_01;
S4-1_08

Our customers are the cornerstone of our business. That is why we establish firm principles through our policies, forming a framework to govern our relationship with people, in a bid to have a positive effect on our surroundings, while mitigating any potential negative impacts.

Policies related to consumers

- / Human Rights Policy ①
- / Sustainability Policy ①
- / Code of Conduct ①
- / Information Security Policy ①
- / Compliance Policy regarding Personal Data Protection and Privacy ①
- / Ethics Line Procedure ①

① More information on our policies and their updates in section [MDR-P. Policies](#) of this Report.

Our commitment to our customers is comprehensive and our aim is to offer them products that meet their needs and expectations, guaranteeing high standards of quality, health and safety.

The Sustainability Policy covers customers' concerns and expectations in relation to sustainability, applied to all the products we sell. In this way, we commit ourselves to:

- / **Responsible design** of products, promoting the use of lower-impact raw materials and textile fibres³⁹.
- / **Ethical and responsible manufacture** of our products, especially regarding the relationship with our manufacturers and suppliers.
- / Complying with the most stringent **health and safety** standards.

Furthermore, our Code of Conduct lays down our commitment to responsible marketing and communication, including the obligation to provide accurate, clear and comprehensive information about our products and their characteristics, and to ensure that the products we sell and our published content are not offensive, discriminatory or promote an unhealthy image.

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04

We also consider it paramount to guarantee information security, particularly in connection with our customers' data and privacy. We are, therefore, aware of the potential cybersecurity risks that may emerge as we conduct our operations, and we work accordingly to involve our entire workforce in preventing and mitigating them, thereby protecting all our stakeholders.

Our Information Security Policy and Compliance Policy regarding Personal Data Protection and Privacy establish our action principles in this sphere.

Information Security Policy Approved by the Board of Directors on 10 December 2019	
Key contents	/ Principles and guidelines whereby the Group protects its information and the information shared with third parties, regardless of how it is communicated, shared, projected or stored / To ensure the necessary confidentiality, maintaining the integrity and ensuring the availability of the information handled by the Group
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons linked to Inditex, when possible due to the nature of the relationship and when conducive to compliance
Accountable for the implementation	/ Information Security department and its chief officer
Third-party standards	/ Payment Card Industry-Data Security Standard 4.0 (PCI-DSS) / ISO/IEC 27001:2022 / Korean Information Security Management System (K-ISMS) / Multi-Layer Protection Scheme (MLPS)
Compliance Policy regarding Personal Data Protection and Privacy Approved by the Board of Directors on 11 June 2019	
Key contents	/ Establishment and standardisation of the degree of compliance by Inditex companies with the standards and best practices that most strongly guarantee personal data protection and privacy / Principles and commitments in the processing of personal data under the Group's control
Scope	/ The entire Group (companies and individuals) / Other natural or legal persons linked to Inditex, when possible due to the nature of the relationship and when conducive to compliance
Accountable for the implementation	/ Personal Data Protection and Privacy department and its officer
Third-party standards	/ Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data

S4-1_03

Commitment to respect our customers' human rights

At Inditex we endeavour to guarantee that the human rights of everyone around us, including our customers, are upheld. We therefore reject any form of discrimination, always respecting our customers' right to privacy, which we duly protect, and making a properly use of their personal data.

³⁹More information on the criteria that fibres or materials must meet to be classified as having a lower impact in the *Methodological Annex* of this Report

The health and safety of our customers are also paramount for the Group, which is why we undertake to make products in an ethical and responsible way, in keeping with our health and safety standards.

S4-1_02;
S4-1_06

In this regard, our Sustainability Policy, and in more detail in our Human Rights Policy, inspired by the leading international declarations on human rights, enshrine our commitment to our consumers' rights.

① More information in section *MDR-P. Policies* in this Report.

S4-1_04;
S4-1_05

One of our foremost tools for customer engagement and dialogue are our **customer service mechanisms**, which establish a direct avenue of communication for any issue or query that may arise, allowing us to detect and act to address potential breaches. Our customers can also access the official grievance mechanisms in place in each market.

This set of mechanisms, described in more detail in the following sections of this Report, offers a range of methods to address any query or complaint in connection with their rights or other matters of interest to them.

S4-1_07

Accordingly, in 2024 no breaches of the United Nations Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work, or the OECD Guidelines for Multinational Enterprises have been identified through the Ethics Line, our main complaint mechanism.

① More information on the Ethics Line in section *G1-1. Corporate culture and business conduct* of this Report.

S4-2. Processes for engaging with consumers about impacts

S4-2_01;
S4-2_02

We have various mechanisms of relationship and dialogue with our customers, allowing us to listen to their perspectives and take them into account in making decisions to properly manage the actual and potential impacts on them. In this connection, we highlight:

/ Specialised customer service teams

Our brands' specialised customer service teams are among the main channels for engaging with consumers, primarily at the operating level. These areas handle customer contacts —calls, e-mails, *WhatsApp* messages or messages on social media profiles— concerning questions on products, the purchasing process, shipments, incidents or any current issues affecting the brands, among others.

/ Store teams

Inditex implements a flexible business model based on multi-concept omni-channelling and the integration of retail space: stores and online. This allows us to generate a differentiated shopping experience, tailored to our customers' needs at the right time and place.

To fulfil this commitment to our customers' experience, the work of our physical and online store teams is crucial, as they form the first line of direct contact with consumers. In particular, our physical store teams communicate daily with the people who visit our establishments, directly handling their queries or informing them about the other available customer care and complaints mechanisms as and when they require them.

In this regard, we promote initiatives such as **Customer Experience (CX)**, in which store managers lead the change, analyse the feedback they receive from customers and develop their teams' skills to offer the best possible customer care. At the same time, the continuous improvement of our customer relations from an innovation standpoint led us to launch **Big Store**, a project in which our store teams carry out digital tasks relating to the business.

/ Communication channels: websites, app and social media

Our digital channels enable us to interact with our customers in more than 200 markets. Not only do these channels showcase our collections, but they allow us to convey our principles in the content we generate on our platforms, fulfilling our commitment to responsible marketing practices.